



ग्रिड-इंडिया
GRID-INDIA

GRID CONTROLLER OF INDIA LIMITED

(A Government of India Enterprise)



PROCUREMENT POLICY

केन्द्रीय कार्यालय: 61 आई.एफ.सी.आई. टावर 8 वां और 9 वां तल, नेहरू प्लेस, नई दिल्ली-110019
Corporate Office: 61 IFCI Tower, 8th & 9th Floor, Nehru Place, New Delhi -110019

Grid Controller of India Limited

(A Govt of India Enterprise)



Procurement Policy

Corp Office: 9th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019

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Message

Over the past few years GRID-India has been continuously making strides and evolving to the changing environment of power sector while also facilitating reforms.

We at GRID-INDIA have been at the forefront of adopting advanced technology tools and innovative solutions to improve Power system operations. Digitalization will be the main driver of the changes in the future. This calls for continuous upgradation of IT systems & tools encompassing all areas such as forecasting, scheduling, network monitoring and Cyber security. Providing a structured framework to the Procurement Policy will be an enabler to the changing needs and opportunities.

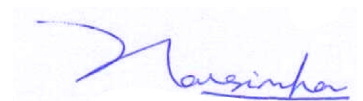


With Govt of India's thrust on adopting technology enabled Public Procurement process through GeM/CPP portals and Make in India (MII) programme, the Public procurement landscape has witnessed significant change since inception of GRID- INDIA as an independent CPSE in 2017. Technology enabled procurement processes and Make in India initiative of Govt of India have provided multiple benefits like promoting transparency and accountability, while also incentivizing domestic vendors. These steps have also provided centralized platform for all procurement-related information. The above imperatives have given us an opportunity to revisit our procurement policies.

I firmly believe that GRID-INDIA's "Procurement Policy" shall empower faster decision making process, reduce ambiguity, while committing to transparency in Procurement with highest commitment to integrity. I also believe that this policy shall stand in good stead to our present and future procurement scenarios.

I would like to acknowledge the efforts of Contracts and Materials team at Corporate Centre and the Regions in bringing out this Procurement Policy.

31.05.2023



S R Narasimhan

Chairman & Managing Director

Message

Procurement plays a pivotal role in achieving strategic objectives, as it encompasses the process of acquiring goods, services, and works required to support our operations. By implementing a well-defined Procurement Policy, aim is to optimize resource allocation, enhance competitiveness, and foster sustainable relationships with suppliers and stakeholders.



With the incorporation of e-procurement systems, electronic bidding, and online contract management, the procurement processes have improved procurement efficiency, reduced administrative burdens, and increased transparency in public contracting.

The procurement policy in GRID-INDIA needs to be dynamic to reflect the changing market scenarios. It reflects the ongoing effort to improve Contract Management and deliver best in class services and products to the needs of the organization.

This Procurement Policy is formulated to promote consistency and accountability throughout the procurement lifecycle, from identifying needs and sourcing suppliers to contract management and supplier performance evaluation.

GRID-INDIA's "Procurement Policy" shall continue to adhere to the fundamental principles of public procurement of transparency, efficiency, and sustainability, supporting the overall mission of delivering reliable, economic and efficient power to the nation.

I sincerely appreciate the efforts of team members from Corporate Centre and all regions to cover all the aspects of Procurement in this policy.

08.06.2023



S S Barpanda

Director (Market-Operations)

Message

GRID-INDIA has been established to ensure integrated operation of Indian Power System, and has become an independent company w.e.f 03-Jan-2017.

I am happy to note that "Procurement Policy" has been formulated with an objective to give new direction to the procurement process in GRID-INDIA, taking into consideration various changes in the domain of Public Procurement.

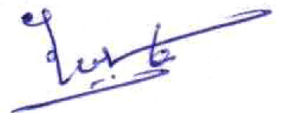


Procurement Policy provides a framework for procurement in a financially prudent manner without compromising flexibility to cope with varied situations. Compliance with these procedures enables to provide transparent and structured guidelines and framework to meet its end objective. Effective procurement practices are crucial for smooth functioning of an organization.

The procurement processes enshrined in this policy are robust and resilient with an intent to uphold the interests of all the stakeholders. By embracing the principles outlined in this policy, one can make informed procurement decisions, leading to optimal value for money with sound procurement governance. I am sure that the Procurement Policy shall be of immense value to the users in GRID- INDIA.

I extend my heartfelt congratulations to all the members involved in preparing this Procurement Policy. It has been a commendable effort, to envision procurement process to be futuristic and technology oriented, adhering to the framework of internal financial control.

02.06.2023



Shyam Sunder Gupta
Chief Financial Officer

Foreword

Since inception of GRID-INDIA as an independent CPSE, many changes have taken place in the operational and regulatory environment in the Power Sector. The public procurement has also evolved and have kept in pace with the with the adoption of technology such as e- procurement.



In the recent years new procurement methods especially through GeM Portal have saved us significant time and resources. The sustained efforts have also helped to make procurement decisions based on sound business principles for best possible value for the company.

I am confident that with the continued dedication and expertise of our Contracts and Materials teams at various locations of GRID-INDIA will help us to achieve our procurement goals and objectives.

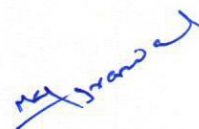
Keeping in view of the future procurements of Goods, Works and Services of varying magnitude and complexity PROCUREMENT POLICY has been revisited.

The intent of this document is to make the policies and procedures more systematic, transparent and easy to administer with major thrust on expeditious and decentralized decision making. This Procurement Policy reflects Company's commitment to continuous improvement.

On behalf of Corporate Contracts and Materials department, I am thankful to the Management of GRID-INDIA, and Senior members at RLDCs and NLDC for guiding and helping us in bringing this Procurement Policy.

I hope this policy will be helpful and useful for all Procurement needs of GRID-INDIA in the times to come.

31.05.2023



Manoj Kumar Agrawal
Executive Director (SP&M, C&M, RE)

Foreword

I am pleased to put forward Procurement Policy of GRID-INDIA which aims to provide clear guidelines and procedures for all procurement activities to be undertaken in our organization.

GRID-INDIA is committed to improve Procurement systems and processes with the changing needs of time and instructions issued by Govt. of India. In the last few years, Govt. of India has issued new instructions in the domain of public procurement.



The important changes include introduction of GeM, CPPP, inclusion of integrity pact, preference to MSME vendors, Make in India(MII), revision of GFR and revision of Procurement Manuals. These changes are taken into cognizance while preparing this document.

The intent of this document is to improve transparency in decision making and reduce scope for subjectivity.

Care has been taken to ensure that this document is written in simple and lucid language. Efforts are made to cover all the major aspects of Procurement in this document. Most of the post award processes as practiced have been retained, since they are time tested.

I am thankful for the feedback received during the consultative process from all the participants from RLDCs/NLDC in framing this Policy.

I also express my sincere gratitude to the Management of GRID-INDIA for constantly guiding and supporting us in bringing out this Procurement Policy.

Lastly, I encourage all the employees of GRID-INDIA to read this Procurement Policy since each will be part of procurement process in the role of indenter, procurer or implementer. Feedback may be provided, so that the same can be considered while revising this document in the future course.



05.06.2023

Sajjan George
Chief General Manager(C&M)

DISCLAIMER

No party, including any bidder/contractor shall derive any right from this Procurement Policy or have any claim on GRID-INDIA on the basis of this Policy Document. The respective rights of GRID-INDIA and Bidders/Contractors shall be governed by Bidding Documents/Contract Agreements signed between GRID-INDIA and Contractor for the respective packages.

Document Control Sheet

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CONTENTS

SECTION-A: INTRODUCTION	1
A1: Introduction	2
SECTION-B: PRE-AWARD ACTIVITIES	11
B1: Preamble	12
B2: Preparation of Indent and Approval	15
B3: Tender Process Initiation	19
B4: Defining Qualification Requirement	31
B5: Procurement Methods	36
B6: Bid Evaluation and Recommendation	55
B7: Post Bid Discussions and Specific Agreements	69
B8: Issues in Bidding Process	72
Appendix-1 Responsibility Centres	80
Annexure-1: Proprietary Article Certificate	81
Annexure-2: Certificate of Urgency	82
Annexure-3: Purchase Indent Format	83
Various salient points addressed by CPP portal	85
SECTION - C: POST AWARD ACTIVITIES	89
C1: Introduction to Post Award Activities	90
C2.1 Signing of Contract Agreement with Contractor	93
C2.2 Obtaining of CPG from Contractor	95
C2.3 Release of Initial Advance (Supply) to Contractor	98
C2.4 Finalization of L2 Network	100
C2.5 Detailed Engineering, Drawing approval and Type Testing	103
C2.6 Sub-Vendor/Sub-Contractor's approval	106
C2.7 Manufacturing Quality Plan Approval/Factory Acceptance Tests	113
C2.8 Inspection & Despatch Clearance	115
C2.9 Physical Execution of Work:	120
C2.10 Project Monitoring:	123
C2.11 Payment of Installation Advance Processing of Bills	125
C2.12 Technical Approval for Quantity variation including New Items	131
C2.13 Administrative Approval for Issue of Change Order	136

C2.14 Time Extension and Liquidated Damages (LD)	140
C2.15 Completion, Testing, Commissioning, Taking Over & release of payment	148
C2.16 Revised Cost Estimate (RCE)	154
C2.17 Dispute Resolution and Arbitration	156
C2.18 Contract Closing	164
C3.0 Important Post / Award Issues	176
C3.1 Correspondence	177
C3.2 Custody, Extension Of Validity, Encashment & Release Of Bank Guarantees	178
C3.3 Release of Payment Pending Contract Amendment:	183
C3.4 Advancement of Supplies	184
C3.5 Performance Certificate to the Contractors	186
C3.6 Insurance	188
C3.7 GRID-INDIA'S Overhead Charges	192
C3.8 Black-Listing of Firms/ Banning Of Business	193
C3.9 Completion, Commissioning and Taking Over:	197
C3.10 Communication with GOI/MOP/External Agencies	206
C3.11 Reference to Clarification	207
C3.12 Documents/Files Concerning Post-Award Contract Execution	208
C3.13 Cancellation of Contract	209
C3.14 Negative Price Variation	220
C3.15 Payment of Advance	221
C3.16 Change of name of Contractor/Bidder	222
C3.17 Quantity Variation Provisions	225
C3.18 Reference Contract Price for Different Purposes	227
C3.19 Packages involving more than one RLDCs/NLDC	228
C3.20 Turnkey Contract and Lumpsum Price	231
C3.21 Audit Coordination	232
C3.22 Retention Period of Contract Documents	233
C3.23 Miscellaneous	236
Annexure-IV: Check List of Final Bill	237
Contract Closing Proformas	238
Proforma for Performance Report	252

ACRONYMS	
AMC	Annual Maintenance Contract
BER	Bid Evaluation Report
BOC	Bid opening Committee
BOQ	Bill of Quantity
CA	Contract Agreement
CAPEX	Capital Expenditure
CC	Corporate Centre
CDAC	Centre for Development of Advanced Computing
CEO	Chief Executive Officer
CERT-In	Computer Emergency Response Team-India
CFO	Chief Financial Officer
CGM	Chief General Manager
CIF	Cost Insurance and Freight
CIP	Customer Inspection Point
CMD	Chairman and Managing Director
CPG	Contract Performance Guarantee
CPPP	Central Public Procurement Portal
CPSE	Central Public Sector Enterprise
CSR	Corporate Social Responsibility
CVC	Central Vigilance Committee
CVO	Chief Vigilance Officer
DCB	Domestic Competitive Bidding
DGM	Deputy General Manager
DGR	Directorate General of Resettlement
DoP	Delegation of Powers
DSC	Digital Signature Certificate
ECS	Electronic Clearing System
ED	Executive Director
EMD	Earnest Money Deposit
e-RA	Electronic Reverse Auction
EXW	Ex Works

FOB	Free on Board
FOR	Free on Rail
GCC	General Conditions of Contract
GOI	Government of India
GST	Goods and Services Tax
GTE	Global Tender Enquiry
HoD	Head of Department
HoF	Head of Finance
IEM	Independent External Monitor
IFB	Invitation of Bids
IISc	Indian Institute of Science
IIT	Indian Institute of Technology
IMD	India Meteorological Department
IRDA	Insurance Regulatory Development Authority
ITR	Income Tax Return
JV	Joint Venture
KMP	Key Management Personnel
LC	Letter of Credit
LOA	Letter of Award
LTE	Limited tender Enquiry
MAAT	Minimum Average Annual Turnover
MCLR	Marginal Cost of Lending Rate
MICC	Material Inspection Clearance Certificate
MII	Make in India
MO	Market Operation
MQP	Manufacturing Quality Plan
MSME	Micro Small and Medium Enterprises
NEFT	National Electronic Fund Transfer
NIC	National Informatics Centre
NIFM	National Institute of Financial Management
NIT	Notice Inviting tender
NLDC	National Load Despatch Centre

NSIC	National Small Industries Corporation
O&M	Operation and Maintenance
OEM	Original Equipment Manufacturer
OPEX	Operational Expenditure
OSM	Owner Supplied Material
PAC	Proprietary Article Certificate
PBD	Post Bid Discussions
PG	Performance Guarantee
PO	Purchase Order
PRM	Project Review Meeting
QA&I	Quality Assurance and Inspection
QCBS	Quality Cost Based System
RCE	Revised Cost Estimate
REPEX	Replacement Expenditure
RLDC	Regional Load Despatch centre
RTGS	Real Time Gross Settlement
SD	Security Deposit
SO	System Operation
SP&M	Strategic Planning and Monitoring
SSSE	Single Stage Single Envelope
SSTE	Single State Two Envelope
STE	Single Tender Enquiry
TC	Tender Committee
TOC	Taking Over Certificate

SECTION-A: INTRODUCTION

A1: INTRODUCTION

A1.1 Grid Controller of India Limited, (GRID-INDIA), formerly known as Power System Operation Corporation (POSOCO), the National Grid Operator has been established to ensure Integrated Operation of the Indian Power System to facilitate transfer of electric power within and across the regions and trans-national exchange of power with Reliability, Economy and Sustainability. Consequent to Gazette notification ref. SO 4089(E) dated 19th December 2016, GRID-INDIA started operating the Regional Load Despatch Centres (RLDCs) and National Load Despatch Centre (NLDC) w.e.f. 03.01.2017. Prior to its existence as an Independent Company, as per the directives of Government of India vide order dated 04.07.2008, GRID-INDIA was a wholly owned subsidiary of Power Grid Corporation of India Ltd. GRID-INDIA is responsible for Operation of NLDC and RLDCs. The NLDC & five RLDCs are mandated by Electricity Act 2003 for ensuring security and reliability of the grid. They also have to facilitate the operation of Electricity Market in a “transparent”, “non- discriminatory”, “equitable” and “economical” manner for achieving maximum economic and efficiency. Being a wholly owned subsidiary of Power Grid Corporation of India limited, GRID-INDIA followed the Works and Procurement Policy (WPP) of POWERGRID (Volume I released in 2001 and Volume II released in 2002 and subsequent revisions issued from time to time) for various Procurements and services. Volume-I of the document covered pre-award activities and Volume-II of the document covered post-award activities.

A1.2 GRID-INDIA board in its meeting held on 03.01.2017 inter-alia adopted all rules, regulations, Delegation of Powers (DoP) etc. of POWERGRID (The erstwhile holding company) as they stood on that date which included Works and Procurement Policy in vogue.

A2.0 Objective

A2.1 GRID-INDIA’s overall objective through this Procurement Policy is to ensure that the procurement of all goods, works and services is carried out by following the basic doctrines of public procurement such as transparency, fairness, equity, pro-

motion of competition in public procurement, environmental concern and least cost while conforming to required specifications, quality, service, delivery, reliability and least total cost of ownership.

- A2.2 In a democratic, fast evolving and more vigilant environment, procurement of goods, works and services by CPSEs (Central Public Sector Enterprise) demand more and more transparency, fairness and equity which can be instituted in the organizations by adopting adequate procurement policies and procedures commensurate with their business requirements.
- A2.3 All efforts has been made in this document to meet the needs of changing scenario of business and to shift procurement methods towards IT (Information Technology) enabled processes like GeM (Government e- Marketplace). The tax regime of Goods and Services Taxes (GST) has been incorporated so as to make the document in line with the current prevailing scenario. This document also enables to shift from Offline mode to online mode wherein all procurements, estimate, collecting of quotations can be done smoothly.

A3.0 Scope and Purpose

- A3.1 The purpose of this document is to articulate policy for procurement of Goods, Works and Services required to be executed by GRID-INDIA under various heads. The GRID-INDIA's Procurement Policy aims to uphold the highest values in procurement of "Products", "Works" and "Services" necessary for discharging its statutory functions.
- A3.2 Procurement Policy document provides guidelines to expedite decision making process in GRID-INDIA by consolidating, simplifying and streamlining the various steps to be followed in the process of award of contracts for procurement of Goods, Works & Services as well as during its implementation. The intent of the document is also to make the policies and procedures more systematic, transparent and easy to administer with major thrust on expeditious and decentralized decision making, accountability & responsibility, during different stages of processing of award of contracts including its implementation. The provision of this document shall be logically extended to all other procurements that may not have

been specifically included therein.

A3.3 Procurement Policy will be applicable for all procurements related to Goods, Works and Services undertaken by GRID-INDIA. The reference to Goods, Works and Services in this document shall also include related services such as transportation, insurance, civil works, erection/installation, testing, commissioning, training, maintenance, consultancy, security, asset management, providing of vehicles/office equipment etc.

A3.4 In case of procurement funded by external agencies/financial institutions, the policies/guidelines of the funding agency would be applicable and if there is a contradiction between guidelines/policies and procedures of the external agencies/financial institutions with this Procurement Policy, the former shall prevail.

A3.5 Consultancy Projects

The consultancy projects may be taken up by GRID-INDIA on behalf of the clients based on request received and against agreement signed with the agency. The scope of work to be implemented by GRID-INDIA under a particular consultancy project shall be governed by the agreement signed between GRID-INDIA and the agency. The consultancy charges for such works shall be as per the agreement signed between GRID-INDIA and the agency. Signing of agreement between GRID-INDIA and the agency shall be processed by Strategic Planning & Monitoring(SP&M) /NLDC/RLDCs and HR in Corporate Centre. In the event of project cost exceeding the agreed estimated cost of the agency, consent of the agency shall be obtained prior to NIT/award/during contract execution, as the case may be.

A3.6 Projects under International Business (IB Projects)

The consultancy projects as well as projects under bidding and/or assigned for which costs are to be borne by GRID-INDIA under International Business may be taken up by GRID-INDIA on behalf of clients as per the agreements signed or against contracts awarded to GRID-INDIA. The scope of work to be implemented by GRID-INDIA under such projects shall be governed by the agreement

signed between GRID-INDIA and the agency/awarded contracts. The consultancy charges/contract price for such projects shall be as per the agreement signed between GRID-INDIA and the agency/awarded contracts.

- A3.7 No other party, including the Contractor, shall derive any right from this Procurement Policy Manual or have any claim on GRID-INDIA on the basis of the same. The respective rights and obligations of GRID-INDIA and Contractors are governed by the bidding documents and the contracts signed between GRID-INDIA and the Contractor for the respective package.
- A3.8 Through this document, an attempt has also been made to foresee contingencies / issues that might be encountered in the course of procurement and to include policy for addressing the same. However, since it is neither possible nor practicable to foresee all possible contingencies/issues which may be encountered in the course of procurement, such contingencies / issues as may be encountered would need to be dealt with using the best executive judgment with due diligence in a transparent, fair and prudent manner, as would be reasonable and in GRID-INDIA's overall interest, on case to case basis.
- A3.9 The applicable Delegation of Power (DoP) governing financial powers shall always have precedence over this document. Further, in case, a contradiction arises between the policy contained in this document, with circulars / orders issued by the Management after this document is adopted / comes into force, the latter shall prevail. In case of contradiction between the provision of this document and that of any other manual or circular / order issued in GRID-INDIA prior to this document coming into force, this document shall prevail. The delegation for approval of significant process related matters & Government Directives shall be adopted from time to time with the approval of the CMD. The Board of Directors shall be informed accordingly, in due course.
- A3.10 This Procurement Policy shall have precedence over Manuals of Procurement issued by Department of Expenditure, Ministry of Finance, Govt of India for issues/policy covered under this document. However, Manuals of Procurement shall serve as generic reference guide for other issues/policy.

A3.11 This document with following sections and corresponding Appendix and Annexures shall be referred to as GRID-INDIA's Procurement Policy Manual:

Section-A - Introduction

Section-B - Pre-Award Activities

Section-C - Post Award Activities

A4.0 Primary Considerations

A4.1 Award and execution of contracts for Procurement shall be generally guided by the following primary considerations:

- (i) To make available the needed goods, works and services in the right quality and quantity, at the right time, at right place and at competitive price, so as to obtain the optimum value for each unit of expenditure.
- (ii) Economy and efficiency in execution of the project, including the procurement of goods, works and services in question.
- (iii) To provide fair opportunity to all eligible, qualified and competent bidders commensurate with their capacity and capability, to compete for providing goods, works and services, and ensure selection of most competitive bid.
- (iv) To encourage the development of local / domestic contracting and manufacturing industries / agencies.
- (v) Transparency, fairness and equity in the procurement process with due regard to timelines.
- (vi) Evolve mechanism to prevent corrupt and fraudulent practices.
- (vii) To make optimum use of technology particularly IT and IT enabled Services (ITeS) for increased efficiency, effectiveness and transparency.

A4.2 Actions by all concerned officials of GRID-INDIA towards award of contracts and their execution shall be ethical, transparent and fair, in GRID-INDIA's interest and shall be based on facts presented and circumstances prevailing. Any failure

in implementing Procurement Policy will be dealt with appropriately by the Management. For this purpose, due regard shall be given to the concerned official's intent, earnestness and justification in support of his / her action, keeping in view the relevant facts and circumstances prevailing when the action was taken.

A4.3 Bidders, Suppliers, Contractors, Agencies etc. associated with the procurement shall observe the highest ethical standards and integrity in competing for and execution of contracts.

In pursuance to above, GRID-INDIA:

- (a) May reject a bid for award, if it is established that the bidder, participating in a bidding process, has directly or through its agent, engaged in corrupt, fraudulent, collusive, coercive, or obstructive practices, to influence decisions in competing for the Contract in question;
- (b) May cancel the contract, in full or in part, if it is established that corrupt, fraudulent, collusive, coercive, or obstructive practices were adopted by the contractor directly or through an agent (agent means such person, legal or natural, authorized to make submission under its signature and authority for and on behalf of the bidder / contractor) for getting the Contract or during the execution of the Contract;
- (c) May take appropriate action as deemed fit including issuance of warning to the firm and / or declaring the firm ineligible, for a stated period of time (1 year to 3 years), for award of contract, if at any time, is established that the firm has directly or through an agent engaged in corrupt, fraudulent, collusive, coercive, or obstructive practices for or in executing a Contract.
- (d) May take any other appropriate action that shall be justified and reasonable in the facts and circumstances of the case securing GRID-INDIA's interests in best possible way which appropriately deals with the Contract / Contractor involved.

A4.4 For the purpose of above provision, the terms, 'Corrupt Practice', 'Fraudulent Practice', 'Collusive Practice', 'Coercive Practice, or 'Obstructive Practice' shall

mean the following:

- (i) 'Corrupt Practice' means offering, giving, receiving, or soliciting anything of value to influence the action of GRID-INDIA official(s) in the procurement process.
- (ii) 'Fraudulent Practice' means any act including suppression / misrepresentation of facts, submissions of forged / false documents, making false declarations etc. that knowingly or recklessly misleads, or attempts to mislead, a party to obtain the financial gain or benefit, or to avoid an obligation, or to influence procurement process to the detriment of interest of GRID-INDIA, including collusive practices among bidders (prior to or after bid submission) to establish bid prices at artificial, non-competitive levels and to deprive GRID-INDIA of the benefits of competitive prices.
- (iii) Collusive practice shall also include an arrangement between two or more parties designed to achieve an illegitimate purpose to the detriment of interest of GRID-INDIA.
- (iv) A "coercive practice" means impairing or harming, or threatening to impair or harm, directly or indirectly, any party or the property of the party to influence improperly the actions of a party.
- (v) An "Obstructive practice" means (i) deliberately destroying, falsifying, altering or concealing of evidence material to the investigation or making false statements to investigators in order to materially impede investigation into allegations of a corrupt, fraudulent, coercive, or collusive practice; and or threatening, harassing or intimidating any party to prevent it from disclosing its knowledge of matters relevant to the investigation or from pursuing the investigation, or (ii) acts intended to materially impede the exercise of the contractual rights or audit or access to information.

A4.5 In pursuance to the above, the Integrity Pact and other such programs, including those as may be advised by Central Vigilance Commission (CVC) / Comptroller & Auditor General of India (CAG) / Govt. of India / Statutory and other

Authorities shall be adopted for procurement of Goods, Works and Services by GRID-INDIA, as may be approved by CMD (Chairman and Managing Director) from time to time.

A5.0 Modification / Addition to the Policy and Procedure

- A5.1 This document in the normal course shall be revised after 5 (Five) years from its adoption or such period as may be considered appropriate by the Management. However, modifications / additions by way of amendments to this document may be approved from time to time with the approval of the Competent Authority.
- A5.2 The Competent Authority for approval of amendment to any provision of this Procurement Policy, in so far as it relates to Policy, shall be (a) the Board of Directors in case the modifications / additions are substantive in nature as may be decided with the approval of CMD; and (b) CMD in all other matters including matters related to implementation of Policy and delegation of powers. In case of amendment related to Procedural Guidelines including the process related delegation of powers, the Competent Authority for approval of the same shall be CMD. The proposal for amendments will be put up based on need and necessity by concerned Heads of RLDC / NLDC/HoD of departments in CC for detailed internal deliberations before it is put up to CMD / Board of Directors as the case may be. A suitable committee comprising of HoD (CC- Finance), HoD (CC- Contracts) or In-charge (CC Finance) In-Charge (CC Contracts), ED / Head of concerned department and ED from any two RLDCs shall be formed. HoD (CC Contracts) shall be the convener of the Committee.
- A5.3 The possibility of encountering situations necessitating justified deviations from the Policy cannot be ruled out. In such cases, the deviations shall be permitted for reasons to be placed on record on case to case basis with the approval of the same Authority competent to approve Amendment thereto as per para A5.2 above.
- A5.4 Pursuant to the adoption of this document, necessary changes shall be made in the Bidding documents to align the same in line with the Policy.

- A5.5 The procurement of Goods, Works and Services from Micro, Small and Medium Enterprises (MSME), Make in India and any other policy issued by Govt of India shall be as per the Govt policy in vogue and shall have precedence over the said policy in this document.

-----End-----

SECTION-B: PRE-AWARD ACTIVITIES

B1: PREAMBLE

- B1.1 Procurement of Goods, Works and Services shall be undertaken through contracting.
- B1.2 Notwithstanding the above, under compelling circumstances for justification to be placed on record, procurement can be carried out departmentally, through 'direct labour' 'departmental force' or 'direct purchases'
- B1.3 Procurement generally involves the following during the pre-award stage:
- i. Supply, Works, Service Package / Scheme Conception, Preliminary Technical and Administrative Approval
 - ii. Contract Package (Corporate Centre/NLDC / RLDC)
 - iii. Works / Supply Execution Plan
 - iv. Cost Estimate
 - v. Qualification Requirement (QR) of Bidders
 - vi. Bidding Documents
 - vii. Bidding Process
 - viii. Mode of Tendering / Bidding
 - ix. Invitation for Bids (IFB) / Notice Inviting Tenders (NIT)
 - x. Sale of Bidding Document
 - xi. Bid Receipt and Opening
 - xii. Evaluation of Bids and Bid Evaluation Report (BER)
 - xiii. Post Bid Discussions / Specific Agreements, if required
 - xiv. Letter of Award (LoA), Notification of Award (NoA) Contract Agreement (CA) and Contract Performance Guarantee (CPG)
 - xv. Other Aspects and Issues
- B1.4 There are following standard departments in all 5 Regional Load Despatch Centres and the National Load Despatch Centre.

- I. System Operation (SO)
- II. Market Operation (MO)
- III. Technical Services (TS)
- IV. Contracts & Materials (C&M)
- V. Information Technology Services (IT)
- VI. System Logistics Department (SL)
- VII. Human Resources & Establishment (HR)
- VIII. Finance & Accounts (F&A)
- IX. Others, if any.

In addition to the above, Vigilance, Company Secretariat, HRD, Renewables, Engineering and Corporate Strategic Planning & Monitoring (SP&M) departments are functioning at Corporate Centre, New Delhi.

- B1.5 Concerned department(s) in RLDC / NLDC / Corporate Centre shall obtain Technical and Administrative approval from the appropriate authority for taking up activities of Contracting. While initiating the proposal, clear reference of Package, Cost Estimate (including and Excluding GST), the Competent Authority to approve the Project/Scheme, Heads under which it has to be booked (i.e. CAPEX/ REPEX/OPEX, CSR etc.) mode/method of procurement, time schedule, Qualifying Requirements, List of vendor, Technical specification, Local Content Requirement as per Make in India order, Eligibility of Suppliers(Class-I Local Supplier/Class-II Local Supplier/Non-Local Supplier), Divisibility of contract, Bill of Quantity (BOQ), requirement of Security Deposit/CPG and Terms of Payment has to be clearly brought out in the proposal.

B1.6 Types of Packages

- B1.6.1 Generally, following types of packages shall be dealt by Corporate Centre / NLDC / RLDC/Nodal RLDC:
- a) Packages for Goods, Works, Supply & Services of major items / elements in GRID-INDIA.

- b) Packages requiring specialized or customized knowledge / skill / application required for RLDCs/NLDC functioning.
- c) Packages funded by any other Grant.
- d) Consultancy Projects
- e) Projects under International Business (IB) Projects

B1.6.2 In case of Software and / or services / works to be procured as a common tool at all units of GRID-INDIA, the tendering process will be carried out by NLDC or RLDCs on case to case basis as approved by the competent authority. In such case, Nodal RLDC will take up the procurement on behalf of all units of GRID-INDIA.

----- End -----

B2: PREPARATION OF INDENT AND APPROVAL

B2 Preparation of NIT (Notice Inviting Tenders) Cost Estimate

- B2.1.1 For all regular / repetitive procurement, the NIT Cost estimate shall generally have prepared on basis of Schedule of Rates (SOR) viz. DSR (Delhi Schedule of rates), NICSI (National Informatics Centre Services incorporated), CPWD Schedule of Rates, Local Government Bodies like Municipal Corporations etc. For all Works, Supply and Services procurement not covered by SOR, the NIT Cost Estimate shall be generally prepared on the basis of the prices as available from procurement of similar items. The Cost Estimate may be prepared based on prevailing market rates/ last procurement price / economic indices or prices for raw material, labour and other input costs wherever possible and applicable OR lowest rates based on two or more budgetary quotations physically/through online mode. For Sundry / spot purchases of value less than ₹ 2.5 Lakhs inclusive of taxes preferably more than one budgetary quotations may be collected. In case of budgetary quotes from GeM portal, one quote can also be considered for preparation of cost estimate, provided the same is GeM recommended L1 Quote, obtained after selecting the required specifications while filtering.
- B2.1.2 The Cost Sheet/quotations used for NIT Cost Estimate based on which the Qualification Requirement for bidding are finalized shall not generally be older than six (06) months & 1 month grace period prior to the date of NIT i.e. if the month of signing of the Cost sheet/Quotation is December 2021, the same shall be applicable for NIT to be published up to June 2022 with a grace period of additional 1 month (July 2022). In case due to any reasons whatsoever there is a delay in administrative approvals and NIT date is crossing the 06 Months (plus 01-month grace period) time, then the indenting department will prepare the revised cost estimate mentioning the reasons and approvals obtained from the Competent Authority.
- B2.1.3 While preparing / revising the Cost Estimate, the applicable taxes shall be taken into account.

B2.2 Competent Authority for Technical and Administrative Approval

B2.2.1 Technical and administrative approval for a Procurement shall be accorded by the competent authority in line with DoP, as the case may be depending upon the cost. In case of emergency the option of post facto approval can be taken. Technical and Administrative approval shall be a condition for carrying out pre-award activities/release of NIT. In case of urgency, if the Administrative approval is in the powers of Board of Directors, pending such approval, NIT may be released with the approval of CMD. However, the placement of award is to be done only after receipt of Administrative approval from Board of Directors.

B2.3 Technical and Administrative Approval

B2.3.1 While seeking Technical and Administrative approval by the indenting department following aspects shall be taken into consideration:

- (i) Estimated cost inclusive of GST.
- (ii) Scope of work / Technical Specifications, BOQ and Drawings, preparation of Feasibility Report (FR)/Detailed Project Report (DPR)
- (iii) Work completion time / Contract period.
- (iv) Defect Liability Period / Guarantee / Warranty period.
- (v) Qualifying Requirements/Scoring Criteria/Payment terms and CPG clause.
- (vi) Execution of the work through Open / Open Limited / Limited / single / Market survey / L1 purchase Mode through Gem Portal/ Spot enquiry / tendering process on GeM / e- procurement portal or otherwise as the case may be depending upon various options available as elaborated in detail in subsequent chapters.
- (vii) Type of Bidding Process viz. Single stage Two Envelope/Single stage Single Envelope/Two Stage/QCBS, Evaluation and Award Criteria shall be specified.

- (viii) Local Content Requirement as per Make in India (MII) order, Eligibility of Suppliers (Class-I Local Supplier/Class-II Local Supplier/Non-Local Supplier), Divisible/Non- Divisible Contract, Preference as per MII Order, Preference to MSME/Start-up.
- (ix) List of vendors for the NIT. In addition to, Vendors proposed by indenting department, Contracts & Materials Department can add vendors from data base available with them, (If any).
- (x) Head under which the expenditure on account of the proposal (Capex/ REPEX/OPEX/CSR/O&M) will be booked.
- (xi) Level of approving Authority and relevant clause of the DoP.

B2.3.2 For new work / item / activity which are of small value upto ₹ 1 Lakh and whose prices are not available in regular award, an engineering estimate for such works / item / activity may be worked out or rates may be downloaded from e-Commerce website.

B2.3.3 Once the NIT Cost Estimate is prepared and approved, it shall not be normally reviewed except in following circumstances:

- a) The gap between the month of approval of cost estimate and the date in which NIT is actually to be floated is more than six months with a grace period of additional 1 month OR the validity of budgetary quotation based on which NIT cost estimate was prepared has expired
- b) There is variation on account of new / additional / extra / substituted / existing item in the Bill of Quantity (BOQ) considered for working out NIT Cost Estimate with respect to that considered for inviting bids. In such a case the cost estimate for such variation shall be added to the originally approved Cost Estimate.
- c) There is variation on account of Force Majeure (Occurrences that are beyond the reasonable control) which mean and shall include the following:
 - i. Any war or hostilities

- ii. Any riot or civil commotion
- iii. Any earthquake, floods, tempest, lightning or other nature physical disaster, impossibility of the use of any Railway, Port, Airport, Shipping services or other means of transport.
- iv. Any strike or lock-out (only those exceeding 10 continuous days in duration) affecting the performance or the GRID-INDIA obligations.
- v. Pandemic Situation
- vi. AOG (Act of God)
- vii. Major reforms of tax structure

B2.3.4 Indenting Department can also obtain Technical and Administrative approval separately. While seeking Technical Approval, the requirement of B2.3.1(i) need not be taken into consideration. The Technical approval shall be approved by Head of RLDC/NLDC/Head of Indenting Deptt in CC at the level of CGM/ED. On receipt of cost estimate, Administrative approval be sought from Competent Authority as per DoP considering all aspects referred to at B2.3.1 above.

B2.3.5 All approvals will be with dates and the date of final approval of the Competent Authority will be Zero date for initiating the contracting action by C&M department.

----- End -----

B3: Tender Process Initiation

- B3.1 Initiation of Contracting Process by Contracts & Materials department
- B3.1.1 A proposal for calling the Tender as per approval will be initiated by the Contracts & Materials Department within 15 days from the date of Technical / Administrative approval by Competent Authority.
- B3.2 Calling of Tender / Bid Document Approval
- B3.2.2 While taking approval for calling of tender by the C&M department, the following shall be brought out in the proposal:
 - B3.2.2.1 Mode of Tender --- Open Tender / Open Limited Tender / Limited Tender / Single Tender / Market Purchase / GeM Procurement etc. as the case may be. Generally, this approval is obtained at the time of Technical and Administrative approval itself. However, the Tender mode in the instant proposal can be at variance from the earlier approach due to any reasons arising out of emergency / unavoidable circumstances as envisaged by Contracts & Materials department. Such change shall be approved by the same Competent Authority, who has approved the earlier Technical/Administrative proposal.
 - B3.2.2.2 Stage of Tendering and Nos. of Covers --- Single Stage Single Envelope / Single Stage Two Envelope / Two Stage Two Envelope.
- B3.3 Tender Category --- Goods/Works/Services/Consultancy.
- B3.3.1 Tendering Process --- Procurement through e-Procurement portal / GeM / Off line Tendering or as the case may be. Different options for different situations are elaborated in subsequent paras.
- B3.3.2 Name and Nos. of vendors in case of Limited Tendering, if any.[in addition to vendors approved in the Technical/Administrative proposal by Indenting Department]
- B3.3.3 Bid Submission Mode --- On-line Bid option shall be adopted in case of e-procurement or GeM procurement. In such cases, no offline submission shall be

allowed except the first envelope in which EMD is in the form of Bankers Cheque / demand draft / Bank Guarantee / copy of NSIC / MSME certificate (in case exempted as per Govt. Policy)/proof of online transaction (NEFT, RTGS, etc.) and Tender document Cost / fee in the form of cheque / Demand Draft submitted in line with bidding documents.

B3.4 Tender Publishing, Validity and Pre-Bid Meeting

- B3.4.1 Date of Tender publishing – In General course of action, it can be kept as 15 days from the date of Bid Document approval.
- B3.4.2 Document Download / Purchase period --- Elaborated in subsequent chapter
- B3.4.3 Last Date / Time for uploading Bid / Submission of Bid to be mention
- B3.4.5 Date / Time of Bid opening to be mentioned
- B3.4.6 Bid Validity --- 180 Days from the date of bid opening.
- B3.4.7 Qualifying Requirements/Scoring Criteria for QCBS - The complete details of referencing Qualifying requirements are elaborately mentioned in subsequent chapters.
- B3.4.8 Date of Pre-Bid Meeting --- In packages where it is felt that there is necessity of clarifying sophisticated specification so as to address all possible ambiguity in bid submission and post bid evaluations, approval of Competent Authority will be taken for the necessity and date of such Pre-bid meeting. In this context, queries received from prospective bidders upto the number of days prior to the last date of Bid submission (as indicated in bidding document) shall be considered for issuing clarifications. Any clarification sought by any prospective Bidder during this Pre- Bid Meeting or otherwise also shall be communicated to all Bidders, in writing with identifying the bidder who has sought the clarification.

It should be clearly mentioned in the NIT that:

- a) The Bidder(s) or his designated representative are invited to attend a “Pre – Bid Meeting” which will be held at Date, Time & venue as specified in IFB.

- b) Purpose of the meeting will be to clarify issues and to answer questions on any matter that may be raised at that stage.

B3.4.9 Complete Bid Documents – Details of all Bid documents which are proposed to be issued will be clearly brought out.

B3.4.10 During the course of tendering process i.e. from floating of NIT till award of contract, all communications with bidders shall be done in writing by C&M department and vice-versa.

B3.5 The Cost of Bidding Documents

B3.5.1 The cost of the bidding documents, wherever applicable, shall be reasonable and generally reflect the cost of their printing offline and delivery to prospective bidders and shall not be so high as to discourage qualified bidders.

B3.5.2 The cost of Bid Document, inclusive of taxes (applicable only in case of offline Open Tender) will be as under.

- a) Package valuing more than ₹25 Lakhs but upto ₹50 Lakhs --- ₹ 2000 / US\$40*
- b) Package Valuing more than ₹ 50 Lakhs but upto ₹ 1 Crore --- ₹2500 / US\$50*
- c) Package valuing more than ₹1 Crore but upto ₹2 Crores --- ₹5000 / US\$100*
- d) Package Valuing more than ₹ 2 Crores but upto ₹5 Crores --- ₹ 12500 / US\$250*
- e) Package Valuing more than ₹ 5 Crores --- ₹ 25000 / US\$ 500*

(*In case of International / Global Competitive Bidding.)

Note (1) - In case two or more packages are covered in the same Bidding Document, the Cumulative value of all such Packages shall be taken as the Package value for the above purposes.

Note (2) - For Open Limited / Single Tender / Limited Tender Invitation and for Sundry Procurement, the Tender document fee shall be NIL.

Note (3) - Cost of Bid document in some specific packages may also be waived with the specific approval from competent authority empowered for approval of award.

B3.5.3 The bidding document cost / tender fee shall be waived off for the NSIC / Micro Small Medium Enterprises (MSMEs) or shall be applicable as per the Govt. Policy in vogue.

B3.6 EMD / Bid Security

B3.6.1 Bid Security / EMD (Earnest Money Deposit) cost shall be 2% of the total estimated cost (including taxes) rounded off to nearest thousand.

B3.6.2 EMD shall be in the form of Account Payee Demand Draft, Bankers Cheque, Bank Guarantee (in case value of EMD is more than ₹50,000/-), online transaction (NEFT, RTGS, etc.). EMD shall normally be in form of Bank Guarantee (Physical or E-mode for value more than ₹ 50,000/- Generally, the validity of Bank Guarantee submitted against EMD shall be kept 30 days beyond the expiry of bid validity period. It shall be ensured that DD/Banker's Cheque are encashed as early as possible, before its expiry.

B3.6.3 The EMD shall be exempted for the NSIC / MSMEs as per the Govt. Policy in vogue.

B3.6.4 Procurement upto ₹2.5 Lakhs including taxes is generally finalized through the mode of Spot Enquiry / market survey and in some cases through LTE. As such, EMD shall be waived off for the packages of Cost Estimate up to ₹2.5 Lakhs inclusive of taxes. Further, waiver of EMD can be considered for cases like Single / Limited Tenders / Sundry Procurement for bids submitted by the bidders registered with NSIC, Govt. certified agencies, CPSEs, given under "Make-In-India" initiative etc. in line with the GoI policy in vogue.

B3.7 Bid Opening Committee

- B3.7.1 Bid opening committee will be constituted with members, one each from Indenting department, Contracts & Materials department and Finance department. Sometimes the officers nominated and approved may not be present on the actual date of Bid opening. In that case, a separate approval shall be initiated before Bid opening for a suitable substitution in case of off- line tenders. However, in case of tender through e-Procurement Portals, the names of approved Bid opening Committee should not be changed to the extent possible.

B3.8 Tender Committee

- B3.8.1 Tender Committee will be constituted as per the provisions of DoP, consisting of three members' one each from Indenting department, Contracts & Materials department and Finance department. In case of longer absence of any committee member, approval for nomination of alternate member may be obtained from the competent authority empowered for approval of such award. Subsequent changes in the value of estimation and / or after price bid opening shall not be a ground for review of decision / action to constitute Tender Committee & Bid Opening Committee.

- B3.8.2 In case where, Tender Committee is not required as per DOP, the responsibility of technical evaluation shall be of Indenting Dept.

Subsequent to Technical evaluation, Contract & Materials Dept will carry out the commercial evaluation in consultation with Finance. The complete evaluation report with recommendations shall be put by Contract Dept to the Competent Authority empowered for approval of award through the indenting Dept and Finance.

- B3.8.3 The tender committee shall be collectively responsible for evaluation of bids and recommendation of successful bidder.

B3.9 Bidding Documents

- B3.9.1 For preparing technical part of the bidding documents viz. Technical Specifications,

Bill of Quantity, Data Requirement Sheet, Technical Conditions of Contract, responsibility Centre shall be of the Indenting Department.

- B3.9.2 For preparing commercial part of bidding document viz. Invitation for Bid/Notice Inviting Tenders (IFB/NIT), Instruction to Bidders, General Conditions of Contract (GCC), Special Conditions of Contract (SCC), Bid Form/Bid Acceptance Letter including covering letter to bidding documents, the responsibility centre shall be of the Contracts & Materials in consultation with Finance department.
- B3.9.3 In order to expedite the finalisation of bidding documents Standard Bidding Documents (SBD) may be prepared to the extent possible. Normally the Bidding Document prepared first time for a specific procurement may be treated as SBD for such procurements. SBDs will help in finalizing the bidding documents required for package at the shortest possible time, by making modifications as per specific requirements with consultation of Indenting, C&M and Finance representatives. The SBD for small value procurements shall be simplified and shall have only essential clauses. The bidding documents shall generally comprise of the following:
- a) Invitation for Bids (IFB) / Covering Letter --- This may contain title of the Package, Brief Scope of work, list of the tender documents specified as annexures / sections, General Information like intimating the bidding procedure “Single stage Single Envelopes, Single stage Two Envelopes, Two stage bidding, etc.”, bid security value, Bid Validity, bid submission and bid opening date on e-Procurement Portal (if applicable), name, address, contact number and email address of the concerned contract executive etc.
 - b) Instruction to Bidders (ITB) --- This may contain information viz. Purchaser details, EMD, Tender Fee, Details of the bids parts to be submitted by the bidder, validity of the bid, late bids clauses, bid receipt and opening, bid price quoting instructions, deviations, Evaluation Criteria, Award Criteria, Employer’s right to accept Bid and to reject any or all bids.
 - c) General Condition of Contracts (GCC) --- This may cover issues like Contractor’s responsibilities, Purchasers’ Responsibilities, Insurance, Force

Majeure situations, Resolution of Disputes etc.

- d) Special Conditions of contract (SCC) --- This may contain special Conditions which will prevail over General Conditions of Contract. For the small packages SCC may cover all the relevant conditions viz Engineer-in-Charge, Location of work, Prices taxes and duties, quantity variations, work schedule, price basis, LD clause, Warranty, payments terms, CPG, Arbitration, Risk performance and cancellation and other general conditions.
- e) Technical Specification and Scope of works.
- f) Bill of Quantities and Schedule of Items.
- g) Forms and Formats- This may cover standard formats of Bid / Tender Acceptance Letter, Deviation statement Performa, Performance Security Forms, Form of Extension of Bank Guarantee and Integrity Formats.

B3.9.4 Bidding documents shall be non-transferable and bids from only those prospective bidders shall be accepted who pay the requisite cost of bidding documents except in case of bidders who are exempted from paying the cost of bidding documents.

B3.9.5 Generally SBD's have to be customized on case to case basis. All efforts must be made to ensure that the entire Bidding Documents are clear and there are no contradictions. Since these documents are voluminous and are prepared by editing the previous case or a standard case, due precaution needs to be taken for avoiding contradictory statements.

B3.9.6 Amendment to the bidding documents for the Tender once published/floated, shall be issued with the approval of In-charge of RLDC/NLDC/HOD of Indenting Department at CC in the level of CGM/ED.

B3.9.7 For correcting any typographical/ grammatical errors in specified formats, etc. that may have occurred in the Bidding Documents, corrigendum/ errata to the Bidding Documents may be issued with the approval HOD of Indenting Department not below the level of DGM.

B3.9.8 Written clarifications sought by bidders during pre-bid meeting / before opening

of bids, should be necessarily replied. Indenting department shall forward the reply to technical queries to Contracts department with the approval of HoD of Indenting department, for issuance to bidders. All technical clarifications are to be issued along with commercial clarifications (If any) after approval of competent authority.

B3.10 Specialised packages tendered for the first time or otherwise.

B3.10.1 For specialised packages tendered for the first time, a committee consisting of executive from Indenting department, C&M Department, and finance department may be nominated and will be responsible for preparation of bidding documents, Reply to clarifications sought by the bidders, proposing amendments to the bidding documents, Qualifying Requirements, Opening of bids, evaluation and putting up of recommendation of award to the competent authority.

B3.11 Validity of Bids and Bid Security

B3.11.1 Bids shall be generally valid for a period (normally 180 days or more than that in exceptional cases) sufficient to award the contract within that period. Shorter validity period may be specified whenever considered appropriate with the approval of the Competent Authority empowered for approval of award. The bid security (EMD) shall be in the amount and form specified in the bidding documents and shall remain valid for a period (generally) 30 days beyond the validity period for the bids.

B3.12 Use of Brand Names

B3.12.1 References to brand names, catalogue numbers, or similar classifications shall be avoided to the extent possible. If it is necessary to quote a brand name or catalogue number of a particular manufacturer to clarify an otherwise incomplete specification, the words “or equivalent” shall be added after such references. The specification shall permit the acceptance of offers for goods which have similar characteristics and which provide performance at least substantially equivalent to those specified. Before the Technical Specifications / GRID-INDIA’s Requirements are issued for specific goods with a brand name that does not have

any equivalent, especially for Information Technology Systems / Electronic Goods / FMCG / Vehicles / furniture / office equipment etc., it shall be supported with a comprehensive justification, including grounds of compatibility with existing / other systems.

- B3.12.2 If any item from a particular brand or model is required, the same shall be proposed by indenting department with proper justification under PAC bidding and the same shall be approved by Competent Authority.

B3.13 Pricing

- B3.13.1 Bids for goods / services shall be invited on F.O.R. (Free on Road/Rail) destination or EXW (Ex-works, Ex-factory or Off the Shelf) basis. The prices shall be inclusive of Transportation, Insurance, applicable GST, etc. to place of destination.

B3.14 Currency

- B3.14.1 All the bidders shall be required to quote the prices only in the Indian Currency.
- B3.14.2 Payment of the contract price shall be made in the currency or currencies specified in the contract except otherwise stated in the contract. Payments to the Foreign Bidder for Plant and equipment be supplied from abroad, Training Charges for training imparted abroad, Type testing Charges for Type Tests conducted abroad and Charges for Expatriate personnel, if any, can be made in freely convertible currency (ies), if so opted by the Foreign bidder in its bid, based on Bills Clearing (B.C.) Selling Market Rate of Exchange (MRE) established by State Bank of India (SBI), India prevailing as on the date of payment. In such cases, all charges including wire transfer charges towards foreign currency shall be borne by the bidder/contractor.

B3.15 Terms and Methods of Payment

- B3.15.1 Normally, direct payment to the Contractor / Bidder will be done. However, there shall be no objection to release the Payment through Letter of Credit (LC), if so requested by the Bidder / Contractor either in the bid or during contract execution. Contract may have provisions for suitable interest bearing Advances in

which case, the Advance payment shall be against a Bank Guarantee amounting to 110% of the amount to be paid in consultation with Finance.

- B3.15.2 Advance payment to NIC / NICS / Govt. Department / on Proforma Invoice shall be allowed after signing of agreement without bank guarantee or reduced amount of bank guarantee as the case may be with the approval of the Competent Authority.

B3.16 Interest on Advance

- B3.16.1 The interest on advance shall be at the rate equal to one year MCLR rate published by State Bank of India prevailing as on the date of drawal of advance.

B3.17 Performance Security

- B3.17.1 The Contract Performance Guarantee (CPG) / Security Deposit (SD) shall be 10% of the total Contract Price excluding taxes wherever mentioned separately or as per prevailing GoI guidelines. The Contract Performance Guarantee shall be kept valid up to 90 days after the end of guarantee / warranty / defect liability period / Contract period. EMD submitted by the successful bidder will be returned after the acceptance of the CPG submitted by the bidder. The CPG will be returned to the bidder without any interest after 90 days from the end of Guarantee / warranty / defect liability period / contract period. Similarly, the amount of Security Deposit (SD) will be released after 90 days from the date of successful completion of Guarantee / warranty / defect liability period / contract period. The date of issue of Certificate in this regard by Engineer-in-Charge will be treated as the date of successful completion of work(s) / Warranty period. Performance Security shall be as under:

- (A) The CPG of 10% of the Contract Price in the form of Bank Guarantee (generally for contracts valued more than ₹5 Lakhs inclusive of taxes)

OR

- (B) Percentage of each periodic payment to be held as SD until it reaches 10% of the contract price

OR

- (C) A combination of both i.e. CPG of a specified percentage and balance to be held as SD from each of the periodic payment until the sum of both reaches 10% of the contract price.

OR

- (D) Contractors may be allowed to replace SD with an equivalent security in the form of a Bank security or guarantee after provisional acceptance.

- B3.17.2 For the packages wherein the BoQ is based on the manpower minimum wages, CPG can be considered as 10% of the Contract Price as calculated on the date of award of LoA.
- B3.17.3 In case of CPG submission, EMD shall be returned immediately to the contractor after the confirmation of receipt and verification of CPG by Finance department. In such cases, while forwarding the CPG to the Finance department, Contracts & Materials department shall intimate the finance department about the return of EMD to the Successful Bidder/Contractor.
- B3.17.4 In case the Contractor opts for the Security deposit, EMD shall be converted to Initial SD.
- B3.17.5 For contracts to be placed on Single Tender/Nomination/Market Survey basis, submission of CPG may be exempted or Indemnity bond in lieu of CPG may be accepted. The Technical/ Administrative Approval of the same may be taken from Competent Authority who is empowered to approve award of the said contract as per DoP.

B3.18 Liquidated Damages

- B3.18.1 Provisions for Liquidated Damages (LD) for delay, in an appropriate amount (normally 0.5% per week or part thereof and maximum upto 5% of the total Contract Price both in case of Works / Services / Supply) shall be provided. However for Civil Packages, LD shall be kept as 1% per week or part thereof and maximum upto 10% of the total Contract Price.

B3.18.2 In petty works / services finalised through Single Tender / Market Survey / situation may warrant to exclude LD clause. In such cases, waiver for LD shall be taken at the time of Technical/ Administrative Approval.

----- End -----

B4: Defining Qualification Requirement

B4.1 Qualification Requirement

B4.1.1 Responsibility Centre:

The Indenting department shall be responsible for the initiation of QR

The purpose of Qualification Requirement (QR) is to identify such bidders who have the experience of delivering the required Goods / Services/Works to be procured. The QR is applicable only for Open and Open Limited Tenders. However, for Limited Tender packages QR may be considered on case to case basis.

B4.1.2 The pass / fail criteria of the QR shall generally be drawn in such a manner to enable adequate participation of the bidders to the extent possible and encourage indigenous participation as per prevailing policies of the Government.

B4.1.3 Merely meeting the pass / fail criteria specified in the QR does not entitle a bidder for award of contract.

B4.1.4 For award of contract, the bidders, as per GRID-INDIA's assessment, should have the capacity and capability to perform the contract satisfactorily in the event of award. Accordingly, GRID-INDIA's right to make such assessment shall be deemed to be part of the QR.

B4.1.5 To encourage indigenous vendors/contractors, alternative routes in the QR may be provided. In case the alternative route necessitates qualifying requirements to be relaxed with respect to those otherwise applicable, additional warranty requirements may be specified with due approval of the Competent Authority empowered for approval of award. Besides above, provisions for transfer of technical knowhow, technological collaboration, licensing of technology, skill development, or other such requirements may be specified. Qualifying Requirement may be waived off for approval of award for Government certified agencies, in case of Insurance, IRDA certified agency, Energy Audit/Cyber Security Audit, BEE/CERT-in certified auditor agencies etc, as per existing rules with the approval of Competent Authority empowered

B4.1.6 The pass / fail criteria of the QR, to be met on the originally scheduled date for submission of bids / tenders / applications / proposals except otherwise specified, shall mainly include the following:

- a) **Technical Experience:** Normally such experience shall be by way of projects / contracts executed during a given period of time, generally considered as last five years or as per permissible criteria of GeM portal in case of procurement on GeM portal. Technical experience can also be stipulated by including one work of 80% or two works of 60% or three works of 40% of cost estimate in last five years.
- b) While proposing the technical experience criteria for past years, date from which past years shall be accounted should be mentioned. Generally, it may be considered from the original scheduled date for Bid Submission.
- c) **Financial Position:** Normally this shall include annual turnover, liquid assets / access to or availability of credit, net worth etc. or as per permissible criteria of GeM portal in case of procurement on GeM portal. In general the requirement of turnover, liquid assets and net worth in the QR shall be arrived at as per following:

Minimum Average Annual Turnover requirement of QR (MAAT)	(Cost Estimate x 1.5) / Completion period in Years. (For the purpose of arriving at MAAT, total income, except non-recurring income e.g. Sale of fixed assets shall be considered). Further, the Completion Period for calculating MAAT shall be considered as 1 year even if the Contractual Completion period is less than 1 year
Liquid Asset requirement of QR (LA)	(Cost Estimate x 3) / Completion period in months (For the purpose of arriving at LA Current Assets less Inventories shall be considered). Further, the Completion Period for calculating LA shall be considered as 12 months even if the Contractual Completion period is less than 12 months.
Net Worth requirement of QR	Net worth for last three financial years should be positive. (Total Assets less Total Liabilities shall be positive).

The cost estimate referred above shall include taxes & duties unless otherwise specified.

For package of cost estimate below ₹5 Crores inclusive of taxes, LA and Net Worth criteria shall not be required. MAAT is not required, if cost estimate is less than ₹ 10 Lakhs inclusive of taxes for open tender.

B4.1.7 Once the Notice Inviting Tenders is issued, the pass / fail criteria of the QR shall not normally be modified, except in the following cases:

- a) Change (increase or decrease) in MAAT and LA by more than 15% due to change in scope of work / completion period / any other reason.
- b) Any change necessary to remove ambiguity in interpretation which does not alter the intent of the QR.

Such modification / change shall be notified through corrigendum to the original Invitation / Notice in the same medium / same manner in which the original was notified. Notwithstanding such modification / change, the date to be reckoned for meeting the QR shall continue to remain the originally scheduled date for submission of the bids / tenders / applications / proposals.

B4.1.8 However, in case substantive modification in the QR for any other reason becomes necessary and justified in the interest of subject matter of procurement, then as a matter of policy, corrigendum to the original Invitation / Notice shall be issued or the Invitation / Notice shall be annulled and fresh Invitation / Notice shall be issued. In case of such substantive modification in the QR, the date to be reckoned for meeting the QR may be the rescheduled date for submission of bids / tenders / applications / proposals.

B4.1.9 The QR of a bidder shall be ascertained based on data furnished in the bid. For this, the bidder shall be asked to furnish along with its bid requisite declaration from its Power of Attorney holder jointly with Key Managerial Personnel (KMP) of the company i.e. CEO / Managing Director / Company Secretary / Director / CFO / any of the partner in case of partnership firm / any other officer entrusted with substantial powers of the management of the affairs of the company / firm,

declaring the QR data to be true and correct. Self- certified copy of Contract / Award Letter and utility certificate / completion certificate/proof of execution shall also be taken to establish the fact that the mentioned contract had been awarded as well as got executed. For all other purposes, the specific contents as made in the self-declaration shall be treated as sufficient enough itself. The financial position shall be ascertained based on audited financial statements as applicable. Any other suitable documents viz. Chartered Accountant (CA) Certificate, ITR etc. can be accepted. Such data / declaration can also be sought through post bid clarification.

- B4.1.10 GRID-INDIA reserves the right to verify the QR credentials by physical visit. In case at any point of time it comes to the notice of GRID-INDIA that the QR data furnished by the bidder in its declaration / affidavit is not authentic, the same shall be dealt with as per the provisions of the bid document/Integrity Pact wherever applicable. In case Integrity Pact is not applicable, the verification shall be carried out by a committee constituted with the approval of CMD/ED (RLDC/NLDC) for packages dealt with by Corporate Centre/RLDC/NLDC respectively and further action shall be taken on the same line as provided in the Integrity Pact with the approval of CMD/ED (RLDC/NLDC) respectively.
- B4.1.11 For packages which comprise of Integrity Pact, the grievances are to be addressed to the panel of Independent External Monitors (IEMs) as mentioned in the bidding documents. Panel of IEMs are envisaged as an enabling mechanism for dispute resolution between the bidders and GRID-INDIA. IEMs would examine all complaints received by them and give their recommendations / views to the designated officer.
- B4.1.12 If it is concluded by the Independent External Monitor (IEM) Panel or through the mechanism resorted to as above in case Integrity Pact is not applicable, that the bidder has resorted to unethical practices inter- alia including mis-representation of facts, submission of false and/or forged details / documents / declaration, the bidder may be debarred from the participation in GRID-INDIA tenders for a period of 1 to 3 years, as considered appropriate and its Bid Security / Contract Performance Guarantee shall be forfeited besides taking other actions as deemed to be appropriate. Such list of debarred bidders should be circulated among all

RLDC's & CC/NLDC.

- B4.1.13 In case the QR data / documents of the bidders for QR compliance relate to GRID-INDIA projects / Schemes or the information is already available with GRID-INDIA, the same shall be considered for the bidder's QR compliance whether or not declared in the bid.
- B4.1.14 A database of QR data of different bidders shall be developed at Corporate Engineering department to minimize the time taken to ascertain QR compliance.
- B4.1.15 For repetitive nature of works, standard QR can be adopted and followed.
- B4.1.16 For all RLDC's packages where the scope is similar in nature to Corporate / NLDC packages, the QR shall be finalised based on the QR adopted for Corporate / NLDC packages to the extent relevant and applicable.
- B4.1.17 While finalizing QR for a particular package, if the proposal is for adoption of standard QR, the same will be processed for approval in the Engineering / Indenting department not below the level of Manager in consultation with C&M and the Finance department. However, if a deviation from the standard QR is envisaged for finalizing QR of a particular package, the proposal will be processed by a Committee comprising executives not below level of Ch. Manager from C&M, Indenting/Engineering and Finance department with the approval of Head of RLDC / NLDC/Department in CC, indicating specific reasons for such deviations / modifications.
- B4.1.18 For packages floated on GeM portal, the conditions as stipulated in GeM General Terms & conditions (GTC) shall be applicable. Terms & Conditions to be selected on GeM portal shall be aligned & prepared to match the requirements as explained above.

----- End -----

B5: Procurement Methods

B5.1 Methods of Procurement

- B5.1.1 Suitable procurement methods shall be employed as per guidelines indicated herein below. This aspect shall be taken care of, at the time of seeking technical and administrative approval by Indenting Department.
- B5.1.2 All procurements shall be carried out through e-procurement portals (Especially GeM Portal) to the extent possible. However, publishing of Tenders through the e - procurement mode for Tenders valued above Rupees 5 lakhs inclusive of Taxes shall be mandatory.

B5.2 Open Competitive Bidding / Open Tender Invitation

- B5.2.1 As a matter of general policy, Open Competitive Bidding (OCB) / Open Tender Invitation (OTI) shall be the preferred mode of bidding for packages wherein the estimated cost (including taxes & duties) of Works / Procurement / Services is more than ₹ 25 Lakhs.
- B5.2.2 Single responses against Open Competitive Bidding shall be treated as a case of Single Tender for all the purposes including DoP for awarding the contract.
- B5.2.3 Tenders/Bids invited/called from all the parties pre-qualified or empanelled/enlisted through newspaper advertisement/ e-procurement website with the approval of Competent Authority, shall be deemed to be open tender for all purposes including DoP.

B5.3 Limited Competitive Bidding

- B5.3.1 Under Limited Competitive Bidding (LCB), the invitation to bid shall be extended simultaneously to approved/selected bidders only.
- B5.3.2 Limited Competitive Bidding shall be appropriate wherein:
- a) The estimated cost (including taxes & duties) is less than ₹25 Lakhs. However, LCB may also be adopted in exceptional cases wherein the estimated cost is

more than ₹25 Lakhs in cases listed (b) & (c) below:

- b) The need for procurement is urgent in case of specialized and critical nature of procurement with the approval of the Competent Authority.
- c) The sources of procurement are definitely known and possibility of additional source(s) is remote.

B5.3.3 Under Limited Competitive bidding, bids shall be invited preferably from 3 or more suppliers / contractors and in case of less than 3 suppliers / contractors, the reasons and justification for the same shall be placed on record and approval of Competent Authority shall be obtained.

B5.3.4 There shall, however, be no objection in going for Open Tender Invitation for packages having estimated cost below ₹25 Lakhs inclusive of taxes.

B5.3.5 Single response against Limited Competitive Bidding shall be treated as a case of Single Tender for all the purposes including DoP for awarding the contract under the category other than those involving PAC/Urgency/Source Standardisation etc.

B5.3.6 For the purpose of LCB a list of supplies/contractors shall be maintained by the Indenting Department based on experience and Advertisement/Expression of Interest(EoI) etc. issued from time to time on regular basis preferably once in 3 years. Such advertisement/EoI may be published through e-procurement website or the press.

B5.4 Single Source Procurement

B5.4.1 Under Single Source Procurement, the procurement shall be undertaken from a selected source only, for which the Indenting Department shall place on record the justification in writing & obtain the approval of Head of Indenting Department.

B5.4.2 Single Source Procurement shall be considered as per the DoP and shall be appropriate in following cases:

- a) Compatibility with existing equipment; or
- b) The required item is of proprietary nature and obtainable only from one source. A certificate to this effect approved by Head of the Indenting Department will have to be furnished by the Indentor in standard format of PAC (Proprietary Article Certificate) attached at Annexure-I; or
- c) The procurement of certain goods from a particular supplier is essential to achieve the required performance or functional guarantee of an equipment or plant or facility; or
- d) In exceptional cases, such as, but not limited to, in response to natural disasters and emergency situations; or
- e) Procurement in case of source standardization. In case of source standardization, which will normally be approved by Competent Authority based on recommendations of a Committee consisting of representatives of Indenting, Contracts & Materials and Finance Departments. The proposal for source standardization and nomination of the committee shall be initiated by the Indenting department for approval of Head Of RLDC / NLDC / Concerned Department at CC or
- f) Engagement of institute of repute or Govt. Agencies e.g. IITs, IISC & similar government institutions etc. or
- g) Consultancy firm for specialized consultancy / jobs; or
- h) Statutory body, constituted and recognized by State Government and if it is necessary to adopt them in the interest of local Law and Order situation.
- i) Urgency of procurement: An urgency certificate supported by adequate reasons and justifications thereto shall be furnished by indentor, duly approved by the Head of the respective department. Urgency Certificate is enclosed at Annexure-II.
- j) The goods / works are required to be procured on single tender basis, on grounds other than above. This shall be resorted to in exceptional circumstances

based on specific technical considerations, in which case, the justifications thereof shall have to be furnished by Indenting Department and approved as per DoP.

- B5.4.3 The quotation obtained for Single Source Procurement for the purpose of estimating the cost may also be considered as a basis for finalizing the award after requisite contractual and other tie-ups with the firm / vendor through Negotiations by a committee approved by Competent Authority.
- B5.5 Sundry Procurement / Procurement through Market Survey / Direct Purchase / Spot Purchase
- B5.5.1 Sundry Procurement / Procurement through Market Survey / Direct Purchase and spot purchase shall normally be adopted for procurement of low value, viz. office consumables, off-the shelf branded items / consumer durables etc. and any goods or works or services which are urgently required for maintenance or emergency repairs or their total cost value is less than ₹ 2,50,000/- inclusive of taxes which do not warrant to take an exhaustive route of normal tendering process involving time and efforts. Procurements of value above ₹2.5 Lakhs are to be taken up in Limited Tender Enquiry mode.
- B5.5.2 Purchases upto ₹ 25,000 including Taxes will not require prior financial concurrence and can be made directly at reasonable rates by an Executive on spot enquiry or through GeM portal. Prior Technical and Administrative approval of Competent Authority is necessary before making such Purchases by way of Indent Form. The format of Indent Form is enclosed at Annexure-III.
- B5.5.3 Spot quotation collection can be adopted as a special case and on specific approval wherein the actual reason for adopting the methodology is clearly brought out for value of procurement above ₹25,000/- and upto ₹2,50,000/- inclusive of taxes. Spot quotation methodology of procurement may be adopted in special cases where one or more of the following constraints are encountered:
- (a) Urgent Requirement
 - (b) Technical specification of desired product / service is very subjective and

broad based or where similar products of widely varying quality are available in market.

- (c) Off-the shelf purchase
- (d) The requirements are not very well defined and quantities of item(s) / services to be procured may vary depending on various options available in market.

B5.5.4 Spot quotations Collection should normally be done by a committee of at least three executive one each from indenting department, Contracts & Materials departments and F&A department approved by the Competent Authority. The committee shall undertake market survey to ascertain the reasonableness of rates, quality and identify the appropriate suppliers / agencies. Committee shall preferably collect quotations from at least three agencies who are willing to supply the items / services within the stipulated timeline as per terms and conditions for the Supply / Work / Services. Before recommending the placement of the purchase order, the members of the committee will jointly record a certificate as under

“Certified that we, members of the purchase committee are jointly and individually satisfied that the goods / services recommended for purchase are of the requisite specification and quality, priced at the prevailing market rate and the supplier recommended is reliable and competent to supply the goods in question, and is not debarred by GRID-INDIA.”

B5.5.5 Each firm / vendor shall be permitted to give only one quotation.

B5.5.6 The order shall be placed by Authorised officer / Committee on the party who, in the opinion of the committee, has indicated most reasonable price. In all the cases of purchase of materials / services, reasonability of rates shall be recommended and certified by the concerned Executive(s).

B5.5.7 Placement of LoA/ PO is not required for amount upto ₹ 50,000/- inclusive of taxes, unless specifically required. Payment shall be made to the party / vendor directly on the basis of approved note itself.

B5.6 Rate contracts

- B5.6.1 Rate Contract shall be finalized through the mode of tender as proposed by Indentor while taking technical and administrative approval. Rate contracts may be entered into in the following cases:
- a) Commonly used goods or services needed on recurring basis.
 - b) Goods or services for which prices are likely to be stable or where Rate contracts could be finalized with provision of price variation to account for variation in the prices of raw material, labour etc.
 - c) Goods or services for which Rate Contract is convenient to operate.
- B5.6.2 Such Rate contracts are to be entered on discount on Net Dealer Price (NDP) basis, wherever applicable.
- B5.6.3 Period of Rate Contract: The period of Rate Contract should normally be two years extendable by another one year.
- B5.6.4 The Contract Performance Guarantee for Rate Contract shall be 10% of the estimated cost of the procurement to be undertaken.

B5.7 Mode (Route) of Tendering/Bidding

- B5.7.1 Domestic Competitive Bidding/ National Competitive Bidding
- B5.7.1.1 Domestic Competitive Bidding (DCB)/ National Competitive Bidding (NCB) shall be the preferred bidding route. In DCB/NCB, the bidding shall be open to only Indian entities i.e. entities incorporated under the Company Act 1956 or 2013 of India, as the case may be, and Partnership/ Proprietorship firm owned by Indian Residents, barring those with whom business is banned by the Government of India/GRID-INDIA. Bidding for procurements financed by domestic/ internal resources shall be termed as DCB while procurements using resources/ funds made available by multilateral/ bilateral/ other international financial institutions, shall be called National Competitive Bidding (NCB). For NCB, the guidelines prescribed by funding agencies shall be followed.

B5.8 Global Competitive Bidding/ International Competitive Bidding:

B5.8.1 Global Competitive Bidding (GCB)/ International Competitive Bidding (ICB) shall be followed to seek participation of international bidders through open tender invitation for which there is insufficiency of indigenous technology/ capacity/ capability limitations. Bidding open to bidders globally for procurements financed by domestic/ internal resources shall be termed as GCB while procurements using resources/funds made available by multilateral/bilateral/ other international financial institutions, shall be called ICB. For GCB, bidders from all countries are eligible barring those with whom business is banned by the Govt. of India/ GRID-INDIA including on account of country specific restrictions imposed by Govt. of India. For ICB, the guidelines prescribed by funding agencies shall be followed.

B5.9 Methodology (Process) of Tendering/ Bidding

B5.9.1 Procurement through Government e-Marketplace (GeM)

B5.9.1.1 Procurement shall mandatorily be executed through GeM portal as per the Govt Policy in vogue & circulars issued from time to time. However, while adopting the GeM procurement, availability of product/services is required to be checked on the GeM portal for the approved technical specification. GeM Availability Report showing non-availability of products/services shall be mandatory for resorting to other processes of procurement. Products/Services not available on GeM Portal can also be tendered through customised bidding in GeM portal. The same needs to be intimated to GeM Portal before proceeding for customised bidding/procurement through other e-procurement portal.

B5.9.1.2 For the procurement through GeM portal, Conditions / Provisions as stipulated in GeM GTC (General Terms & Conditions) / SLA (Service Level Agreement) shall be applicable for the contract awarded through GeM. Additional terms and conditions, if required, (Buyer added bid specific ATC, SOW, SLA) may be incorporated by the Buyer after approval of the Competent Authority.

B5.9.1.3 GeM portal being dynamic and evolving, various procedures, terms and conditions undergoes revision based on feedback/requirements. Notwithstanding, policy

listed in this PROCUREMENT POLICY, the procedures/facilities provided in GeM be utilized and will have precedence over this PROCUREMENT POLICY.

B5.9.2 Procurement through Central Public Procurement Portal

B5.9.2.1 Central Public Procurement Portal of the Government of India has to be used only in case, where the procurement through GeM portal is not possible. For opting procurement through CPP portal, the indenting department shall obtain GeM availability certificate from GeM portal with due approval of Competent Authority. The CPP Portal is accessible at the URL <http://eprocure.gov.in> and it has e- publishing and e-procurement modules. Salient points addressed by this portal is at Annexure-IV.

B5.9.3 Procurement through e-Commerce Portals

B5.9.3.1 As brought out in para B5.9.1, procurement shall mandatorily be taken up through the GeM Portal. However, if any of the items are not available in GeM portal, such items for a value of upto 2.5 Lakhs (Inclusive of taxes) can be procured through authentic e- commerce portal viz. Amazon India, Flipkart, Snap deal, Indiamart, etc. Such proposal for procurement shall be enclosed with GeM availability report, while seeking approval of competent authority.

B5.9.3.2 The Concerned Individual / department shall explore the availability of required items as well as required quantity on the e-commerce portals. Upon approval, the indent shall be forwarded to Contracts & Materials Department for procurement. The lowest Price hosted by any of the three portals shall be the basis of Cost Estimate. The indent shall clearly specify make / model numbers / Cost Estimate of the items required.

B5.9.3.3 The Online procurement shall be effected by an authorized Executive in the Contracts & Materials department hereinafter called “Online Procurer”. The “Online Procurer” shall carry out the purchase along with the member of Finance & Indenting departments based on the approval.

B5.9.3.4 In case, if all available online prices are more than 110% of the estimated cost then the procurement shall be annulled and the same shall be brought to the notice

of the indenting department. Further course of action shall then be initiated by indenting department.

- B5.9.4.5 The comparative statement of all online options along with the finalized one shall be duly signed and submitted to finance through Indenting Department for regularization of the purchase.
- B5.9.4.6 Payment of the said procurement shall be effected by the online procurer through “Corporate Credit Card”. The said “Corporate Credit Card” of suitable value shall be under the custody of approved “Online Procurer” of Contracts & Materials department and the payment shall be effected by the holder of the said Credit card. The delivery of the purchase shall be taken at the office address. In case it is felt that the number of procurement being done through online e commerce portal is being utilized occasionally, then maintaining a Corporate Credit Card may be reviewed. In such cases, other means of payment may be adopted in line with the powers accorded in DoP.

B5.10 Electronic Reverse Auction

- B5.10.1 “Electronic reverse auction” (e-RA) is an online real-time purchasing technique to select the successful bid, which involves participation by bidders of successively lowered bids during a scheduled period of time.
- B5.10.2 In e-RA, the bidders who are ascertained to be qualified & responsive to the bidding conditions, unless otherwise restricted, shall be eligible to participate in the e-RA process. E-reverse auction may be adopted for the tender of value more than ₹5 Crores inclusive of taxes, after approval by Competent Authority. For procurement through GeM portal, facility for reverse auction may be utilized for obtaining competitive price, irrespective of value.

B5.11 Procurement under Make in India, MSME and Start Up Policy of Govt. of India

- B5.11.1 The procurement of Goods & Services considering “Make in India” Policy, Start-up & Micro & Small Enterprises shall be as per the Govt. policy in vogue. While seeking Technical and Administrative approval, Indenting Department should clearly bring out the Minimum Local Content requirement, Eligibility/Class of

Suppliers for the procurement and if the contract divisible among more than one bidder etc in line with the latest directives from GoI.

B5.12 Procurement of Customised Software Solutions

B5.12 Customised software may be required for meeting specific needs and requirements. Further, considering rapid changes in the Regulations there will be need for frequent additions / modifications in existing installed software. Such procurement can be undertaken as per the following methodology: -

- (i) A committee comprising of Members from following departments will be approved by the Competent Authority in respective RLDC / NLDC from where Tendering action has been initiated for procurement: -
 - IT department
 - Indenting department
 - Finance department
 - Contracts & Materials department
 - Engineering Department, if required.
- (ii) The Procurement committee shall identify the software development agencies capable to undertake such jobs and identify the agency considered to be most suitable for undertaking such job at reasonable price through Tendering action. The proposal identifying such agency shall be put up by the committee for approval of Competent Authority.
- (iii) While awarding the contract, provision for future modifications shall be kept. However, it is not always feasible to assess all future changes which may be required in the software. The committee constituted, shall negotiate with the Agency for additional cost for such modifications in order to ensure that option of continuing the Services are available to the GRID-INDIA.

B5.13 Procurement from Recognized Institutions IIT / IIM / CDAC/ NIC / NIT / IMD etc

B5.13.1 There may be a requirement of Tie-up with recognized institutions in India / Abroad

for services like Big Data Analytics, Pilot Projects, specialized Technical or Human Resources Trainings, any other type of collaborations with commercial implications. Procurement of specialized services / Solutions like IIT / IIM / CDAC/ NIC / NIT / IMD and similar Institutions of Repute in India / Abroad may be taken up through tie-ups with these institutions, as these institutes do not participate in the tender process. Hence, the similar approach of finalizing the contract through high level committee as brought out in para B5.12 shall be adopted.

*However, in case of Tie-up with Foreign Agency the approving Authority for constitution of committee and final approval of the Tie-Up will be CMD irrespective of the value of the Project.

B5.14 Type of Bidding Process

B5.14.1 Single Stage Two Envelope (SSTE) Bidding Process

B5.14.1.1 Single Stage Two Envelope (SSTE) shall be the preferred process of bidding, wherein offer pertaining to techno-commercial part including bid security, Documents in support of QR, Guaranteed Parameters / Technical Specification etc. (1st Envelope) and Price part (2nd Envelope) in two separate envelopes shall be submitted simultaneously. The 1st Envelope shall be opened first and shall be evaluated by Tender committee to determine its techno-commercial responsiveness in accordance with the provisions of the Bidding Documents. Subsequently, the 2nd Envelope (Price part) of only responsive bidders, meeting the specified QR and assessed to have requisite capacity and capability shall be opened for further processing.

B5.14.1.2 The single stage two envelope bidding process is generally adopted in Open Tendering and Open Limited mode where parties are not known. However, there shall not be any objection in case Single Stage Two Envelope bidding process is adopted in Limited Tender.

B5.14.2 Single Stage Single Envelope (SSSE) Bidding Process

B5.14.2.1 For nomination basis / single tender procurement / LTE among Pre- qualified parties, Single Stage Single Envelope (SSSE) bidding process shall be adopted.

Further, under critical situations / natural calamities / disaster, Single Stage Single Envelope Bidding Process can be followed. However, there shall not be any objection in case SSTE bidding process is adopted in LTE among pre-qualified parties.

B5.14.3 Two Stage Bidding Process

- B5.14.3.1 Wherever the requirement is for large complex facilities on single responsibility for design, supply and installation or for single responsibility contract for supply and installation or work of a complex and special nature or for complex information and communication technology or similar type that are subject to rapid technological advances and where technical specification and commercial conditions cannot be firmed up / finalized / or are uncertain, Two Stage Bidding Process shall be followed. Two Stage Bidding Process may also be followed in cases of procurement for the purpose of developing customised Software, research, experiment, study or development.
- B5.14.3.2 Wherever a Two-Stage Bidding Process is required to be adopted, the same shall be specifically brought out in the proposal by Indenting Department along with reasons and justification.
- B5.14.3.3 Under Two Stage bidding, First Stage bids shall be the Techno- Commercial bids without any reference to prices and the Second Stage bids shall be the Price bids with bid security. The Second Stage (Price) bids shall be invited either under Single Envelope or Two Envelope procedure as considered appropriate. The invitation shall however, be subject to bidders acceptance of the clarifications and amendments issued pursuant to the clarification meetings.
- B5.14.3.4 For the procurement particularly for vendor development, new areas including those areas where it is difficult to anticipate probable bidders and level of participation, Expression of Interest (EoI) may be invited. In the EoI only the basic Qualifying Requirements (QR) for 'Technical Experience' and/or 'Financial Position' may be specified. Further, wherever considered appropriate, the Applicant complying with the QR may be allotted marks on different attributes and only those Applicants who obtain at least the minimum marks specified or those who are ranked higher

(say top 6), be considered for inviting bids. However, the methodology for marking must be specified in the request for EoI. Wherever the methodology for marking is not applicable, bids shall be invited from all the applicants complying with the basic QR. Award against bids invited under this process shall be considered as award against Open Tender for all purposes.

B5.15 Quality and Cost Based Selection (QCBS) bidding process

- B5.15.1 A method that takes into account the quality of the proposal and cost of the services, commonly recommended method for the selection of consultant. Typically preferred for Bidding, suitable specifically in situations where the technical input required is highly specialized and the concern for technical quality dominates the concern for lowest cost. In this method, Request for Proposal (RfP) for the works / services is prepared and circulated among prospective bidders. Bidders are required to submit technical and financial bids. However, administrative approval for procurement via QCBS shall be obtained from Head of RLDC/NLDC/Indenting department in CC.
- B5.15.2 Technical bids are evaluated based on QR and scoring on various parameters. Financial bids of technically qualified bidders are then opened. The approval for QCBS bidding process along with QR, scoring criteria and weightage to be adopted shall be taken up by Indenting Department with approval from Competent Authority and shall be mentioned clearly in RfP. The bidder with the highest weighted combined score (quality and cost) shall be selected. Weightage shall be adopted as below:
- (i) For Consultancy Services: The weightage for Quality/Technical Parameters vis-à-vis cost shall be in the ratio of 80:20 or 70:30 or 60:40 or 50: 50.
 - (ii) For Works and Non Consultancy Services, Weightage for Quality/Technical parameters shall not exceed 30%.

B5.16 Guidelines on Publication of Notice Inviting Tenders / Invitation for Bids (NIT/IFB)

- B5.16.1 For publishing NIT on e-Procurement Portal or GeM Portal, all requisite inputs e.g.

approved Package, QR and Cost Estimate must be in place.

- B5.16.2 The IFB / NIT shall be extended to prospective bidders by advertisement of procurement notice through e- Procurement portal or GeM portal or GRID-INDIA's website or newspaper.
- B5.16.3 Advertisement through newspapers is not required for tenders published through e- Procurement portal or GeM portals. In case advertisement in newspaper is required, same may be done with proper justification and approval of Competent Authority.
- B5.16.4 If E-tendering is not feasible for any reason then offline tender may be adopted. In case of offline open tender the IFB / NIT shall be extended to prospective bidders by advertisement of procurement notice through newspapers (at least 3 newspapers two Regional and other National). The text of NIT shall be optimized so as to minimize the advertisement cost. For this, a standard format of NIT shall be used. NIT shall be published in one leading newspapers of all India repute and two widely circulated regional newspaper of the area where the work is to be executed including display on the notice board at NLDC / RLDC. (One of which should preferably be vernacular) nearest to the area where the work is to be executed. For smaller value packages (₹1 Crore including taxes or Less), it may not be essential to include national newspaper.

Selection of newspapers shall be done in uniform and transparent manner so that the distributions of advertisement are done equitably amongst the publishers.

The corrigendum to the NIT on account of change in QR shall be published in the same newspapers in which original NIT had been published. In case of global tendering, apart from newspaper, NIT may also be published in ITP (Indian Trade Portal) by the way of e- publishing). The corrigendum can be issued on GRID-INDIA/e-procurement sites instead of the same newspapers as mentioned above provided original NIT has clearly mentioned that the bidders are required to regularly visit the GRID-INDIA/e-procurement portals to see further updates/ Amendments/Corrigendum to the said NIT.

B5.16.5 In case of offline Limited tender the IFB / NIT shall be extended to approved / selected bidders by sending the IFB / NIT via Post / By Hand / E-mail.

B5.17 Guidelines on Bid Preparation & Submission of Bidding Documents

B5.17.1 A reasonable period shall be allowed for the preparation, submission and sale of bids. The reasonability shall depend on the circumstances governing the procurement in question including its magnitude and complexity.

B5.17.2 The minimum period for Submission / sale of bidding documents for Single Stage Two Envelope, Single Stage Single Envelope and Two Stage (First Stage) bidding shall be kept as per the guidelines given under:

Estimated Cost of Package (including GST)	Minimum Period of Bid Submission / Sale Period *
Upto ₹1 Cr	21 days
More than ₹1 Cr upto 100 Cr	30 days
More than ₹100 Cr	45 days

**Approximate number of days till close of working hours, to be adjusted appropriately to avoid closed holidays or bunching of packages.*

For Second Stage bid submission under Two Stage bidding, normally a period of 21 days may be kept for packages of estimated cost up to ₹1 Crore, 30 days for More than ₹1 Cr. upto 100 Cr. & 45 days for packages More than ₹100 Cr.

B5.17.3 Wherever necessitated, the submission/sale period can be reduced with the approval of Competent Authority empowered for approval of award, but, in no case, not less than.

Estimated Cost of Package (Including GST)	Period not less than of Bid Submission /Sale Period *
Upto ₹1 Cr	7 days
More than ₹1 Cr upto 100 Cr	21 days

**Approximate number of days till close of working hours, to be adjusted appropriately to avoid closed holidays or bunching of packages.*

- B5.17.4 Under e-procurement, the parties shall be free to download the bidding documents till the deadline for bid submission.
- B5.17.5 The payment towards Tender fee / cost of bidding documents for offline packages can be done through Online transaction / DD / Bankers cheque, if the same is in place, in line with the guidelines and as per the provisions of Bid Document.
- B5.17.6 A Pre-Bid Conference may be convened for procurements characterized by complexities or such other conditions that deems fit for convening a Pre-Bid Conference. The date, time and venue of such Pre- Bid Conference shall be made part of NIT.
- B5.17.7 The date of Bid Submission / Sale and its opening may be extended in case of issuance of amendments / clarifications to the Bidding Documents and / or based on reasonable request of prospective bidders, wherever considered appropriate, or any other justifiable reasons with the approval of Competent Authority empowered for approval of award.

B5.18 Guidelines on Bid Submission

- B5.18.1 In case of offline tender, the deadline for bid submission shall be 1- 3 working days (upto 1700 Hrs.) after close of sale of Bidding Documents. However, under e-procurement, the deadline for bid submission i.e. uploading the bids (Soft / e-part of the bid), on e- procurement portal shall be scheduled with or after the expiry of the period of last date for Bid Download. The deadline for submission of the Hard / Paper-Part of the bid along with the requisite tender fee / cost of bidding documents, shall normally be till the Bid Opening date and time.
- B5.18.2 In the e-procurement, bidders shall be permitted to submit their bids through online mode only. The hard copy part of bid e.g. Earnest Money Deposit (EMD), Tender fee or copy of Exemption Certificates (MSME / NSIC) etc. are to be submitted in physical form at the designated place before the deadline for submission of the Hard / Paper part of the bid.

If as per provision of bidding documents, EMD is to be submitted in form of RTGS/NEFT OR Exemption for submission of EMD is availed by MSME as per policy in vogue OR Online EMD submission is permissible then online submission

of documents can be accepted. Confirmation regarding EMD submission through NEFT/RTGS, should be taken from Finance Department.

- B5.18.3 Under e-procurement, in case the Soft / e-Part of the bid and / or the Hard / Paper part of the bid are not submitted as above, the bid shall be considered as incomplete and shall be treated non-responsive.
- B5.18.4 Modification / Withdrawal of Bids: In case of bidding other than under e-procurement, the Bidder may modify or withdraw its bid after submission, provided that modification or written notice of withdrawal is received prior to the deadline prescribed for bid submission which shall include any extension thereof, as considered appropriate. No Bid may be modified or withdrawn after the expiry of deadline for Bid submission and prior to expiry of the Bid validity period. Modification or withdrawal of a Bid during this interval will result in forfeiture of bid security submitted by the Bidder.
- B5.18.5 A Bid submitted / received after the deadline for bid submission shall be termed as 'Late Bid' and shall be treated as Non-responsive.

B5.19 Guidelines for Bid Opening

- B5.19.1 The bids shall be opened immediately after the deadline of bid submission is over (say after a period of half an hour). However, under e-procurement, the bids shall be opened after expiry of half an hour / as per the timeline given in respective portal from the deadline for submission of the online Bid / Hard / Paper part of the Bid along with the requisite Tender fee / cost of bidding documents if required.
- B5.19.2 The bids shall be opened at the designated place (as specified in bid documents) on the e-portal or otherwise as applicable, stipulated in the bidding documents irrespective of the number of bids received by such deadline. However, if it is observed at the time of bid opening that the response is low viz. less than 3 bids have been received, then the bids may not be opened and the timeline of bid submission may be extended. The timeline of bid submission may be further extended till more than 2 bids are received. If after multiple extension(s) only one bid is received or less than 3 bids are received, the same may be opened with the approval of Head

of RLDC/NLDC/HOD of indenting Department at CC in the level of CGM/ED. In e-procurement, Bid Opening Committee can open the tenders through access to portal from remote/different locations.

- B5.19.3 During the bid opening, neither the merits of any bid shall be discussed nor shall be rejected. The highlights of the bid shall be read out and recorded in Bid opening statement. In case of e-procurement such statement may be filled up by the Tender Committee and uploaded along with the bid in the specified format. In case of price bid opening on the e-procurement portal, price comparison sheet shall be downloaded from the portal. However, such filled up statement shall not be construed as part of the bid and in case of any discrepancy and / or inconsistency of the entries made therein and the bid, the latter shall prevail.
- B5.19.4 In case of e-Procurement, any extension in the Date and Time of Bid Submission / Bid Opening shall not be considered merely on the plea / ground of system error / access constraint or any such system related issue encountered by the particular party making such request.

B5.20 Nomination and Approval of Bid Opening Committee and Tender Committee

- B5.20.1 For the purpose of opening and evaluation of bids, 'Bid Opening Committee' and 'Tender Committee' shall be constituted before opening of Bids comprising of members from Indenting, Contracts and Finance departments. Member from Engineering or any other department may also be nominated, if required as part of these committees. In case approved Bid opening / Tender committee member is not available on actual date / time of bid opening, a fresh approval shall be taken for substitute members.

B5.21 Conflict of Interest

- B5.21.1 In case, any of the Tender Committee members has personal interest in any of the bidders who have participated in the bidding process, then such member shall refrain from participating in the Tender Committee. He / she shall intimate the same through proper Channel to Competent Authority empowered for approval of award in writing following which an alternate member shall be nominated.

- B5.21.2 Any executive who is directly or indirectly involved in the evaluation of bids and approval of evaluation report including member of Assessment Committee shall disclose any conflict of interest they may have and shall recuse themselves from such evaluation/assessment by recording the reason in writing for the same.

----- End -----

B6: Bid Evaluation and Recommendation

B6.1 Evaluation of Bids and submission of Evaluation Report with Recommendations

- B6.1.1 Tender Evaluation after opening of the First Envelopes shall be carried out by the Tender committee. The evaluation of bids shall be confidential. Tender Committee may request the indenting department to furnish the Technical compliance of Tendered specifications. Recommendation of Tender Evaluation Report will invariably start with the following statement.

QUOTE

"This Evaluation Report has been prepared generally in line with the provisions of Bidding Document and the "Procurement Policy". It is further confirmed that none of the Members of the Tender Committee has any personal interest in the Companies / Agencies participating in this tendering process. Further, it is also confirmed that the Evaluation Criteria / Procedure was a part of bidding documents and while evaluating the bids, the same has been strictly complied with and the whole process of evaluation has been done in a transparent manner."

UNQUOTE

- B6.1.2 The Tender Committee shall determine responsiveness of the bids, QR compliance of the bidders and their evaluated prices to facilitate comparison. The evaluated Price may not necessarily be the same as that recorded in the Bid Opening Statement. The determination of the evaluated price shall be as per the provisions of Bidding Documents.
- B6.1.3 Bids shall be evaluated based on the criteria specified in the bidding documents. Special and / or peculiar issue and / or circumstances encountered during bid evaluation, if not specifically covered in the bidding documents, shall be in fair, transparent and equitable manner and duly recorded along with assumptions made, if any.

- B6.1.4 For procurement under funding by any agency, the guidelines, if any, as may be prescribed by them shall be taken into account for bid evaluation. Similarly, in respect of procurement for and on behalf of other utilities / Client Organizations, the guidelines, if any, as prescribed by them shall be taken into account for bid evaluation. Such criteria should be clearly mentioned in the Bidding document itself.
- B6.1.5 The evaluation criteria shall generally and normally relate to any or combination of any of the following:
- i. The bid is accompanied by requisite EMD/Bid Security/Bid Guarantee
 - ii. Completeness of Bid and its legal validity;
 - iii. QR including Capacity & Capability;
 - iv. Price
 - v. Taxes, duties and other levies;
 - vi. Overall compliance to the requirements of the Bidding Documents without any material deviation, omission or reservation;
 - vii. Time for Completion;
 - viii. Performance and Functional Guarantees, if any;
 - ix. Acceptability of the Collaborator, Licensor, Associate and/or Subcontractor/ vendor, considered critical for contract execution;
 - x. The experience and technical qualification of the bidder and of the personnel to be involved in providing the subject matter of procurement, if relevant and specified;
 - xi. Trials, sample testing, site demonstration and other additional methods of technical evaluation provided the requirement is specified in the Bidding Documents;
 - xii. Any other criteria considered necessary.
 - xiii. The bids shall also be checked for arithmetic error, if any, to arrive at the

computed price, in line with the provisions of bidding documents.

- xiv. The bidding documents can provide critical provisions, from which the bidders are not permitted to take any deviations and it can also be stated that the Bids containing deviations from the same shall be considered as nonresponsive. Such critical provisions generally relate to Governing Law, Settlement of Disputes, Terms of Payment, Performance Security, Taxes and Duties, Completion Time Guarantee, Defect Liability, Functional Guarantees, Patent Indemnity and Limitation of Liability. During preliminary evaluation, it shall be examined whether any deviation from the critical provisions has been taken by the bidders or not. Any bid containing such deviation without indicating its withdrawal price, will be considered as non-responsive. If the bidder has taken a deviation to critical provisions and has indicated a cost for withdrawal, the same shall be considered for the purpose of cost compensation during detailed evaluation stage.
- xv. All deviations/exceptions, observed in the bid, which can be quantified in monetary terms of liability, shall be considered for cost compensation provided the bid remains responsive in spite of such deviation/exception.
- xvi. Non-submission of documents pertaining to historical data/ fact with regard to general compliance with the bidding requirements would not, in the normal course, be sufficient ground to consider a bid as non-responsive or to reject the same. In so far as the same is merely a matter of record or publicized information or does not in any way decrease the bidder's liability and obligations, the same may be obtained by GRID-INDIA through its own sources or from its other records, and considered. Such information may also be asked from the bidders by way of clarifications. In this regard, the tender committee, through the Indenting and the Finance Dept., shall put up necessary recommendations for approval of Head of RLDC/NLDC/HOD of Indenting Dept. in CC in the level of CGM/ED. The request for clarification shall be made to the bidder in writing by the concerned Contracts Coordinator not below the level of Dy. Manager.
- xvii. Minor non conformities/ deviations/ exceptions observed in the bids, including those with regard to form/formats used, may be waived off on approval by

Head of RLDC/NLDC/HOD of Indenting Dept. in CC in the level of CGM/ED, provided the same are not assessed to imply incidence of additional monetary liability, direct or indirect, on GRID-INDIA.

B6.1.5.1 Any non-price evaluation criteria shall be objective and quantifiable, as far as practicable.

B6.1.6 The bid evaluation shall involve the following:

- a) Checking of bids for required submissions and identifying omissions, if any.
- b) Examination and preliminary evaluation of bids viz. aspects related to legal validity of bids, bid validity, bid security, bid completeness, general responsiveness to the requirements of bidding documents and conditions for further consideration etc.
- c) Determination of the bidders' compliance to Qualifying Requirements.
- d) Determination of organizational strength, technical and financial capability and capacity of the bidder to execute the contract as specified in the bid documents. Assessment for guaranteed performance and functional guarantees (e.g. performance, efficiency, consumption etc.) of the plant and equipment / facilities in response to the Technical Specifications.
- e) Examination for any other relevant factors as may be specified in the bidding document.
- f) Obtaining historical data / details / documents and other clarifications on such aspects as may be required for bid evaluation, without permitting any change in the substance of the bids.
- g) Obtaining data/details/documents for determination of organizational strength, technical and financial capability and capacity.
- h) Examination and evaluation of observations on Technical and Commercial aspects of the bids including deviations whether material or minor and

assessment / determination of corresponding cost compensation, if any, on account of the same for the purpose of at par evaluation.

- i) Examination and checking of quoted prices and rectification of arithmetical errors, if any to arrive at computed / corrected Bid Price as per provisions of the Bidding Documents. Arithmetical errors will be rectified on the following basis: If there is a discrepancy between the unit price and the total price, which is obtained by multiplying the unit price and quantity of any item, or between sub-total and the total price, the unit or sub-total price shall prevail, and the total price shall be corrected. If there is a discrepancy between words and figures, the amount in words will prevail. Further, if there is a discrepancy between the quantity specified by GRID-INDIA in the bidding document and that indicated by the bidder in his bid, the former shall be taken to arrive at the computed price. In case the unit rate of an item is not quoted but the total price is indicated, the same shall be taken to arrive at the computed price. The computed price arrived at, as above, shall be considered for the purpose of award also. If the bidder does not accept the correction of errors, its bid will be rejected.
- j) Examination of bids for applicable taxes, duties and other levies, which are reimbursable in line with the provisions of the Bidding Documents, and determination of the same to arrive at the Bid Price including taxes & duties, wherever required for arriving at the evaluated Bid Price.
- k) Arriving at the Evaluated Bid Price considering the cost compensations, if any, and other factors viz. capitalized amount towards guaranteed parameter and other aspects as identified in the bidding documents.

B6.1.7 In assessing the cost compensation towards minor deviations for arriving at the evaluated price, the cost of withdrawal indicated by the bidder shall be taken into account. If the same is not given, GRID-INDIA shall make its own assessment of the cost, based on other bids or any other information.

B6.1.8 For arriving at the amount of loading / cost compensation on account of deviations or scope deficiencies, the following methodology shall be adopted in case of

where GRID-INDIA has provided the BOQ with description of items along with quantities and bidders are required to quote unit rate for each item and indicate the amount:

- (i) If a bidder has indicated BOQ item (both description and the quantity) but has not quoted (left blank or indicated '-') its unit rate and amount, it is deemed that the price of such item is included in price of other items. While evaluating the bids no loading/cost compensation will, therefore, be done on this account. During Post Bid Discussions, it shall be informed to the bidder and recorded that he has to execute such items upto the quantity provided in BOQ, without any payment against said item separately. In case, during actual execution, the quantity of such items exceeds the quantity originally provided in BOQ, payment for such additional quantity shall be made as per rate to be decided in terms of provisions of the contract, treating it as a new item. In case final quantity as per actual execution remains within the quantity originally provided in the BOQ, no adjustment in contract price shall be effected on account of the same. In order to avoid complications, suitable provision in regard to the above shall be made in the bidding documents.
- (ii) If a bidder, who is required to quote his price conforming to specification requirements / terms and conditions, has taken a deviation and indicated price for withdrawal of the same in its bid, the withdrawal price shall be taken to arrive at the amount of cost compensation / loading for the purpose of evaluation. Further, if the deviation taken by the bidder is not acceptable to GRID-INDIA and it is decided to award the contract on such bidder, the said amount shall be included in the recommended award price and considered for the purpose of award also.
- (iii) If a bidder, who is required to quote his price conforming to specification requirements / terms and conditions, has quoted his price for an item(s) / sub-item(s), deviating from specification requirements/terms and conditions without indicating the withdrawal price, the amount of cost compensation / loading will be arrived at in the following manner:

- a. The cost compensation/loading amount for that item shall be derived from the bid itself.
- b. If (a) is not possible, average of rates of other bidders, who have quoted for that item conforming to technical specification, shall form the basis for cost compensation / loading. While working out the average of rates, as above, if any of the bidder has mentioned 'NIL'/'Free of Cost'/' - ' or left blank against the item in question, the same shall not be taken into account.
- c. If none of bidders has quoted rate for that item conforming to specification, the rate as per NIT cost estimate shall form the basis for cost compensation / loading.
- d. In case the rate of that item is not available in the NIT cost estimate, the amount of cost compensation / loading shall be assessed by the tender committee taking into account all such data as is considered relevant for reasonable assessment.

If it is decided to award the contract on such bidder, the amount of cost compensation/loading worked out as above shall not be included in the recommended award price. Such deviations will be resolved with the bidder during the post-bid discussions (after recommended price approval) and adjustments, if any, on account of such resolution will be made in the recommended award price. However, such adjustment shall, in no circumstances, be higher than the price considered for cost compensation / loading during evaluation.

- (iv) If a bidder has not included, in his bid, an item of BOQ (provided by GRID-INDIA) or has indicated only its description without the quantity and rate / amount, cost compensation / loading shall be done as per para (iii) above.
- (v) If the deviation taken by the bidder involves interest liability on the GRID-INDIA / owner, in such cases, the cost compensation shall be arrived at based on the prevailing Prime Lending Rate of SBI.

B6.1.9 In those cases, where the bidder has taken a material deviation but has not indicated the cost of withdrawal, the bid shall be treated as non- responsive and shall not be

considered further.

- B6.1.10 At the time of award of Contract, the bidder may withdraw the deviations at no cost to GRID-INDIA or at the cost of withdrawal stated by it in the bid. In case the bidder does not withdraw the deviations proposed by it, if any, at the cost of withdrawal stated by it in the bid, it's bid will be rejected and it's bid security forfeited. If it withdraws the deviation at the cost of withdrawal indicated in the bid, the cost of withdrawal stated by it in the bid shall be added to his award price.
- B6.1.11 Whenever there is provision for differential prices on account of functional guarantees of the facilities/guaranteed performance of equipment/material/systems, the value of differential prices shall be worked out as per the methodology given in the bidding documents, for adding the same to the computed price of the bidders for the purpose of evaluation.
- B6.1.12 As a matter of general policy, the contract shall not be awarded to any bidder under SSTE or Two Stage Bidding Process, other than the one whose bid has been determined as the lowest evaluated responsive bid under a particular bidding process. In case for some reason, other than reasons of fraud and corruption including misrepresentation, the lowest evaluated bid cannot be accepted, the bidding process shall be annulled and fresh bidding shall be resorted to. In pursuance to this policy during the course of bid evaluation under SSTE or Two Stage bidding process, the responsiveness of bids and acceptability of the bidder for award of contract shall be ensured during First Envelope / First Stage Bid evaluation process.
- B6.1.13 While evaluating the bids, the organizational strength, technical and financial capability and capacity of bidder to execute the contract shall be determined by the Tender committee before recommending a bidder for award of contract for packages provided the same is included in Bidding Documents.
- B6.1.14 The determination of organizational strength, technical and financial capability and capacity of bidder and detailed assessment, wherever required, shall be undertaken based on details and information furnished by the bidder from its

Power of Attorney holder jointly with Key Managerial Personnel (KMP) viz. CEO / Managing Director / Company Secretary / Director / CFO / any of the partner in case of partnership firm / any other officer entrusted with powers of the management of the affairs of the company/firm and records / details already available with GRID-INDIA.

- B6.1.15 For arriving at the capacity of the bidder, the MAAT specified for contract packages for which bids have been opened during any financial year (i.e. April to March) to be considered for award during the financial year (i.e. April to March) shall not exceed one and half (1.5) times the bidders average annual turnover of the best 3 financial years out of last 5 Financial years, as ascertained for the purpose of QR compliance. Further, for being considered for award, in case of existing contractors on whom contracts are/have been awarded by GRID-INDIA, there shall be no adverse feedback about the contractor's performance or any other aspect.

The balance bid capacity of the bidder shall only be reviewed in case of further award of contract to the same bidder, falling within the same financial year, wherein the cost estimate for such package exceeds ₹ 50 Crores.

The balance bid capacity as per the above criteria shall be based on declaration jointly by Power of Attorney Holder and KMP of the bidder in the bid based on the following formula:

Balance Bid Capacity (in ₹) = $3T-B$, Where

T= Maximum value of Works (e.g. SCADA projects and other relevant works to be procured), executed in any one financial year during the last 5 financial years taking into account the completed as well as the works in progress.

B = Value of existing order book and ongoing similar works yet to be completed in delivery schedule of the package which is to be awarded.

- B6.1.16 The determination of organizational strength, technical and financial capability and capacity of bidder and detailed assessment, wherever required, of sub-vendor / sub-contractor shall not be carried out in normal course except in case of an Associate / Manufacturer or such party who has been conjoined by the Contractor

to independently execute a pre-selected part of the Facilities of the Contract and who have the associated contractual rights and obligations.

- B6.1.17 During the course of capacity determination, if it is considered necessary by the Tender committee, for reasons to be placed on record, that aspects / issues concerning such determination needs a detailed assessment, a separate Assessment Committee may be constituted for the same if so proposed by the Tender Committee. The terms of reference of the assessment in such cases shall be specifically indicated in the proposal for constitution of the Committee. Outside visit, only if required, shall be undertaken by the Assessment Committee. The findings of the Assessment Committee shall be considered by the Tender Committee accordingly. Assessment Committee may comprise of representative from Finance, Indenting, Corporate Engineering, Law, Contracts department or any other department, depending upon the aspects / issues requiring detailed assessment as may be proposed by the Tender Committee.
- B6.1.18 During clarifications, if the bidder offers deviation in financial implication in order to comply with the bid specification or to withdraw the deviation, that particular Bid will be treated as non- responsive.
- B6.1.19 During the process of evaluation, a bid from a bidder, prima-facie involved in transgression of Integrity Pact, shall also be treated as non-responsive.
- B6.1.20 Minor non-conformity to Qualifying Requirements (QR) may be waived on approval of Head of RLDC/NLDC/HOD of Indenting Dept. in CC in the level of CGM/ED. The such waiver may be used judiciously, and this shall be exceptionally used rather than the norm.
- B6.1.21 Marginal relaxations in QR of a bidder can be considered if adequate response is not received and re-tendering may adversely affect the Performance of the system/ services required for Grid Operation on approval of Head of RLDC/NLDC/HOD of Indenting Dept. in CC in the level of CGM/ED

B6.2 Taxes & Duties

- (i) The Bidder shall quote the prices giving breakup in the manner specified in

the Price Schedule. The Bidder shall quote the applicable rate of GST in the Price Schedule.

- (ii) In case GST registered Bidder has quoted GST rate as '0' (Zero), the quoted price shall be considered to be inclusive of GST as applicable.
- (iii) In case of bid received from dealers who have opted for the composition scheme under GST Law, the Bidder shall specifically mention the same in his Bid. Owner shall not be liable to pay / reimburse any GST on the supplies made by such dealers under the Order / Contract.
- (iv) In case of bid received from unregistered dealer, for evaluation their bid shall be cost compensated as per the GST rate applicable in view of Reverse Charge Mechanism (RCM) as per GST Law.
- (v) In case of all materials identified by the Supplier and Owner to be dispatched directly from the sub-vendor's work to Owner's site, the Supplier shall ensure that his sub-vendors raise Tax invoices as per the provisions of GST Law, billed to the Supplier and shipped to the Owner's site. The Supplier shall further ensure that he raises his corresponding Tax Invoices in the name of Owner during transit of the materials before the delivery of materials is taken by Owner.
- (vi) Notwithstanding anything to contrary contained in the Purchase Order / Contract / LoA, the Supplier's right to payment under the Order / Contract is subject to issuance of valid tax invoice / bill of supply as the case may be, payment of applicable GST to the credit of appropriate Government and submission of valid particulars of tax invoice under GST returns in accordance with GST Law.
- (vii) Owner shall deduct GST at source at the applicable rates in case transactions under the Order / Contract / LoA are liable to GST deduction at source.
- (viii) Unless clearly stated otherwise, a common mechanism for reconciliation of input credit mismatch, to be followed by both GRID-INDIA and Supplier, shall be mutually agreed so that both parties follow the same procedure

for disclosing the transactions in their respective returns. Notwithstanding anything in the Order / Contract / LoA, penalty / damages shall be recovered in case the Supplier makes a default in following the agreed procedure.

- (ix) The implications of GST on return of goods will be as per the provisions of the relevant GST Laws.
- (x) The Supplier shall issue tax invoices / bill of supply as applicable, file appropriate returns, and deposit the applicable GST to the account of appropriate government within the time limit prescribed under the GST Law. In the event of any default, Supplier shall be liable to pay the amount which may be imposed on GRID-INDIA due to such default.
- (xi) Supplier should comply with the provisions of e-way bill generated on GST portal / e-invoice notified by appropriate authorities from time to time. E-way bills to be issued by supplier only.
- (xii) The Owner shall make necessary tax deductions under Income Tax Act or any other laws, if applicable.
- (xiii) Provisions of GST law in respect of Related Persons / Parties may appropriately be taken into consideration by Bidders while submitting the bid.
- (xiv) If there are any variation / abolition / addition in taxes or any change in interpretation or application of any tax occurs in the course of the performance of Order / Contract, which was or will be assessed on the Supplier in connection with performance of the Order / Contract, an equitable adjustment shall be made to take into account any such change.

B6.2.1 As the GST Rates of different Goods and Services are being readjusted through GST Council Meetings from time to time, there may be a situation when at the time of evaluation and final recommendation on Financial Bids, the rates of a particular item in the overall scheme might have changed from one Slab to other. This may happen even in the NIT Cost estimate or in the Bidding sheet where a particular bidder might have incorrectly quoted a different GST slab other than the prevailing Slab of that particular item on the day of Financial Evaluation and

recommendation. This shall be taken into consideration during financial evaluation of price bids in an equitable manner. These adjustments shall be applicable for all transactions between the Employer and the Contractor for supply of goods and services under the Contract but shall not be applicable on procurement of raw materials, intermediary components etc. by the Contractor.

- B6.2.2 Re-adjusting and making the same level playing field for all the bidders on account of GST Rates is to be ensured by the Evaluation Committee. For this, first of all the approved Cost Estimate will be visited and in the final Evaluation report, the changed Cost Estimate will be reflected by adjusting the changed / missed GST rates.

B6.3 Qualified Bidder

- B6.3.1 The qualified bidder, whose bid is determined as the lowest evaluated, techno commercially responsive and who is considered to have the capacity and capability to perform the contract will be recommended for award and the recommended price shall be compared with the approved cost estimate. The evaluation criteria shall be clearly brought out in the Bidding Documents. Generally, comparison is done between total recommended price and the total cost estimate and price of individual items is not compared.
- B6.3.2 If the recommended award price of the Bidder is not higher than the cost estimate including applicable taxes by more than 10%, the award may be recommended on the said Bidder.
- B6.3.3 If the recommended award price is higher than the cost estimate including applicable taxes by more than 10%, the Cost estimate shall be reviewed by the Indenting Department on receipt of communication from the Contracts & Materials department based on the advice of tender committee.
- B6.3.4 If after review of the estimate, evaluated L1 is still 10% higher than the Revised Cost estimate then e-RA or Snap Bidding may be undertaken. Snap bid is to be sought from bidders who have earlier submitted their offer with a clear provision that in case of snap bidding, revised bid price cannot be higher than the initial bid price.

Wherever it is possible, the bidders shall be asked to indicate only the reduction in their initial Bid price, during snap Bidding.

- B6.3.5 Even after following all the above steps, if the Lowest Bid/recommended award price is still higher than revised cost estimate by more than 10%, the proposal of procurement will be either forwarded for approval or annulment of the process, to one level higher than the Competent Authority empowered for approval of award.

----- End -----

B7: Post Bid Discussions and Specific Agreements

B7.1 Post Bid Discussions (PBD) / Specific Agreements

- B7.1.1 Normally, once the recommendation for award has been approved by the Competent Authority, the award shall be placed on the successful bidder.
- B7.1.2 Sometimes, resolution of technical and commercial issues including scheduling and tie up may be required with the successful bidder, as may have been identified in the approved Evaluation Report / directed by Competent Authority. In cases where tie ups do not involve any financial implication, Specific Agreements (SA), may be signed with the bidder, after placement of award, which shall be made a part of the Contract Agreement signed with the bidder.
- B7.1.3 Only in cases, where resolution of issues and tie-ups are of significant nature including issues involving financial implication, PBD may be held with the successful bidder before placement of the award.
- B7.1.4 The sub-vendors for supplies, for which QR is applicable (for QR items), shall be tied up to the extent possible in the PBD / SA. Besides tie-up of sub-vendors from those identified by the successful bidder in its bid, there shall be no objection to tie-up sub-vendors which the successful bidder may additionally propose provided they meet the QR, if applicable, and are acceptable to GRID-INDIA based on information available with GRID-INDIA / records available.
- B7.1.5 The sub-contractors, if any proposed by the successful bidder in its bid in respect of services shall normally be dealt with / deliberated for their acceptance or otherwise. If not proposed in the bid or their acceptance requires assessment to be carried out by GRID-INDIA, the same shall be dealt with during Contract execution.
- B7.1.6 Sub-contracting other than for labour contract / engagement of labour, shall be permitted only with the approval of the Employer / Purchaser. However, sub-contracting for 100% of the contract on back to back basis shall not be permitted except under exceptional circumstances.
- B7.1.7 Normally, the Contract Price, except where negotiations are involved, after PBD

shall be the same as approved by the Competent Authority. However, if there is a difference, the reasons for the same shall be specifically brought out in the proposal for approval of PBD. In no case, any increase in Contract Price or any other routine tie-up with additional financial implication on GRID-INDIA shall be permitted during PBD.

B7.2 Issuance of Letter of Award & Signing of Contract Agreement / Contract Performance Guarantee

B7.2.1 Purchase Order / Letter of Award / Contract agreement shall be prepared based on the terms and conditions of the Bid Documents / Tender Enquiry.

- a) Draft LoA prepared by C&M department shall be vetted by Indenting, Finance and C&M department before issuance to the agency.
- b) The issuance of Letter of Award (LoA) conveying inter- alia acceptance of the offer / proposal / bid of the successful bidder, shall constitute formation of the Contract. The same shall be specifically mentioned therein.
- c) LoA / PO vetting shall be required for all contracts, except those issued in GeM.

B7.2.2 Referring to the LoA, the successful bidder shall arrange the necessary BGs including Contract Performance Guarantee (CPG) for which he shall be advised through the LoA.

B7.2.3 A guiding format for LoA / Contract Agreement (CA) shall normally be included in the Bidding Documents and shall be issued / signed in line with the same, with suitable changes as may be necessary for the specific Contract Package. The Contract Agreement signing will be done only in those packages where the Contract price including GST is more than ₹25 Lakhs.

B7.2.4 In cases wherever it is considered necessary to convey merely the acceptance of offer / proposal / bid to the successful bidder, without further details, a brief LoA may be issued followed by a detailed LoA. The brief LoA in such cases shall constitute the formation of the Contract and the same shall be specifically mentioned therein.

- B7.2.5 Since the LoA conveys the acceptance of a Bidder's proposal / offer / bid, after mutually agreed tie ups / resolutions during PBD, if concluded, no further acceptance thereof by the Bidder shall be sought, except where facts and circumstances are otherwise. Accordingly, only acknowledgement of the Bidder's authorized signatory shall be sought. Signing of Contract Agreement between GRID-INDIA and the successful bidder shall be either in GRID-INDIA's Office or by obtaining bidder's signature on the copy sent to him, if he so requires.

----- End -----

B8: Issues in Bidding Process

B8.1 Issues on Bidding Process

- B8.1.1 In those instances wherein a bidder is not able to submit the requisite documents certified / issued by the authority (ies) as envisaged in the bidding documents viz. Audited financial statement, due to inapplicability of the same as per the local governing law, the compliance may be ascertained based on documents which are authentic and prevailing as per the country specific regulations.
- B8.1.2 Single response against Limited Tender Invitation shall be treated as Single Tender for the purpose of DoP under the category other than those involving Source Standardization / Urgency / Proprietary Article Certificate (PAC) etc.
- B8.1.3 Tenders invited from the parties sponsored by Director General Resettlement (DGR) for deployment of security contract shall be deemed as open tender for all purposes.
- B8.1.4 Tenders / bid invited / called from all the parties pre-qualified or empanelled / enlisted through newspaper advertisement / e- Procurement portal with the approval of Competent Authority, shall be deemed to be Open Tender for all purposes including consideration for DoP.

B8.2 Issues on Taxes and Duties

- B8.2.1 Bids shall be invited and evaluated for complete scope of work. Award of contract on successful bidder will be done after considering evaluation based on prevailing rates of applicable taxes at the time of bid opening. However, at time of payment prevailing rates of applicable taxes shall be considered.
- B8.3 Issues on Banking Instruments e.g. Bank Guarantee/Letter of Credit/EMD/Bid Security / Bid Guarantee
- B8.3.1 In some cases, the EMD / Bid Security / Bid Guarantee which are submitted in the form of Bank Guarantee, have its contents deviating from that given in the bidding documents. While such a Bank Guarantee, with value and validity different from

that prescribed, may not be acceptable, it would not be prudent to reject a Bank Guarantee with changed text but otherwise meeting the intent and purpose, as well as other important parameters such as value and validity etc. Accordingly, such cases need to be dealt with as described below:

B8.3.1.1 The Bank Guarantee shall not be accepted and the bid shall be treated as non-responsive, if:

- a) The name of the package along with the Specification Number, mentioned in the BG is different from the package for which bids have been invited.
- b) The Firm / Proprietor, on whose behalf the Bank Guarantee has been furnished, is different from the bidder.
- c) The Bank Guarantee is not of the prescribed value. However in cases, where the Bank Guarantee is in a currency other than that in which the bid guarantee amount has been mentioned, the shortfall, if any, up to 1 % of the prescribed value on account of discrepancy in exchange rate variation, shall be acceptable.
- d) The validity of the Bank Guarantee is less than the stipulated period. However, the shortfall, if any, up to a period of seven (7) days shall be acceptable. Further, an additional shortfall only in the following cases shall be acceptable:
 1. If the dead line for submission of bids and the date of bid opening has been extended once, with the period of extension being less than or equal to 15 days, a shortfall up to the period of extension shall be acceptable.
 2. If the dead line for submission of bids and the date of bid opening has been extended more than once, with the period of last extension being less than or equal to 15 days, a short fall up to the period of last extension shall be acceptable.

B8.3.1.2 Notwithstanding the generality of para above, the acceptance of the Bank Guarantee (BG) towards Bid Security shall also be considered based on the following:

- a) It shall be acceptable if the Stamp Paper used for the Bank Guarantee is purchased either in the name of the Issuing Bank or the Bidder (any of the

partners of the Joint Venture in case of JV bidder).

- b) If the text of the BG is at variance from that of the format given in the bidding documents, the BG shall not be rejected merely on that ground. It may be examined in consultation with Law Department to ascertain whether it meets the required intent and purpose of bid security. If the BG is found to meet the intent and purpose of bid security despite the variance in text, or the variance is such that it is unlikely to have any impact in foreseeable future if the situation warrants encashment of BG, the Bank Guarantee shall be accepted.
- c) In case contradictions / inconsistencies are observed in the value, validity, name of the beneficiary, name of the bank etc. at different places of the Bank Guarantee in the fillable part except in the Limitation of Liability para added by the issuing Bank, and / or contradictions in the value indicated in figures and words, provided further that at least at one place, the mentioned details match with the specified requirement, a confirmation from the issuing Bank shall be taken in consultation with Law Department, to ascertain whether the Bank Guarantee shall be honored by the Bank in the event of encashment, for the requisite amount/ within requisite validity. If the Bank's confirmation is affirmative, whether by way of clarification or amendment to the Bank Guarantee, such Bank Guarantees shall be accepted as valid.

B8.3.2 While in general, the specified amount of EMD shall be 2% of the estimated cost or as per prevailing GoI guidelines, however, keeping in view, the nature of procurement/ bidder's profile and other relevant factors, the value of required EMD may either be reduced or the requirement may be waived off in specific cases with specific approval of the Competent Authority empowered for approval of award.

B8.3.3 After the recommendations for award of a particular package / Scheme are approved by the Competent Authority, the Earnest Money Deposit / Bid Security / Bid Guarantee (hereinafter referred to as 'EMD') of all the bidders, except the recommended bidder, may be returned at the earliest within 30 days from the date of award.

B8.3.4 In case of Single Stage Two Envelope Bidding Procedure, the EMD of those bidders

also whose bids have been found to be non- responsive shall be returned at the earliest within 30 days of approval along with the unopened Price Bids, after approval of the First Envelope Bid Evaluation Report.

- B8.3.5 The EMD of the recommended bidder, which has been retained as brought out at paras above, shall be returned by Finance department promptly after the acceptance of the Contract Performance Guarantee (CPG) submitted by the successful bidder to whom the Contract has been awarded. In case where the contractor does not submit the CPG, EMD amount shall not be released and same shall be transferred to Security Deposit account. If Bid Security is submitted as Bank Guarantee, the same shall be kept valid till submission & acceptance of CPG. If contractor does not submit CPG, pending submission of extension of Bid Security, validity extension of bid security is to be taken before expiry of validity of Bid Security.
- B8.3.6 There are some instances wherein the provision of deduction of 10% [or a specified percentage] of the contract price from RA bill is stipulated towards security deposit (SD) in lieu of CPG, The EMD of the successful bidder shall be converted to part of SD and balance amount shall be deducted from the RA bills.

B8.4 Post-Tender Negotiations

- B8.4.1 There shall normally be no post-tender negotiations. Negotiations shall be carried out only in special circumstances that too with L-1 bidder in line with CVC (Central Vigilance Commission)/ Management guidelines issued from time to time.
- B8.5 Issues on Annulment of Bidding Process, Snap Bidding/Re- Tendering/E-Reverse Auction
- B8.5.1 Bidding document shall contain a provision that GRID-INDIA reserves the right to annul the bidding process at any time prior to award of Contract including rejection of any or all bids after the same has been received, without thereby incurring any liability to the affected bidder or bidders or any obligation to inform the affected bidder or bidders of the ground of GRID-INDIA's action. Annulment may be done due to higher prices for unexplainable reasons, cartel formation or such aspects. Similarly, the bidding documents may also contain a provision for e-RA.

- B8.5.2 In case, the circumstances warrant annulment of bidding process before the deadline for bid submission / opening of bids, a 'general notification' to this effect shall be issued on the Procurement Portal / GRID-INDIA's website. The decision of annulment shall also be intimated to the bidders through online / offline mode, as the case may be, who have been issued the bidding documents. The bids, if any, received by that time shall also be returned. However, once the bids are opened (Techno-Commercial and / or Price part), the recourse under this provision to reject all the bids shall be opted as a last resort, recording adequate justification for such action. In all cases such annulment shall be done with the approval of one level above Competent Authority for award of Contract.
- B8.5.2.1 In cases where the Competent Authority for award of contracts is the Board of Directors, the annulment shall be done with the approval of CMD.
- B8.5.3 Rejection of any or all the bids, for reasons whatsoever, shall be with the approval of the authority competent to award the particular package.
- B8.5.4 Once all the bids are rejected for reasons such as lack of competition or higher prices or any other valid reasons, the packaging / technical specification / QR etc. may be reviewed by the Indenting department, as appropriate and the same may be suitably modified.
- B8.5.5 If fresh bids are invited based on the same bidding process, maintaining the prices of the bids where prices are already open, the same shall be termed as Snap bidding. Snap bids can be invited from all those parties who had submitted their bids and qualified for financial Bid opening, with the provision that all the unit prices to be quoted in the revised bid cannot be higher than that quoted in their original bid. If the unit price quoted in the revised bid are higher than that quoted in their original bid, such bids shall be treated non-responsive and shall be rejected.
- B 8.5.6 e-RA shall in general be conducted as per the guidelines in place. However, in case situation so warrants, e-RA may also be conducted in other cases if so, decided by Competent Authority for award of the contract for justified reasons.

B8.6 Issues on Eligibility / Ineligibility of Firms for Participation in the Bidding Process

- B8.6.1 If GRID-INDIA has declared a firm ineligible, either indefinitely or for a stated period of time, there shall not be any restriction on issuing Bidding Documents to them. However, the bid, if submitted by them either alone or as a partner in a JV bid or as a Licensor / Collaborator, shall not be considered for acceptance and shall be treated as deemed non-responsive during the process of evaluation. However, if they have participated in the bidding process as an Associate or a Subcontractor or in such other manner, wherein the bid is ascertained to be responsive even if their proposed association is not accepted, only in such case the bid shall be considered for acceptance.
- B8.6.2 In case a bidder fails to honour its bids, after emerging as successful bidder in one or more cases within a period of one year, bids from such bidder for any of the ongoing packages or for future packages with originally scheduled date of bid opening falling within a period of one year, shall not be considered for acceptance and shall be deemed non-responsive. The period of one year shall be reckoned from the incidence of last such event. Further, bid security should be encashed and letter intimating cancellation of award placed be sent after approval by Competent Authority.
- B8.6.3 While determining the responsiveness of a bid, safety record of a particular bidder shall also be taken into accord as per policy in force in this regard.
- B8.6.4 Any bid submitted by a bidder having Conflict of Interest, as defined in the Bidding Documents, shall be considered non-responsive.

B8.7 Debriefing

- 8.7.1 Under Single Stage Two Envelope Bidding, all the bidders whose First Envelope bids have been rejected shall be intimated in writing / through e-procurement portal citing reasons for the rejection before the opening of Second Envelope bids. Further, if any of the Second Envelope bids is rejected, the concerned bidder shall be intimated about the same in writing / through e-procurement portal citing reasons

for the rejection after award of Contract for the particular package.

- B8.7.3 Under Two Stage Bidding, all the bidders whose First Stage bids have been rejected shall be intimated in writing/through e- procurement portal citing reasons for the rejection before the opening of Second Stage Bids. Further, if any of the Second Stage bids is rejected, the concerned bidder shall be intimated about the same in writing/through e-procurement portal citing reasons for rejection after award of Contract for the particular package.

B8.8 Grievance Redressal Mechanism / Complaint Handling System

- B8.8.1 Any firm being aggrieved by any decision, action or omission of GRID-INDIA during the procurement process may make an application against such grievances in writing within 10 days or any other time period, if any, as may be specified in the Bidding Documents, from the date of such decision, action or omission. However, unsigned or anonymous applications shall not be entertained.
- B8.8.2 The authority to which the grievances are to addressed shall be the same who has issued the IFB / NIT.
- B8.8.3 If the grievance is against the decision, action or omission of an executive(s) including Tender Committee members or against the decision taken by GRID-INDIA, the application shall be deliberated and processed by a Senior level committee to be constituted by Competent Authority empowered for approval of award.
- B8.8.4 The Committee shall examine and deliberate the merits of the Bidder's complaint and submit their report with recommendations to the Competent Authority empowered for approval of award. The decision of the Competent Authority based on the recommendation of this senior level committee shall be final. Such decision shall be communicated in writing to the concerned Bidder by Contracts department within 30 days from the date of receipt of the application or any other such period, if any, as may be specified in the Bidding Documents.
- B8.8.5 During procurement process prior to award of contract, the review shall be done for grievances of only those bidders, who have participated in the procurement proceedings.

- B8.8.6 During the grievance Redressal, information which impair the fair competition or is prejudicial to the legitimate commercial interests of one or more participating bidders shall not be disclosed.
- B8.8.7 The request for review on the following matters shall not be entertained:
- a) Determination of need of Procurement;
 - b) Provisions limiting participation of bidders in the Procurement process
 - c) The decision to enter into negotiations;
 - d) Cancellation of a Procurement process;
 - e) Applicability of provisions of confidentiality.
- B8.9 If the Competent Authority to award is Board of Directors, then except for Administrative approval and Award of the package, all other approvals may be taken from Chairman and Managing Director

----- End -----

Appendix-1 Responsibility Centres

Responsibility Centres for various activities involved in Procurement

S No	Stage of tendering	Department
01	Project Conception/Procurement Proposal	Engineering Department/Indenting Department
02	Technical Approval, Feasibility Report/ Detailed Project Report	Engineering Department/Indenting Department
03	Investment Approval/Expenditure approval	Engineering Department/Indenting Department
04	Package List/Master Network & Project Execution Plan	Engineering Department/Indenting Department
05	Cost Estimate, Qualifying Requirement for Bidders and sub-vendors	Engineering Department/Indenting Department
06	Bidding Documents	(a) Contracts Department for Commercial portion of documents viz., NIT/IFB/RfP/EoI, ITB, BDS, GCC, SCC Forms related thereto; (b) Engineering Department / Indenting Department for Technical portion of documents viz., QR, TS, Drawings, BoQ, Technical Schedules, Forms related thereto (c) Finance Department for Commercial portion of documents viz NIT/IFB/RfP/EoI/GCC/SCC/Forms related thereto.
07	Publication of NIT, Sale/Uploading of Bidding Documents, Constitution of Bid Opening Committee & Tender Committee	Contracts Department
08	Bid Opening	Contracts Department, Indenting Department and Finance Department- Contracts Department shall coordinate
09	Evaluation of Bids, Finalisation of Evaluation Report, Award recommendation	Contracts Department, Indenting Department and Finance Department- Contracts Department shall coordinate
10	Post Bid Discussions(PBD)	Contracts Department, Indenting Department and Finance Department- Contracts Department shall coordinate
11	Notification of Award/Contract Agreement:	Contracts Department

Annexure-1: Proprietary Article Certificate

Proprietary Article Certificate for Goods/Services to be approved by the Competent Authority

(1) Description of Goods / Services:

It is certified that

(i) The goods are manufactured / Services are provided by _____

(Name of the OEM)

(ii) No other make or model / supplier / service provider is acceptable / available to supply the above goods for the following reasons.

(a)

(b)

(c)

(iii) M/s (name of the firm) are the authorized dealer/ stockiest distributor of the OEM / original service provider.

(2) Concurrence of finance to grant this PAC has been obtained vide.

(3) Grant of this PAC has been approved by as the competent authority, vide

(Signature, date and designation of Indenting Officer)

(Signature, date and designation of Head of the Department)

Annexure-2: Certificate of Urgency

- 1) Name of Equipment/Work/Service:
- 2) Brief Specification:
- 3) Estimated Cost:
- 4) Justification for urgency:

Signature:

Name of Indenter:

Emp. No.:

Designation:

Department:

Signature:

Name of Head of Department:

Emp. No.:

Designation:

क्र.सं.....

दिनांक :

मांग पत्र (इंटेण्ड) सं. प्राप्ति की तिथि सौपने की संभावित तिथि:

(सामग्री विभाग के प्रयोग हेतु)

मांगकर्ता विभाग

सेवा में,

खरीदारी विभाग: कृपया हमारे विभाग के लिए निम्नलिखित मदों के सामग्री की खरीद करें।

क्र.सं.	संक्षिप्त सामग्री का विवरण	मात्रा	अनुमानित लागत रु.	आपूर्ति का श्रोत, यदि मालूम हो	कब तक चाहिए	टिप्पणी
1	2	3	4	5	6	7

मांगकर्ता द्वाराअनुशंसा द्वारा..... अनुशंसा द्वारा विभागाध्यक्ष

(हस्ताक्षर) (हस्ताक्षर) (हस्ताक्षर)

(नाम एवं पदनाम)

(नाम एवं पदनाम)

(नाम एवं पदनाम)

कमरा संख्या- फोन-.....

उपरोक्त मांग पत्र के लिए प्रशासनिक अनुमति दी गई है।

1. वर्ष..... के लिए रु.का प्रावधान बजट में शीर्ष है।

हस्ताक्षर.....

2. क्यूंकी बजट प्रावधान नहीं है। अतः वर्ष के आर.ई में बजट शीर्षके अंतर्गत बजट विनियोजित किया जाएगा।

नाम व पदनाम

हस्ताक्षर.....

(उपरोक्त मांग पत्र का अनुमोदन डीओपी के अनुसार सक्षम प्राधिकारी द्वारा किया जाए)

नाम व पदनाम.....

जाँच सूची

सेवा में _____

मांगपत्र की निम्नलिखित अपेक्षाएं पूरी नहीं की गई हैं जिन्हें पूरी करवाने की कृपा करें, इस लिए मांग पत्र वापिस भेजा जाता है।

- | | |
|---------------------------------------|--|
| 1. विनिर्देश अधूरे हैं। | 6. बजट प्रावधान सत्यापित नहीं है। |
| 2. मात्रा नहीं दी गई है। | 7. स्वामित्व मद प्रमाण पत्र नहीं दिया गया है। |
| 3. अनुमानित लागत नहीं दी गई है। | 8. शक्तियों के प्रत्यायोजन (डी.ओ.पी.) के अनुसार मांग पत्र सक्षम अधिकारी द्वारा अनुमोदित नहीं है। |
| 4. सुपुर्दगी आवश्यकता नहीं दी गई है। | 9. अन्य _____ |
| 5. आपूर्ति का स्रोत नहीं दिया गया है। | |

प्र./मु. प्रबंधक (सामग्री)
सामग्री प्रबंधन विभाग

स्वामित्व मद प्रमाण-पत्र

- | | | |
|--|---|-------|
| 1. उपकरण का नाम | : | _____ |
| 2. संक्षिप्त विशिष्टता | : | _____ |
| 3. अनुमानित लागत | : | _____ |
| 4. संस्तुत निर्माता/एजेंट/वितरक/डीलर | : | _____ |
| 5. स्वामित्व के आधार पर उपकरण खरीदने का औचित्य | : | _____ |
| 6. किन सुझावों के आधार पर निविदाकर्ता द्वारा कोट की गई कीमत को तर्कसंगत पाया गया | : | _____ |

क. प्रमाणित किया जाता है कि मेरी जानकारी के अनुसार उपरोक्त उपकरण स्वामित्व मद है एवं यह किसी अन्य फर्म/कम्पनी/संस्थान में नहीं बनाए जा रहे हैं जो उसके बदले में प्रयोग किए जा सकते हैं।

ख. प्रमाणित किया जाता है कि इसमें मांग किए गए कल-पुर्जे (स्पेयर) उस उपकरण में प्रयोग हेतु चाहिए जो कि मूलतया (_____) द्वारा निर्मित/आपूर्ति है इसलिए कल-पुर्जे इस पार्टी के स्वामित्व कल-पुर्जे घोषित किए गए हैं।

मुख्य प्रबंधक

हस्ताक्षर: _____

उप महाप्रबंधक

मांगकर्ता का नाम: _____

अपर महाप्रबंधक

पदनाम: _____

महाप्रबंधक

विभाग: _____

टिप्पणी:-

- मांग पत्र तीन प्रतियों में भरा जाए। मूल प्रति सामग्री विभाग को दी जाए। दूसरी प्रति प्रशासन विभाग में (कार्यालय उपकरणों/फर्नीचर हेतु) कम्प्यूटरों हेतु केन्द्रीय आयोजना विभाग में रख ली जाए। तीसरी प्रति मांग कर्ता द्वारा रख ली जाए।
- कार्यालय उपकरणों/फर्नीचर हेतु सभी मांग-पत्र प्रशासन विभाग तथा कम्प्यूटर आदि हेतु केन्द्रीय आयोजना विभाग द्वारा अनुमोदित किए जाएं। शेष मदों हेतु मांग पत्र संबंधित विभाग द्वारा अनुमोदन उपरान्त सीधे सामग्री विभाग को भेजा जाए। मांग पत्र को सामग्री विभाग को भेजने से पूर्व उसका अनुमोदन मांग कर्ता द्वारा ले लिया जाए।
- स्वामित्व मद प्रमाण पत्र यदि लागू है, तो दिए गए फॉरमेट के अनुसार प्रमाण पत्र दिया जाए।
- रुपये 2 लाख के अनुमानित मूल्य के लिए स्वामित्व मद प्रमाण पत्र मुख्य प्रबंधक द्वारा अनुमोदित किया जाएगा। रुपये 2.0 लाख से अधिक के सभी अन्य मामलों के लिए स्वामित्व मद प्रमाण पत्र का अनुमोदन उप महाप्रबंधक स्तर से कम के अधिकारी द्वारा नहीं होगा। स्रोत मानकीकरण का अनुमोदन महाप्रबंधक स्तर से कम के अधिकारी द्वारा नहीं होगा (डी.ओ.पी. के अनुसार)।
- बजट प्रावधानों को प्रशासन (कार्यालय उपकरण/फर्नीचर हेतु) व केन्द्रीय आयोजना (कम्प्यूटर आदि) द्वारा प्रमाणित किया जाए।

Various salient points addressed by CPP portal

1.1 Central Public Procurement Portal of the Government of India has to be extensively used by the Contracts department of GRID-INDIA in respective RLDC/NLDC/Corporate office and follow the Rules and manuals as available on its website. The CPP Portal is accessible at the URL <http://eprocure.gov.in> and it has e-publishing and e-procurement modules. Various salient points addressed by this portal include:

- a) Platform for publication of tender and bid award details
- b) Free and Easy Access to tender documents for all
- c) Facility to publish NIT through on-line form,
- d) Facility to publish tender documents, to add corrigendum with document
- e) Facility to publish bid award details.
- f) In public domain, no registration required for access/viewing by public
- g) Email / SMS alerts at various milestones to the participated bidders.
- h) Toll Free Help Line facility for all.
- i) Categorized according to types of tenders, product categories, types of Organizations and Organization name
- j) Archived tenders are available in public domain
- k) Search facility available using parameters like keywords, location, value, organization name, organization type, tender type, and product categories

2.0 Capacity Building for CPP Portal Effective Usage

2.1 User Guide for Tender creation, User Guide for Tender Publishing, User Guide for Corrigendum, User Guide for Award of Contract is elaborately mentioned on the Help Menu on the Portal. Officers from Contract Departments from RLDC/

NLDC/Corporate Office to be extensively exposed with the User Guide.

- 2.2 Apart from User Guide there is Web-learning sessions also available on CPP Portal from time to time .To facilitate seamless integration and adoption of the CPP Portal, NIC is conducting web-learning sessions. The details of the procedure to join Webcon session are elaborated as a document on <https://eprocure.gov.in/cppp/training disp> . Officers of all levels in Contracts department of each RLDC/NLDC /Corporate Office to be extensively exposed through these Web learning.
- 2.3 The National Institute of Financial Management (NIFM) is Centre of Excellence specializing in capacity building of professionals in the fields of Public Policy, Financial Management and other governance issues for promoting highest standards of professional competence and practice. NIFM is a premier resource center for the capacity building of senior, middle and entry level of management in Government of India.
- 2.4 Large amount of public funds are being spent on public procurement for which special rules and procedures are applicable. It is therefore imperative that the executives/officers engaged in public procurement possess thorough knowledge of all the relevant rules, regulations and procedures of public procurement. Ministry of Finance, Government of India identified NIFM as the nodal agency for conducting training programmers on this subject with a view to educating and familiarizing the concerned executives/officers with all the relevant rules and procedures of public procurement. NIFM receives active support from Public Procurement Division of Ministry of Finance, Government of India in this regard. Officers from Contracts departments and other Senior Level officers to be exposed to these Training Institutes on regular basis so that the Experience of all Govt entities and any modifications in the Central Govt Rules/CVC rules are easily captured in GRID-INDIA for quick adoption.

3.0 Enrolment on e-Procurement module under CPPP

- 3.1 To enroll, each RLDC/NLDC/Corporate Office of GRID-INDIA should follow the steps listed below:

- a) Acquire Digital Signature Certificates (DSCs)---To carry out e- Procurement using NIC's e-Procurement Module, the authorized users of the each RLDC/NLDC/Corporate office will be required to obtain valid DSCs. Authorized users will be required to procure DSC (both Signing and Encryption) of Class-III DSCs. DSCs may be obtained from any authorised agency registered with the Certifying Authority (CA) in India.
- b) Selection/ Nomination of Nodal Officer---GRID-INDIA as a whole will identify an administrator from NRLDC who shall be the overall administrator for all 5 RLDCs and NLDC/Corporate office. This administrator shall coordinate with one authorized nodal officer from each RLDC for e-Procurement module who would manage user accounts of concerned RLDC/NLDC/Corporate office in the e-Procurement module. Each RLDC/NLDC/ Corporate office will submit filled-in Nodal Officer Account Creation form to the administrator, who in-turn shall submit the required details to NIC / cPPP-nic@nic.in. On creation of nodal officer account in e-Procurement module under CPPP, Nodal officer should (a) Set Password & (b) Mapping of DSC with the account.
- c) In the interest of the smooth contract processing, it is preferable to identify multiple employees from each department in each establishments including F&A and Contracts, who can be nominated for tender committee activities within the stipulated time line.
- d) Setting up of Organizational Hierarchy for mapping on the CPP Portal- Every RLDC/NLDC/Corporate office has to ensure that their organizational structure/hierarchy (of tender floating locations only) is properly mapped in e-Procurement Module.
- e) Creation of User Accounts for officials of the User Organization--- The administrator and the Nodal Officer of each RLDC will authorize users within the organization for various roles such as Tender Creator, Tender Publisher, Bid Opener and Bid Evaluator who would use the e- Procurement module.
- f) Mapping of DSCs for all user accounts created in the User Organisation-

The authorized users will be required to Set Password as well as map their DSCs with their respective user profiles created by the Nodal Officer on the e-Procurement module.

-----End-----

SECTION - C: POST AWARD ACTIVITIES

C1: Introduction to Post Award Activities

- C1.1 Post-award activities cover all subsequent actions after award of a contract required for actual execution, right from obtaining CPG to completion/commissioning of 'Works/Supplies/Services' as per scope covered therein including closing of the Contract. These activities also include resolution/dealing with disputes, if any, raised by either party during or after the implementation of the Contract, and termination/ cancellation/ foreclosure of the contract, wherever necessitated.
- C1.2 The overall responsibility for all post-award activities, post issuance of Notification of Award (NOA)/ Letter of Award (LOA) and duly acknowledged by the agency or signing of Contract Agreement (CA), (as the case may be) shall be of RLDC/NLDC/ Dept in CC/Task Force/Special Group (hereinafter referred to as Implementing Region for generalized reference) as indicated in the LOA/CA or through special/ separate orders issued by Director, if required. In respect of packages awarded by Corporate Contracts wherein, overall responsibility for all the post ward activities lies with implementing regions (RLDC/NLDC/Department in Corp Centre).
- (i) Signing of contract agreement between GRID-INDIA and Contractor, if not already signed at the time of award of the contract (Responsibility: Contracts Deptt.)
 - (ii) Obtaining CPG from the contractor (Responsibility: Contracts Deptt.)
 - (iii) Release of payment of initial advance for supply contract or supply portion of supply cum Installation contract against BG submitted by the contractor (Responsibility: Contracts Deptt in co-ordination with finance department.)
 - (iv) Approval of drawings and sub-vendors for supply items for which QR (Qualifying Requirement) is specified, witnessing and approval of type tests, technical approval for variation etc, including clarification on issues related to Engineering and certification regarding completion/progress of engineering activities towards release of interim advance, if at all required, as per contract (Responsibility: Indenting Deptt./Engineer-in-charge of implementing Region).

- (v) Approval of sub-vendors for non-QR supply items, approval of Quality Plan including field quality, Inspection of materials and its clearance for dispatch etc., including clarification on Issues related to Quality Assurance and Inspection matter (Responsibility: Indenting Deptt./ Engineer-in-charge of implementing Region).
- (vi) Arrangement of funds for implementation of the Contract, Release of payment to a contractor in foreign currency and payment to a foreign contractor in any currency (Responsibility: Corporate Finance Dept).
- (vii) Finalization of Implementation Schedule/L2 Network and overall co-ordination, monitoring and review of progress of work (Responsibility: Indenting Deptt./Engineer-in-charge of implementing Region)
- (viii) Resolution of serious issues arising out of IR problem or terrorist activities (Responsibility: HR)

The responsibilities falling under scope of Corporate Centre are broadly outlined above but shall not be limited to the same. Rather all activities associated with those mentioned above, as a natural corollary, shall continue to be responsibilities of Corporate Centre so that the implementing region gets full assistance in execution of the project.

All other post award activities shall be direct responsibility of Implementing Region. However, if the implementing region requires any assistance from any department of corporate center or from other RLDC/NLDC, Director, on receipt of such request from the Head of the Implementing Region, will issue suitable instruction to the concerned Dept. for extending necessary help. The responsibilities falling within the scope of the implementing region will be discharged under the directions of the Head of the implementing Region.

- C1.3 All actions during implementation stage will be strictly in line with the provisions of DoP and this Procurement Policy. If there is a contradiction between the provisions of DoP and that of Procurement Policy, the former i.e DoP shall prevail.
- C1.4 The policy in respect of various activities during post-award stage and the

methodology to deal with some of the problems frequently encountered are discussed in C2 and C3 in post award section.

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C2.1 Signing of Contract Agreement with Contractor

C2.1.1 Responsibility Centre:

- Corporate Contracts for Corporate Packages
- Regional Contracts for RLDC/NLDC Packages.

C2.1.2 A contract can be awarded either by issuing NOA/LOA or by directly signing contract agreement. For contracts awarded by issuing NOA/LOA, a formal agreement may be signed.

Once the NOA/LOA is issued and its acknowledgement is received, the concerned Contracts Dept. shall ensure that formal Contract Agreement, appending therewith all the documents forming part of the Contract, is signed between GRID-INDIA and the Contractor in two original copies, within the time period specified in the Bidding Documents. One original copy of the signed Contract Agreement along with relevant documents shall be bound and kept in the safe custody of the concerned Contracts Dept. Wherever contract agreement is not being signed, the NOA/LOA acknowledged by the contractor along with relevant documents shall be bound and kept in the safe custody of the concerned Contracts Dept. While one copy of the same shall be retained in the contracts deptt for day to day reference, the copies of the same shall be distributed to concerned departments in Corporate Centre and Implementing Region as may be required within 15 days of receipt of acceptance of LOA/signing of contract agreement. While the photocopies shall be sent to concerned HOD at Corporate office, the copies meant for the Implementing Region shall be sent to Head of RLDC/NLDC who shall ensure further distribution to all concerned in RLDC/NLDC. The other original copy of LOA/Contract Agreement will be retained by the contractor. The distribution procedure explained above is with reference to a Corporate Package. For RLDC/NLDC Package(s), 1(one) copy each will be sent to concerned departments in the RLDC/NLDC office.

C2.1.2.1 While sending the copies of above documents to the implementing region, copies of Technical Specification, GCC, SCC and other documents forming part

of the contract shall also be sent.

- C2.1.3 The signing of contract agreement shall, however, not be mandatory for contracts having contract price less than ₹ 25 lakhs.

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C2.2 Obtaining of CPG from Contractor

C2.2.1 Responsibility Centre:

- Corporate Contracts for Corporate Packages
- Regional Contracts for RLDC/NLDC Packages.

(For the purpose of generalized reference, the above Depts. have hereinafter been referred to as Contracts).

C2.2.2 As soon as contract is awarded, Contracts shall follow up for submission of CPG by the Contractor within the period specified in the Bidding Documents. If required, notice shall be issued to the Contractor in the event of any delay in submission of CPG. At the same time, it shall be ensured that the Bid Security/ EMD submitted by the Contractor along with his bid is valid so that, if need be, the same can be invoked/forfeited. Upon receipt of CPG from the Contractor, the same shall be checked by the Coordinator (who is handling the package) for its general conformity to the specified format. If found in order, the CPG, in original, shall be forwarded, within 2 days of receipt, to Corporate Finance (for Corporate packages) and Regional Finance (for RLDC/NLDC packages) for scrutiny including verification from issuing bank. On successful verification the Bank Guarantee shall be accepted in finance. This activity shall be completed by Finance within 15 days of receipt of CPG. Non-conformity in the CPG with regard to the prescribed format and contract provisions shall be taken up with the Contractor for rectification of the same by the issuing Bank.

C2.2.3 Normally, any change in the CPG format from the one specified in the Bidding Documents will not be permitted. However, minor changes/variations, which do not affect intent and spirit or may be necessitated due to any particular requirement of the contract in question, may be accepted with the approval of HOD of Contracts CC/HOD of NLDC/RLDC, for which a recommendation note bringing out relevant details along with justification shall be put up by the concerned Contracts Coordinator for approval of the competent authority as mentioned above through legal and finance department.

- C2.2.4 Mere addition of a limitation clause by the issuing bank in the Bank Guarantee whereby the Bank reiterates the limits of its liability with regard to value and/or validity of the BG shall not be considered as change in format and will be acceptable to GRID-INDIA.
- C2.2.5 CPG from a bank other than those specified in the Bidding Documents shall be accepted only under exceptional circumstances with the approval of HOD of Contracts in CC for Corporate Packages and HOD of RLDC/NLDC for regional packages. In such cases, the concerned Coordinator shall put up the recommendation note bringing out the relevant details and justifications through Contracts and Finance.
- C2.2.6 Corp Finance, after acceptance of CPG for Corporate packages [wherein Implementing Region is RLDC/NLDC], shall immediately forward the same to Regional Finance under intimation to Corporate Contracts for the Packages pertaining to the RLDC/NLDC. The CPGs of Corporate Packages [wherein Implementing Region is RLDCs] will be under the custody of RLDC/NLDC Finance, who shall maintain proper record in respect of the same. The CPGs of RLDC/NLDC packages will be accepted in and be in the custody of the finance set up from where payment is to be released against that contract.
- Finance will maintain proper record of BGs in their custody along with the important details viz amount, issuing bank, verification status, validity etc. Finance shall circulate the BGs Details to Indenting department and C&M department particularly with regard to validity completion.
- C2.2.7 Immediately after acceptance of CPGs the concerned finance set up, where acceptance has been done, shall interalia inform the concerned Contracts department that had awarded the contract. Based on the same, the concerned contracts coordinator shall, without any delay, advise the relevant Finance Dept. for release of the EMD/ Bid security/ Bid Guarantee of successful bidder and also that of L2 and L3 bidders (whose EMD/ Bid security/ Bid Guarantee has not been returned earlier). The EMD/ Bid Security/ Bid Guarantee of L2 and L3 bidder shall be returned after award has been placed on L1 bidder.

- C2.2.8 The concerned finance set up will maintain proper record of all BGs in its custody. Detailed procedure in this regard along with some other related issues is discussed under para C3.2 subsequently in this volume.
- C2.2.9 In case Contract Agreement/LOA has provision for deduction of Security Deposit in lieu of CPG, then Contractor shall submit a letter requesting to retain Security Deposit in line with provisions of LOA/Contract Agreement. In such cases, it shall be ensured that EMD/Bid security is kept valid till Security Deposit is deducted from the bills. Finance Department shall maintain the record of the Security Deposit for all the packages.

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C2.3 Release of Initial Advance (Supply) to Contractor

C2.3.1 Responsibility Centre:

- Corporate Contracts and Corporate Finance for corporate packages.
- Regional Contracts and Regional Finance for RLDC/NLDC packages.

C2.3.2 For release of initial advance, the contractor shall generally be required to complete the following formalities:

- (i) Unconditional acknowledgement of the Letter of Award,
- (ii) Submission of Contract Performance Guarantee,
- (iii) Submission of Performa Invoice,
- (iv) Submission of BG of equivalent initial amount
- (v) Finalization of L2 Network.
- (vi) Any other documents as stipulated in Contract Agreement.

C2.3.3 The contractor will be required to submit the bill for initial advance containing relevant documents including Bank Guarantee to Corporate Contracts for Corporate Packages and to the concerned contracts set up from where the contract has been awarded in respect of RLDC/NLDC packages.

C2.3.4 Upon receipt of Bank Guarantee for initial advance, the Contracts Dept. shall scrutinize the same in line with the procedure outlined in para C2.2.2 in respect of CPG. In case of any unacceptable non-conformity in the BG with respect to the prescribed format and contract provisions, the matter shall be taken up with the Contractor for rectification of the same. Once the BG is considered acceptable, Contracts Dept. shall forward to finance the BG for initial advance, CPG (if not already sent to Finance) and other requisite documents as per Contract, within 3 days after receipt from the Contractor. Within two weeks from the date of receipt of the above documents from Contracts, Concerned Finance Dept. shall release payment, after completing all necessary formalities including acceptance of BGs,

TDS towards income tax, etc.

- C2.3.5 The process for verification/acceptance of BG for initial advance and forwarding the same to Regional Finance, in respect of Corporate awarded packages [wherein Implementing Region is RLDCs/NLDC, for safe custody and further action shall be as per Clause C2.2.3, C2.2.4 & C2.2.5 above.
- C2.3.6 Once Corporate Finance releases the advance, relevant details/documents along with bank guarantee shall be forwarded to Regional Finance under intimation to Corporate Contracts (for packages which are to be executed by RLDCs/NLDC). For packages awarded by RLDCs, the advance shall be released from the finance set up from where all subsequent payments under the contract are to be released.
- C2.3.7 All subsequent advances under the contract, such as advance on mobilization, completion of engineering activities etc., shall be dealt with in line with that discussed under para C2.11 subsequently in this volume.

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C2.4 Finalization of L2 Network

C2.4.1 Responsibility Centre:

- Indenting Department in Corporate (CC) for Corporate packages
- Deptt. Executing the contract or any other Deptt. as may be authorized by Head of RLDC/NLDC, for RLDC/NLDC Packages

C2.4.2 Indenting Department shall finalise the L2 Network with the Contractor within 15 days from the date of acknowledgement of the award letter by the contractor, if not already finalized during post bid discussions. The L2 network shall be in line with the work completion schedule specified in the contract and indicate the schedule for all major and critical activities covered under the Contract, taking into account inter-linkages and interfacing between different packages of a project. The L2 network will cover different areas such as finalization of Sub-vendor, Quality Plan, Engineering activities, Inspection, Manufacturing & Supply of equipments and materials, Civil and Installation works, Testing & Commissioning, GRID-INDIA's obligations, etc. The network thus finalized for each contract should not contradict in any manner the schedule provided in the contract. An authority not below the level of Deputy General Manager will approve the L2 Network finalized with the contractor. The L2 network shall also be the contractual schedule for the purpose of regulating Price variation provisions, if any, in the Contract.

C2.4.3 The Contractor shall be required to furnish the monthly progress reports in the format as finalized by Engineer- in - Charge in consultation with the contractor. The progress reporting shall cover the activities under the broad heads of (i) Engineering, (ii) Sub-vendor approval, (iii) Inspection, (iv) GRID-INDIA's obligations viz opening of LC, statutory approvals, etc, (iv) Supplies, (v) Site activities, (vi) Financial and Budgetary targets, (vii) Payment status and (vii) Status of BGs.

C2.4.4 A copy of the approved L2 network along with the relevant progress reporting formats shall be forwarded to all concerned by Engineer in Charge.

C2.4.5 During finalization of L2 network, in case some advancement from the schedule

provided in the contract is required, for which the successful bidder has also agreed, the same shall be done with the approval of HOD – Indenting Department. The proposal for the same shall be initiated by the concerned executive of Indenting Department and routed through Contracts before obtaining approval of HOD- Indenting Department. For packages awarded by RLDC/NLDC, the Head of RLDC/NLDC shall approve, for which the proposal shall be initiated by the department executing the contract routed through RLDC/NLDC Contracts. In all the above cases, L2 network shall be based on the advanced schedule agreed with the contractor.

- C2.4.5.1 In case postponement from contractual schedule is required keeping in view developments subsequent to invitation of tender/award of contract, the same shall, in case of corporate packages, be done only with the approval of Director. In case postponement from contractual schedule is required after award of contract, then prior concurrence of the contractor be also sought. The proposal for the same shall be initiated by the concerned Executive in Indenting Deptt and routed through Contracts and Finance before obtaining the approval. For packages awarded by RLDC/NLDC, Head of RLDC/NLDC shall approve, for which the proposal shall be initiated by Executing department and routed through heads of regional Contracts and Finance. In all above cases, L2 network shall be based on the postponed schedule.
- C2.4.6 Once L2 network has been finalized, no revision shall normally be permitted therein as long as the basic scope of work remains unchanged. However, in such a case increase in quantities, while executing the work as per original scope, shall be suitably adjusted without affecting the overall completion schedule. The revision in quantities in L2 network for aforesaid reasons for corporate packages [wherein implementing region is NLDC/RLDC] shall be done with the approval of Head of RLDC/NLDC. The proposal in this regard shall be initiated by indenting department for obtaining approval of Head of RLDC/NLDC. Such cases shall not be required to be routed through Finance. Upon the approval of the Competent Authority, the revised L2 network will be intimated by department executing the contract to Contracts deptt, Finance deptt. and the contractor in this regard.

- C2.4.6.1 If the basic scope of work undergoes changes during execution stage resulting into additional scope over that originally provided for which the contractor insists for additional/separate completion period/ schedule, such extra completion schedule along with L2 network for the same shall be finalized in consultation with the contractor while obtaining approval for ordering additional scope of work/ amendment to the contract, with the approval of authority competent to order such extra scope.
- C2.4.6.2 In case the scope of work does not change but the contractual completion period is extended because of delayed commencement of the work on account non-fulfilment of obligations by GRID-INDIA or because of any other reason, L2 network shall be suitably revised as per the extended completion period. Once the contractual completion period has been extended with the approval of competent authority as per DoP, revised L2 network shall be finalized.

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C2.5 Detailed Engineering, Drawing approval and Type Testing

C2.5.1 Responsibility Centre:

- Indenting Department in Corporate (CC) for Corporate packages
- Deptt. Executing the contract or any other department as may be authorized by Head of RLDC/NLDC, for RLDC/NLDC Packages

(For the purpose of generalized reference, the above Depts. have hereinafter been referred to as Engg.)

C2.5.2 The schedule for all engineering activities viz, drawing approval, witness and approval of type tests including witness/review of routine tests prior to type test etc., as tied up in the post bid discussions (under pre-award stage) and reflected suitably in the over-all contractual work schedule and/or as finalized in L2 network, shall be the reference to monitor progress of Engineering activities. L2 network shall be finalised by the concerned Engg group incorporating detailed breakup of all the drawings to be approved, schedule of submission by the contractor, approval by GRID-INDIA including sequential release in the order it is required for executing the contract. The L2 network so finalised shall become the basis for all further monitoring within Engg deptt.

C2.5.2.1 The progress of engineering activities of a Contract shall be reviewed on fortnightly basis. Monthly review of engineering activities taken by Head of RLDC/NLDC/ HoD in CC. On the basis of this review meeting, monthly status report of Engineering activities for Corporate Packages, bringing out the exceptions and critical issues, shall be submitted to Director & Head of RLDC/NLDC.

C2.5.2.2 The concerned Engineering Coordinator (handling the package), not below the level of DGM, shall ensure that Detailed Engineering Records including dates of receipt of drawings/design calculations/other technical details from Contractor and its approval by GRID-INDIA and the intermediate activities i.e., dates of various activities pertaining to type tests, pertaining to approval of sub-vendor items involving QR, etc are properly maintained. A status in regard to all the aforesaid details indicating actual dates vis-à-vis scheduled along with the quantum

of delay and responsibility center (whether GRID-INDIA or the contractor) shall be furnished by the Engineering Coordinator to the Head of RLDC/NLDC on quarterly basis. The Proforma of such status report shall be standardized by CC Engineering in consultation with RLDC/NLDC, keeping in view that all relevant data, those are necessary for RLDC/NLDC to analyze and decide Time Extension/LD cases, are contained therein.

- C2.5.3 In respect of design carried out by the contractor, drawings/ other technical documents, that are conforming to contract specification, may be approved at the level of DGM or above of Engineering department at CC/Indenting Department at RLDC/NLDC, ensuring at least one level of review prior to approval.
- C2.5.4 Variation in quantity of item(s) specified in the Contract or requirement of substituted/new items and changes/deviation in make/model/specification of an item, necessitated during detailed engg stage on account of engg requirement, shall require technical approval of competent authority as per DoP from Corporate Centre for Corporate packages and from RLDC/NLDC for RLDC/NLDC packages. If DoP is not clear in this regard, it would require approval of Head of Engineering Deptt in case of corporate packages and concerned Head of RLDC/NLDC for RLDC/NLDC packages. For seeking such approval, the concerned Engg. Coordinator shall put up a detailed proposal, bringing out reasons for change/ deviation including estimated cost implication of the same. The technical approval for quantity variations as above and the variation in quantity of items specified in the Contract or requirement of substituted/new items necessitated at Project site arising out of site condition has been deliberated further in para C2.12 of this section.
- C2.5.5 For type tests to be witnessed within India, an executive of engineering department will be nominated by Head of Engineering Deptt. For type tests to be witnessed abroad, the executive shall be nominated by Director (SO/MO) and the nomination shall be approved by CMD. GRID-INDIA's acceptance of type test reports and clearance for commercial production shall be conveyed to the Contractor by the concerned Engineering coordinator, not below the level of DGM, with the approval of the Head of Engineering Deptt.

- C2.5.6 As & when Engineering activities are in progress, the concerned Engg. Coordinator shall ensure that proposals for technical approval pertaining to change of item and/of quantity/specification/makes/ model of item(s) are expeditiously processed and the approval of the Competent Authority is obtained. Further, it shall also be ensured that such technical approvals are forwarded in original to RLDC/NLDC Contracts by the concerned Engg. Coordinator not below DGM in Corporate Engg for further processing towards administrative approval for issue of change order.
- C2.5.7 The availability of construction/design drawings being the basic input for proceeding ahead with site activities, all care shall be taken to ensure that different activities under this head are completed within the time frame specified in the contract/L2 network for the same in a sequential manner. Since timely completion of Engg activities to a large extent shall depend upon the promptness in submission of necessary data/ drawings by the contractor as and when required, the Engg. Coordinator shall be constantly following up with the contractor for early submission of details and shall maintain dates pertaining to communication to the contractor and receipt of details from him. All such details shall be included in the status report to be furnished by the Engg Coordinator as per C2.5.2.1.
- C2.5.8 In order to ensure that single point coordination is carried out with outside agencies or the RLDC/NLDC, an Executive from Indenting Department not below the rank of DGM, to be referred to as Coordinator, shall be identified by Head of Indenting Deptt in respect of each corporate package.

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C2.6 Sub-Vendor/Sub-Contractor's approval

C2.6.1 Responsibility Centre:

- Indenting Department in Corporate (CC) for Corporate packages.
- Deptt. Executing the contract or any other department as may be authorized by Head of RLDC/NLDC for RLDC/NLDC Packages.

(For generalized reference, all indenting depts. have hereinafter been referred to as Engg)

C2.6.2 Under a specific Contract, tie-ups in post bid discussions (under pre-award stage) on Engineering issues and reflected suitably in the over-all contractual work schedule/L2 network, shall be the basis to monitor progress of Engineering activities which shall also include approval of sub-vendor, quality plans, and inspection of material etc. Accordingly, indenting department shall finalize L2 network containing detailed breakup of above activities for monitoring within the department.

While overall project review will be coordinated by indenting department for apprising the Management, the progress of Engineering activities of a Contract shall also be monitored on fortnightly basis by concerned DGM in Indenting department for corporate packages. Monthly, package-wise status report of Engineering activities, bringing out the exceptions and critical issues, shall be submitted by the concerned DGM to Head of Engineering department and copy shall be sent to Head of RLDC/NLDC.

C2.6.3 Attempts shall be made to finalize sub-vendor/sub-contractor for supply items, as far as possible, before award of contract. The finalization of sub-vendors/sub-contractor not decided during pre-award stage or additionally proposed after the award, shall be taken up during post award stage within the time limit tied up during post bid discussions or that indicated in L2 network. The finalization of a new/additional sub vendor/change of sub vendor shall be carried out in the manner as given below:

- C2.6.3.1 For non-QR supply items of Corporate Packages, if the sub-vendor/ sub-contractor proposed is as per the approved list maintained by GRID-INDIA, Indenting department shall approve the same at a level not less than DGM.
- C2.6.3.2 For QR related supply items of Corporate packages, if the proposed sub-vendor/ sub-contractor is found to meet the QR and is acceptable on the consideration that either he has made supplies to GRID-INDIA previously or is as per the approved list, the sub-vendor shall be accepted by Engg, at a level not less than DGM.
- C2.6.3.3 For non- QR supply items of Corporate Packages, if the proposed sub-vendor/ sub-contractor is new to GRID-INDIA, the Contractor shall be required to furnish details/ documents in support of his claim viz. Plant & Machinery, Testing Facilities, Sources of raw material, manpower, third party approval status, type test status etc., along with the report on assessment of the sub-vendor by the main contractor. The details/ documents shall be reviewed by Indenting department to decide whether the sub- vendor can be approved/ rejected, based on the review of the documents submitted by the Contractor. If based on the review of documents submitted by the contractor, Indenting department is able to ascertain whether the sub vendor proposed can be accepted or rejected, decision shall accordingly be taken. However, if the acceptance or rejection of the proposed sub vendor cannot be determined based on review of documents, assessment may be required to be carried out to arrive at the decision. In case assessment is required, Indenting department shall do the same in association with Engineering Deptt. for critical items and alone for other items.

The proposal in respect of finalisation of the sub-vendor shall be put up by the concerned Indenting Department within one week from the date of receipt of requisite documents from the contractor. If the proposal is for approval/ rejection of the proposed sub-vendor based on review itself, the same shall be put up for approval of Head of Indenting Deptt. If the proposal is for assessment by Indenting department alone, the same will be approved by Head of Indenting Deptt. Decision for approval/rejection of the sub-vendor will be taken by Head of Indenting Deptt, on the basis of the assessment report submitted. If the proposal is for assessment in association with Engineering Deptt, the same shall be routed

through Indenting Deptt and approved by concerned Head of Engineering Deptt.

- C2.6.3.4 For QR related supply items of Corporate packages, if the sub-vendor/sub-contractor proposed is found to meet the QR but neither he has made supplies to GRID-INDIA in the past nor is from GRID-INDIA's approved list, Indenting Deptt shall take care of QA aspects as per para C2.6.3.3 above, based on the details/documents that the Contractor shall be required to furnish, decide whether the sub-vendor/ sub-contractor can be approved on the basis of review itself or assessment by GRID-INDIA is required to be done. In case assessment is required, the same shall be done in association with Indenting Deptt. The proposal for approval/rejection of proposed sub-vendor based on review or where assessment of the facilities and capacity of the proposed sub-vendor/sub-contractor is required shall be put up for approval of Head of Indenting Deptt within one week from the date of receipt of requisite documents from the contractor.
- C2.6.3.5 Wherever assessment is proposed, the proposal shall be initiated by Indenting Deptt, as mentioned in para C2.6.3.3 and C2.6.3.4 above, respectively, bringing out the terms of reference for assessment and the time period for submission of Assessment Report, which in the normal course, shall not exceed two weeks. The assessment committee comprising representatives of Engineering and Indenting Dept, at level not below Chief Manager, shall be nominated in the same note by respective Deptts. Once it is decided to carry out the assessment, necessary communication shall be sent to the contractor by the Engg Coordinator, as the case may be, who shall also intimate the assessment committee members of their nomination through an office order enclosing therewith a copy of the approved note. On completion of the assessment, the assessment committee shall finalise and put up recommendations for approval/rejection of the sub-vendor within a week to Head of Engineering Deptt through Indenting Dept. The concerned Engg. Coordinator, not below the level of DGM, shall communicate the decision to the contractor with copy to Indenting Deptt.
- C2.6.3.6 For supply items of RLDC/NLDC packages, approval shall be accorded based on the approved list of sub-vendors, if any, maintained at CC Engineering Deptt. For

products not covered in the list of CC Engineering Deptt, a separate list of sub-vendors may be maintained by respective RLDC/NLDC observing the prescribed procedure. If the proposed sub vendor is from the approved list maintained, head of Indenting Deptt will approve such sub-vendor. The approval of sub-vendors/ sub-contractors new to GRID-INDIA shall be dealt with by Head of RLDC/NLDC in line with the procedure outlined in paras C2.6.3.3, C2.6.3.4 and C2.6.3.5 above. The approving authority in all cases shall be the concerned Head of RLDC/NLDC. For products covered in the approved list, if any, maintained by CC Engineering Deptt, if a new vendor is encountered in RLDC/NLDC package, the same will be referred by Head of RLDC/NLDC to CC Engineering Deptt for needful.

- C2.6.3.7 The sub-contractor proposed by the main contractor for Installation/civil portion of corporate packages, except where already approved during pre-award stage, shall also be finalized by RLDC/NLDC. The contractor shall be required to furnish details/ documents in support of sub-contractor's qualification/ experience along with the report on assessment of the sub-contractor by the main contractor, for GRID-INDIA's review. The details/ documents shall be reviewed by concerned RLDC/NLDC to decide whether the sub-contractor can be approved/ rejected based on review itself or assessment by GRID-INDIA is required to be done.

In case the sub-contractor has previous working experience in the same area with GRID-INDIA or other organizations of repute, and is generally considered to be capable of executing the works proposed to be sub- contracted, assessment of sub-contractor would not be required and the request of the contractor shall be accepted.

In case of the proposed sub-contractor having no prior experience with GRID-INDIA or other organizations of repute, the assessment of the capability of the sub-vendor/sub-contractor may be carried out depending on the criticality and the volume of work involved. In such a case, the proposal initiated by the concerned RLDC/NLDC shall also bring out the terms of reference for assessment and the time period for submission of Assessment Report, which in the normal course shall not exceed two weeks.

The proposal for approval/ rejection of proposed sub-contractor based on review or for assessment, shall be put for approval of Head of RLDC/NLDC within 1(one) week from the date of receipt requisite documents from the Contractor. If assessment is proposed, the assessment committee shall be nominated in the same note by the concerned departments and approved by Head of RLDC/ NLDC. The committee shall comprise of at least 02(two) members, not below Chief Manager, preferably one from the Indenting Department and other from any other Dept. as may be decided by Head of RLDC/NLDC. Once it is decided to carry out the assessment, necessary communication shall be sent to the contractor by the Indenting Department who shall also intimate the assessment committee members of their nomination through an office order enclosing therewith a copy of the approved note.

On completion of the assessment, the assessment report containing recommendations for approval/ rejection of the sub-contractor shall be submitted by the Assessment committee for approval of Head of RLDC/NLDC. The decision shall be communicated to the contractor by executive of Department executing the package not below the level of Chief Manager.

C2.6.3.8 The authority for any addition to or deletion from the approved list of sub vendor maintained by Corporate Centre shall be Head of Engineering Deptt. The approval for any addition to or deletion from the approved list of sub vendor maintained by RLDC/NLDC shall be accorded by the Head of RLDC/NLDC.

C2.6.4 Change of sub-vendor/sub-contractor

C2.6.4.1 It may so happen that the contractor, at the time of actual execution, requests for change of sub- vendor/subcontractor approved for a particular supply item or civil/Installation work, during pre-award or post-award stage, or for appointment of new sub-contractor/ sub-vendor after the time limit specified in the Contract. The Contractor's request in this regard shall be examined and dealt with as discussed below.

C2.6.4.2 In case the proposed sub-vendor/sub-contractor is in the approved list of GRID-INDIA and meets the QR (in case of QR item only), the same shall be accepted as

explained in para C2.6.3.1 & C2.6.3.2.

C2.6.4.3 In case the proposed sub-vendor/sub-contractor is new to GRID-INDIA, further action shall be taken as per para C2.6.3.3 & C2.6.3.4.

C2.6.4.4 In case of change of sub-vendor/subcontractor, the associated commercial implications, which are linked with

- (a) Freight & insurance
- (b) Taxes & duties, shall be dealt with as described hereunder:
 - a) Inland freight & insurance:

It has generally been observed that for most of the items not manufactured by vendor, while some of the items manufactured by vendor, the contractor proposes more than one sub vendor at the bidding stage. However, the quoted inland freight and insurance charges for each item, irrespective of the number of sub-vendors proposed and the geographical location of their works, remains the same. As such, irrespective of the geographical location of the source of supply, the Contractor is entitled for a fixed freight & insurance charges. Considering the above and the fact that a bidder/contractor is entitled to propose any number of sub-vendors in his bid or new sub-vendors during post award stage, the question of any price implication on account of inland freight & insurance in case of change of sub vendor/source shall not arise.

- b) Issue of Taxes & duties

Under present GST regime, the contracts awarded by GRID-INDIA, the bid prices are excluding GST and the GST rate applicable is indicated separately. The contractor proposes a number of sub vendors for each item and quotes only one price for the item in the bid. Therefore, irrespective of the sub vendor, the price for any item is fixed. Hence, the price, that is applicable to any sub vendor out of those appearing in the bid/LOA, shall also be applicable to any other sub vendor proposed during post award stage but

meeting specification requirement.

C2.6.5 Change from main contractor to sub-vendor/sub-contractor or vice versa

C2.6.5.1 It may also sometimes happen that the main contractor might have envisaged supplying a particular item himself as per the contract, but during actual execution he proposes to supply that item through a sub- vendor/sub-contractor. There may be a vice-versa situation also. While such a change shall normally be discouraged, the request of the contractor shall be considered on the following lines in case of compelling circumstances.

C2.6.5.2 In case the proposed sub-vendor/sub-contractor is in the approved list of GRID-INDIA and meets QR (in case of QR item only), the same shall be accepted as explained in para C2.6.3.1 & C2.6.3.2.

C2.6.5.3 In case the proposed sub-vendor/sub-contractor is new to GRID-INDIA, further action shall be taken as per para C2.6.3.3 & C2.6.3.4.

C2.6.5.4 In case of change from main contractor to sub-vendor/sub-contractor or vice-versa, the issue of commercial implications, which are linked with Inland freight & insurance and taxes & duties, there shall not be any price implication on this account as the instant case is similar to the case explained in para C2.6.4.4 (a).

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C2.7 Manufacturing Quality Plan Approval/Factory Acceptance Tests

C2.7.1 Responsibility Centre

- Indenting Department in Corporate (CC) for Corporate packages
- Deptt. Executing the contract or any other Deptt. as may be authorized by Head of RLDC/NLDC, for RLDC/NLDC Packages

C2.7.2 Since Manufacturing Quality Plan (MQP) may not be required for all equipments/materials, detailed guidelines in this regard interalia identifying the items, for which MQP will be applicable, will be finalized by Indenting Deptt with the approval of Head of Indenting Deptt for Corporate Packages and with approval of Head of RLDC/NLDC for RLDC/NLDC Packages.

C2.7.3 Once manufacturer/sub-vendor/sub-contractor has been finalized, the Manufacturing Quality Plan, wherever applicable, shall be finalized expeditiously with concerned manufacturers for different equipments/materials to be supplied.

C2.7.4 The Manufacturing Quality Plan for a particular equipment/material, wherever finalized with the manufacturer, which may be either main contractor or sub-vendor, shall generally be valid for a period of 03 years. Any deviation from the same shall require specific approval of Head of Indenting Deptt.

C2.7.5 In case the manufacturer is from approved list of sub-vendors maintained by GRID-INDIA and is having valid Quality Plan if applicable, the same shall be followed, for which confirmation shall be given by the concerned Chief Manager of Indenting Deptt for RLDC/NLDC Packages and for Corporate Packages

C2.7.6 In case the manufacturer is from the approved list of sub-vendors maintained by GRID-INDIA but the validity of its Quality Plan has already expired, the Quality Plan shall be finalized with the approval of Head of Indenting Deptt/Head of RLDC/NLDC, for which proposal shall be initiated by concerned executive based on the request of the concerned manufacturer to that effect. The finalization shall be completed within 15days of finalization of sub vendor.

- C2.7.7 In case the manufacturer is not from the approved list of sub-vendors maintained by GRID-INDIA, the Quality Plan, wherever applicable, shall be finalized with the approval of Head of Indenting Deptt/Head of RLDC/NLDC, in the similar manner as described above. The finalization shall be completed within 45 days of finalization of Sub- vendor.
- C2.7.8 Keeping in view the fact that the extent of involvement of GRID-INDIA in Inspection should depend upon the importance/criticality of equipment/ material as well as vendors own commitment to quality, a system of vendor rating needs to be developed to ensure optimum utilization of resources. Requisite guidelines in this regard will therefore be finalized by Corporate Engineering Deptt with the approval of Head of Engineering Deptt.

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C2.8 Inspection & Despatch Clearance

C2.8.1 Responsibility Centre

- Indenting Department in Corporate (CC) for Corporate Packages.
- Deptt. executing the contract or any other department as may be authorized by Head of RLDC/NLDC for RLDC/NLDC Packages

C2.8.2 Immediately after the award of a contract, a detailed schedule/ various QA&I activities based on the L2 network/ tie-ups on QA&I issues during post bid discussions shall be done reflecting suitably in the overall contractual work schedule as explained in para C2.6.2.

C2.8.3 The inspection activities shall be monitored against the aforesaid detailed schedule/ L2 network. Inspection calls given by the Contractor shall be responded to promptly. Slippages, if any, either attributable to GRID-INDIA or to the Contractor, along with corrective action plan, shall be reported by the Head of Indenting Deptt/ Head of executing department at RLDC/NLDC.

C2.8.3.1 The two documents namely CIP and MICC, which are commonly encountered/ referred in connection with inspection of the material, are briefly described below:

- (a) CIP (Customer Inspection Point)- This is a certificate issued by the Inspector immediately after inspection either as a technical acceptance/rejection of material/equipment or as a clearance of 'Stage inspection' as per Quality Plan.
- (b) MICC (Material Inspection Clearance Certificate) - This is a certificate issued by the concerned Inspection Office for billable items as per LOA/NOA after checking necessary CIP(s) and ensuring that all other contractual conditions like type testing, finalisation of BOM etc have been fulfilled. It is normally issued for BOQ/BOM item appearing in LOA as supply item.

C2.8.3.2 Conditional MICC can be issued with the approval of Head of Indenting Deptt/ RLDC/NLDC for dispatch of products/systems where major portion has been

successfully tested and can be dispatched to site for Installation and commissioning and remaining parts can be fitted/supplied at site at a later stage. Such permission can be granted in view of exigencies such as expediting the supply schedule, site progress etc. In such cases, a part payment can be withheld by site till the balance fitting/supply is completed.

- C2.8.3.3 Deficiency, if any, in the material/equipment with reference to the datum provided in the specification but acceptable as per contract with a financial compensation will also be reflected in CIP and MICC so as enable applicable recovery.
- C2.8.4 The concerned executive shall maintain QA&I records, which shall include scheduled and actual dates of various QA&I activities, viz, sub-vendor and quality plan approval, inspection call by the contractor and actual inspection by GRID-INDIA including issuance of MICC etc., indicating the quantum and responsibility (whether GRID-INDIA or Contractor) of delay in each activities. A status in regard to all the aforesaid details shall be furnished to Head of Indenting /RLDC/NLDC, on quarterly basis.
- C2.8.5 During implementation of a contract, the following situations may be encountered:
- (a) Material offered for inspection at manufacturer's works is not conforming to specification.
 - (b) Document furnished in support of quality requirement is found to be forged one, or the contractor is found to have indulged in any other Corrupt and/or Fraudulent practice.
- C2.8.6 Deficiency occurring during Material Inspection
- C2.8.6.1 In case the quality of the material offered for inspection is not observed to satisfy specification requirements/quality standards, the offered material shall be rejected as per norms/standards by the inspector. An opportunity may also be given to the vendor/sub vendor for re-work/re-engineering and offering the material again for inspection after approval of Head of Indenting /RLDC/NLDC regarding rework/re-engineering procedure.

- C2.8.6.2 If situation as explained in para C2.8.6.1 is repeated, GRID-INDIA's representative carrying out the Inspection shall refer the same to Head of Indenting /RLDC/ NLDC depending upon to whom the said representative reports and the vendor/ sub vendor shall be advised to investigate the cause of failure, submit the report and take appropriate measures to improve the quality upto required level. The measures may include change in source of raw material, modification in manufacturing process etc. Apart from above, quality audit/ quality surveillance may be carried out on approval of Head of Indenting /RLDC/NLDC and prescribe additional tests to be carried out during inspection.
- C2.8.6.3 In case the various measures described in para C2.8.6.2 above fail to yield desired results, the approval of MQP, accorded to the vendor/sub vendor by GRID-INDIA for the product and the manufacturing unit in question may be kept in abeyance or withdrawn depending on the magnitude of the problem. In case the MQP is kept in abeyance, the manufacturer would be required to submit corrective action plan within 3 months, failing which MQP approval shall be withdrawn. However, if the corrective action plan is to GRID-INDIA's satisfaction, the abeyance would be revoked. The proposal for keeping the approval in abeyance or for withdrawal of approval or reinstatement shall be initiated by the concerned executive for the approval of Head of Indenting /RLDC/NLDC.
- C2.8.6.4 In case the approval of MQP is withdrawn, the name of the product from the concerned manufacturing unit of vendor/sub- vendor shall be deleted from the list of approved vendors maintained by GRID-INDIA.
- C2.8.6.5 If the vendor in question is a sub vendor of the main contractor, the latter shall be asked to propose alternative sub vendor forthwith preferably from approved list of GRID-INDIA so as to avoid delay in various formalities towards approval of new sub vendor and MQP. However, in extreme case where change in sub-vendor leads to delay in project, the sub-vendor, on approval of Head of Indenting /RLDC/ NLDC, may be allowed to complete the supplies of the ongoing project but with stringent inspection checks.
- C2.8.6.6 In case the vendor in question happens to be main contractor, he too shall be asked

to make immediate arrangement to supply the material through alternative sources acceptable to GRID-INDIA. In case of lack of prompt response, cancellation of the contract can be resorted to in terms of provisions of the contract, for which the proposal initiated by the concerned executive shall be sent for approval of Head of Indenting /RLDC/NLDC for further proceeding ahead in the matter.

- C2.8.6.7 In case the vendor/sub vendor, whose name has been deleted from the approved list as described in para C2.8.6.4 above, carry out modification in the manufacturing process, by virtue of which he hopes to manufacture goods of required quality, he shall, in that case, make a written request along with related documents including third party test report to Head of Indenting /RLDC/NLDC for review of the decision. On examination of the request and documents, if considered appropriate, assessment of the 'Works' can be carried out with the approval of Head of Indenting /RLDC/NLDC. Based on the assessment, appropriate decision shall be taken with the approval Head of Indenting /RLDC/NLDC.
- C2.8.6.8 Notwithstanding the withdrawal of MQP approval and consequent deletion of name from the approved list as explained above, such Vendor/Sub-vendor shall be allowed to participate in the bidding of future packages. However, in case he is determined to be qualified only on the strength of manufacturing facilities for the product at the concerned manufacturing unit, for which Standard MQP approval has been withdrawn, his bid shall not be considered for award.
- C2.8.6.9 In case it is detected during the process of inspection of material that the documents furnished by the vendor/sub-vendor in support of quality requirement are/is forged or any other corrupt and fraudulent practice is detected, the same shall be viewed very seriously as vendor/sub vendor has resorted to corrupt and fraudulent practice. Under such a situation, extreme steps like banning of business and termination of the contract can be resorted to.
- C2.8.6.10 In case the main contractor is himself involved, withdrawal of MQP approval and deletion from the list of approved vendors leading to banning of business can be considered for future packages as discussed in para C2.8.6.12 below.

However, in case of ongoing contracts, termination of contract/banning of business

can be kept in abeyance if required in the interest of the timely completion of the project, but in such a case, inspection would be carried out extra care and caution.

C2.8.6.11 In case sub vendor is involved, the main contractor shall be asked to replace the sub vendor forthwith preferably with someone from GRID-INDIA's approved list so as not to affect the supply schedule. In case it is not possible to go in for such an option keeping in view exigency of work, GRID-INDIA may continue to take material from the same source but with greater alertness. Moreover, deletion of the name of such sub vendor from the approved list can be considered for future packages as discussed in para C2.8.6.10.

C2.8.6.12 Once the instance of such fraudulent practice is detected, it shall be examined as to how serious is that and as whether such a case has occurred in the past also. If the practice resorted to is found to be grave or such an instance is found to have been repeated, MQP approval shall be withdrawn forthwith and proposal shall be initiated for banning of business.

For withdrawal of MQP approval, the proposal shall be initiated by the concerned executive and the approval of Head of Indenting/RLDC/NLDC shall be obtained. Concurrently, the proposal shall be moved by the concerned executive for banning/suspending of business as per the methodology prescribed under para C3.9. While moving the proposal for MQP withdrawal and suspending/banning business, period of proposed banning shall also be inter-alia be indicated depending upon facts of the case. For the cases of minor nature and being for the first time, it can be viewed leniently provided the quality is otherwise generally found to be acceptable. In such a case, a warning letter may only be given.

C2.8.6.13 Once MQP approval has been withdrawn on this ground and banning of business is in progress, bidding documents shall not be issued in respect of future packages. In case bidding documents have been issued but before the award of the contract, MQP approval is withdrawn on this ground and/or suspending/banning of business proceedings is to commence, the concerned bidder shall not be considered for award.

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C2.9 Physical Execution of Work:

C2.9.1 Responsibility Centre:

- Department authorized by Head of RLDC/NLDC for Corporate Packages [wherein

Executing Region is RLDC/NLDC]

- Deptt. Of RLDC/NLDC executing the contract, for RLDC/NLDC packages.
- Indenting Deptt in Corporate Centre (CC) for Corporate Packages

C2.9.2 The focal point for successful and smooth execution of the contract shall be the concerned RLDC/NLDC/Dept in CC. It shall be the responsibility of the concerned RLDC/NLDC/Deptt in CC to ensure implementation of the contract in line with the related provisions of the contract, within the specified schedule. However, necessary assistance shall be extended by all concerned deptts./offices in Corporate Centre, in the areas under their responsibility, towards proper & timely execution of the contract.

C2.9.3 Under each Contract, the progress of supply of material/ equipment and other site activities shall be closely monitored by the concerned RLDC/NLDC. In order to effectively review the progress of the project, RLDC/NLDC shall finalize L2 network with the contractor, based on the approved schedule for all corporate packages. L2 network will be the basis for day-to-day review and monitoring of the progress.

The progress of various activities related to a contract will be reviewed with the contractor on weekly basis. The critical areas shall be promptly communicated to the contractor on weekly basis.

The Head of Indenting/RLDC/NLDC shall review with different contractors the progress of activities under respective contracts, based on the concerned L2 network, on fortnightly basis. On the basis of the review, the slippages in all areas of supply/ Installation/ testing/commissioning shall be identified. In case the review with the Contractor brings out deficiency/inadequacy in mobilization of manpower/

equipment by the contractor, to be the primary reason for shortfall in progress, a detailed program for augmenting resources and improving progress shall be tied up with the contractor and recorded.

Communication to different contractors, advising them to take remedial measures for arresting/ making up the delays, shall be regularly sent after each review. In case deficiency /inadequacy in supply by different suppliers is likely to become critical for progress of work at site, the matter shall be taken up with the concerned OSM supplier and closely followed up. Depending upon the criticality of supplies in question, a representative from the site may also be sent to supplier's works to physically ascertain the status and to expedite the supplies.

- C2.9.4 Execution site shall ensure that before an item is cleared for Installation it has the clearance under category 'A' CIP wherever applicable and further, required quality control checks are carried out regularly in terms of provisions of the contract and Field Quality Plans (FQP). Apart from the routine checks prescribed in the Contract/ FQP, the execution site, in order to assure the implementation of quality control systems and procedures, shall also carry out surprise checks on random basis. All tests/ checks witnessed/carried out shall be properly recorded in the prescribed format developed by Engineering Deptt.

Execution site shall also ensure that different site activities of a project are carried out by the Contractor sequentially as per the specifications/requirement of the works.

- C2.9.4.1 The item/equipment, inspected & cleared for dispatch but received at site in defective condition, shall be reported to Head of Indenting /RLDC/NLDC within 7 days of receipt of material by the execution site. In case the material received in good condition shows defects during Installation, the same shall also be referred to Engineering Deptt for investigation and further action. While investigation on such material/equipment is in progress, the work at site may, however, continue in the interest of the project with the help of material/equipment replaced by the supplier after proper inspection and dispatch clearance by GRID-INDIA.
- C2.9.5 Execution site shall ensure that hindrance register is maintained and entries are made therein on daily basis. The hindrance register should record all the hindrances in

scheduled progress of work, such as delay in release in fronts due to non-completion of work by another agency doing associated work, delay in supply of infrastructure, facilities by 'Owner' as per contract, delay in receipt of material, delay in deployment of trained/adequate manpower, non-availability of site engineer/project in charge of contractor etc, apart from the day-to-day delay. These records also shall be reviewed during the fortnightly review of the progress of work, as mentioned above, and corrective measures shall be taken. Moreover, the entries/records in the register will be used/referred while analyzing LD cases/arbitration cases/other claims of the contractor.

- C2.9.6 RLDC/NLDC/CC shall extend necessary assistance to the Contractor on matters requiring cooperation from local authorities, district administration, and other Govt. officials.
- C2.9.7 There may be instances when, despite repeated reminders/follow up from various level, desired improvement in progress of works/ supplies is not observed and it is apprehended that the overall project schedule is going to be adversely affected because of the same. In such a situation, option of issuing a notice of default to the contractor, in line with the provisions of the contract, can be exercised and subsequent actions can be initiated. Such a notice shall be issued by an executive of the concerned execution site, authorized and designated as per contract. If nothing is specified in the contract, it shall be issued by an executive of the execution site at a level not below Chief Manager.

While 'Cancellation/Termination' of any Contract shall be resorted to as the last recourse only, nevertheless all concerned handling the contract from GRID-INDIA's side need to be alert and vigilant by promptly and carefully acting right from beginning so as to avoid, to the extent possible, any last minute crisis.

'Cancellation/ Termination' of a Contract has been dealt with in detail under para C3.13 subsequently.

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C2.10 Project Monitoring:

C2.10.1 Responsibility Centre:

- Head of Indenting Department at Corporate level.
- Head of RLDC/NLDC at Regional level

C2.10.2 The monthly progress shall be examined by Head of Indenting /RLDC/NLDC. Based on the above, a monthly progress report and an exception report identifying critical areas for action shall be finalized.

C2.10.3 The progress and the exception reports as above shall be reviewed on monthly basis. The issues for review shall generally include status in regard to the following:

- (i) Engineering activities
- (ii) Sub-vendor's approval
- (iii) Inspection
- (iv) GRID-INDIA's obligations opening of LC, statutory approvals etc
- (v) Supplies
- (vi) Execution Activities
- (vii) Financial and Budgetary targets
- (viii) Payment status
- (ix) Status of BGs
- (x) Contract closing.

Based on the said review, the action plan on different thrust areas shall be prepared by Indenting Dept/RLDC/NLDC. The successive review by Head of Indenting /RLDC/NLDC shall also include the action taken report in respect of the action plan decided in the previous review meeting.

- C2.10.4 In respect of packages which are awarded by Corporate Centre, wherein execution region is RLDC/NLDC, the monthly progress report, exception report and the action plan for different thrust areas, as received from RLDC/NLDC, shall be analyzed by Corporate SP&M Deptt. who shall put up a summarized MIS report (indicating only milestone and critical areas) to CMD and all Directors. Corporate SP&M Deptt. shall also arrange a review of progress by Director(SO/MO), as the case may be, in respect of areas falling under the responsibility of different Depts. in Corporate Center, at least once in two months. Depending on requirement, the review of progress by Director (SO/MO), as the case may be, of various activities falling under the responsibility of the RLDC/NLDC, may also be arranged by Corporate SP&M Deptt. Action plans decided in such review meetings shall be circulated by Corporate SP&M Deptt. to all concerned and the actions taken by them shall be monitored by Corporate SP&M Deptt. for apprising the Management.
- C2.10.5 For better coordination amongst various Departments of Corporate Center and RLDC/NLDC towards smooth execution of Projects, a Project Review Meeting, which shall be chaired by Head of RLDC/NLDC, shall be held normally once in two months. However, the frequency of the meeting may be increased to monthly if so decided by Head of RLDC/NLDC keeping in view the criticality of project.

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C2.11 Payment of Installation Advance Processing of Bills

C2.11.1 Responsibility Centre:

- Corporate Finance for Corporate Packages
- Concerned RLDC/NLDC Finance for Corporate Packages
[Wherein Implementing Region is RLDC/NLDC]
- Concerned RLDC/NLDC finance for RLDC/NLDC Packages

C2.11.2 Timely release of payment is the basic prerequisite for successful completion of any contract. The timely release of payment shall facilitate expeditious implementation of the contract.

C2.11.2.1 All payments under the contract shall be released within the time schedule specified in the contract.

C2.11.3 The responsibility for timely release of all payments under the contract, except the Initial Advance for a supply contract or supply portion of a supply cum Installation contract awarded by Corporate Contracts, as mentioned in para C2.3, shall be that of the RLDC/NLDC.

C2.11.3.1 However, the payment to the contractor in foreign currency and payment to a foreign contractor in any currency shall be released by Corporate Finance for which necessary advice, after passing the bills received from RLDC/NLDC or directly received from the Contractor, as may be the case, shall be given by Regional Finance. Notwithstanding this, payment in foreign currency or to a foreign contractor in respect of awards placed by RLDC/NLDC will be released from RLDC/NLDC, after taking care of formalities, if any, on account of statutory requirements.

C2.11.4 The bill for the Initial Advance along with a copy of the Bank Guarantee for Initial/Mobilization advance for Installation contract, Installation portion of supply cum Installation contract shall be required to be submitted by the Contractor to the concerned RLDC/NLDC. The original Bank Guarantee along with a copy of the

bill will be required to be sent by the department executing the project to the concerned finance from where the payment is to be released. The department executing the project in RLDC/NLDC shall authorize the payment of advance pending acceptance of BG subject to fulfillment of all other requirements as per the contract and forward the same to the finance within 3 days of receipt of bills from the Contractor.

- C2.11.4.1 Immediately upon receipt of BG from the Contractor, the department executing the project shall forward a copy of the same to the RLDC/NLDC Contracts Deptt. The same shall be checked in Contracts for its general conformity to the specified format. If the Bank Guarantee is generally found to be in order, the finance shall accordingly be intimated within 2 days. Concurrently, the Finance shall also scrutinize the BG and take action for its verification from issuing bank. This activity shall be completed by Finance within 15 days.
- C2.11.4.2 The BG, if it is from a Bank as specified in the Contract and is as per prescribed format, shall be accepted in Finance.
- C2.11.4.3 Any change in BG format, from that specified in the bidding documents, would be approved by Head of RLDC/NLDC for Corporate and RLDC/NLDC Packages, for which a proposal, bringing out the details along with justification, shall be put up by RLDC/NLDC Contracts through Law and Finance.

BG from a bank other than that specified in the Bidding Documents shall be accepted only under exceptional circumstances as outlined in Clause C2.2.5.

- C2.11.5 Wherever LC is required to be opened, as per Contract, for release of progressive payment/dispatch payment, the action for the same shall be taken immediately on receipt of request of the contractor to that effect, along with programme of dispatch, which can be either contractual schedule or any other programme considered achievable by the contractor. The request of the Contractor, containing Banker's details and programme of dispatch, shall be required to be addressed to RLDC/NLDC Finance by the department executing the project. RLDC/NLDC concerned department shall examine the request with reference to the schedule. Based on advice, RLDC/NLDC Finance shall take further necessary action including taking

up the matter with Corporate Finance wherever payment is to be released to a foreign contractor or payment is to be released in foreign currency in respect of any contractor. For opening of LCs involving rupee payments, approval of Head of Finance of RLDC/NLDC will be taken. For LCs involving foreign currency payments, approval of Head of Finance in Corporate Centre shall be obtained by Corporate Finance.

Normally, all payment to be released through LC (for Indian Currency) will be dealt with by RLDC/NLDC irrespective of type of package (Corporate or RLDC/NLDC).

- C2.11.5.1 Normally, LC shall be opened for a quarter on revolving basis for an amount arrived at on the basis of supplies to be made as per the programme as indicated by the contractor while making the request for opening, except to the extent modified by GRID-INDIA during subsequent examination thereof. LC for a period of more than three months, if so requested by the Contractor, can be opened only with the approval of Head of Finance in Corporate Centre for LC to be opened at Corporate Finance and Head of RLDC/NLDC for LC to be opened in RLDC/NLDC.
- C2.11.5.2 If a LC is required to be extended due to non-utilization of the same by the Contractor, the charges shall be to Contractor's account, if not otherwise provided in the Contract.
- C2.11.5.3 It shall be ensured by GRID-INDIA that LCs are opened and kept valid as per contractual schedule for which necessary follow up action and monitoring shall be done. Further, RLDC/NLDC shall also take up with the Contractor the cases of non-utilization of LC and other matters related to LC, for which RLDC/NLDC Finance shall provide all necessary details/ inputs to it.
- C2.11.5.4 All bills pertaining to payment through LC will be submitted by the contractor directly to the bank enclosing relevant documents under intimation to RLDC/NLDC department executing the project, who in turn shall forward it to RLDC/NLDC Finance.
- C2.11.5.5 In order to minimize the scope for confusion and related delay towards details/

documents required from contractor for opening of LC, Corporate finance will devise a standardized format, for the request letter to be obtained from the contractor for opening of LC. The said format, shall also specify the documents required to be enclosed therewith.

- C2.11.6 All bills pertaining to dispatch payments, to be released directly by GRID-INDIA, against RR/ receipted LR for all types of contracts shall be required to be submitted by the Contractor directly to the RLDC/NLDC department executing the project. If the bill is in order, the same shall be processed and payment shall be released by RLDC/NLDC Finance within 7 days of receipt of bill in finance. The deductions effected in the bill, indicating the break-up under different heads, should be positively informed by the Finance to the contractor in the letter forwarding the payment, with intimation to the concerned department executing the package. Alongwith the copy of communication to the contractor, the concerned department shall also be provided with one copy of invoice duly corrected by finance based on which the concerned department will accordingly record payment details in their register so that bills for subsequent stage, to be processed by concerned department after receipt from the contractor, could be properly correlated.
- C2.11.6.1 In case deficiencies or discrepancies, if any, are observed by Finance in the bills as mentioned above, the same, along with required corrective action, shall be brought either directly to the notice of the concerned department executing package, depending upon the nature of deficiency/ discrepancy, through a written communication by the concerned Finance executive within 5 days of receipt of bill. The matter shall also be informed to the concerned Head of Finance of RLDC/ NLDC. Further, in case major discrepancies or deficiencies are observed by Finance, the bill shall be returned to the department executing the project within 7 days of receipt of the bill, for which prior approval of the Head of Finance of RLDC/ NLDC, for bills being paid from RLDC/ NLDC, shall be taken.
- C2.11.7 All RA bills/Final bill, dispatch payments against RR/ receipted LR for all types of contracts, shall be required to be submitted by the Contractor to the department executing the package in RLDC/ NLDC. If the bill is in order, the same shall be processed and forwarded by the department executing the package in RLDC/ NLDC

to concerned Finance, after authorization for payment, within 7 days of receipt of bill. The concerned finance in RLDC/NLDC shall process the bill, as authorized for payment by the concerned department executing the project, and ensure release of payment to the Contractor within 7 days of receipt. The deductions effected in the bill, indicating break-up under the different heads, should be positively informed by the concerned Finance executive to the contractor in the letter forwarding the payment, under intimation to the department executing the package in RLDC/NLDC.

- C2.11.7.1 The aforesaid bills, after necessary scrutiny/rectification as above, shall be authorized for release of payment by the department executing the package in RLDC/NLDC and forward it to concerned Finance in RLDC/NLDC along with Measurement Books in two copies.
- C2.11.7.2 The bills, received as above from the concerned department, shall be scrutinized in Finance towards expeditious release of payment. In case deficiencies or discrepancies, if any, are observed by Finance, the same, along with required corrective action, shall be brought to the notice of the concerned department through a verbal or written communication, depending upon the nature of deficiency/ discrepancy, by the concerned Finance executive not below the level of Manager within 3 days of receipt of authorized bill. The matter shall also be informed to the concerned Head of Finance. Further, in case major discrepancies or deficiencies are observed by Finance, the bill shall be returned to the concerned department within 7 days of receipt of the bill, for which prior approval of the Head of Finance (HOF) shall be taken. However, HOF will keep the concerned department duly informed on the matter.
- C2.11.7.3 After necessary scrutiny/rectification as explained above, payment would be expeditiously released. On release of payment, one copy of Measurement Book duly corrected, shall be sent back by concerned Finance to the concerned department.
- C2.11.7.4 While forwarding the bill after due authorization, the concerned department shall ensure that provisional 'Material Accounting' is furnished alongwith every R.A. bill.

- C2.11.8 Wherever payment is to be released in foreign currency or is to be released to a foreign party, RLDC/NLDC Finance, after verification, shall forward the bills to Corporate Finance, which will ensure release of payment within 04 days of receipt.
- C2.11.9 Concerned department and the concerned finance shall maintain a Bill Register (preferably computerized) wherein date of receipt of bill, date of return of bill/intimation of discrepancies or deficiencies to the Contractor/Concerned department (if applicable) with reasons thereof in brief, date of forwarding of authorized bill (for concerned department only) and date of release of payment (for finance only) shall, inter-alia, be recorded. Head of the concerned department and head of Finance shall furnish the status as above, in regard to bills being paid by Finance on monthly basis to Head of RLDC/NLDC. All cases involving release of payment after period mentioned above shall be reviewed on monthly basis by Head of RLDC/NLDC once in 02 (two) months. Wherever payment is to be released directly by Finance based on receipted LR, Engineer In charge of the Package will countersign the LR.
- C2.11.10 The payment released under a contract shall be periodically reconciled with the contractor by the concerned department executing the project, from where the payment is being released. As a matter of procedure, such reconciliation, apart from on completion of works, shall be carried out progressively on completion of approximately 25%, 50% and 75% of the Contract Price.
- C2.11.11 For awards placed on GeM portal, electronic register is to be maintained by the Indenting Department and Finance Deptt of RLDC/NLDC. This shall contain details like Contract No. and date, Bill receipt, payment details etc. Monthly report to be generated and forwarded to CC-Contracts.

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C2.12 Technical Approval for Quantity variation including New Items

Responsibility Centre:

- Indenting Department on account of engineering requirements in respect of Corporate Packages
- Deptt. Executing the package, for variations on account of site conditions in respect of Corporate Packages [wherein Implementing Region is RLDC/NLDC].
- Deptt. Executing the package both for changes on account of Engineering. Requirements as well as site conditions, in respect of RLDC/NLDC Packages.

(For generalized reference, Indenting Department have, hereinafter, been referred to as Engg.)

C2.12.1 Variations/deviations in the contract may be countered during its implementation stage, necessitating revision in contract price, as the items and quantities thereof in the BOQ/Price Schedule attached with the LOA/ Contract Agreement are based on estimate made while finalizing NIT BOQ. Therefore, the actual requirement in many cases is different than provided in the contract. In some cases change in scope of work, vis-à-vis that originally envisaged in the contract, does take place-causing variations/deviations in the contract. Such variations/deviations in the contract may be in form of

- (a) either variation in quantities of different items available in the BOQ/Price Schedule attached with the LOA/Contract Agreement (such items to be termed as contract items hereinafter);
- (b) or requirement of some items, which are not available in the BOQ/Price Schedule attached with the LOA/Contract Agreement or there is a change in specification/make/model of existing/available items. All such items, generated in the manner described above, will be termed as new items. A new item may be required either for substituting, fully or partly, a contract item (generally referred to as substituted items) or for supplementing contract

items to successfully complete the scope under the contract (referred to as supplementary or additional items)

C2.12.1.1 It shall, however, be the endeavour of GRID-INDIA to minimize post award variations / deviations to the Contract and necessary controls in respect of it shall be exercised by concerned responsibility centres in their respective areas.

C2.12.1.2 In order to exercise proper control in this regard, all such variations encountered in a contract will be processed in two stages: first Technical Approval for variations will be obtained and then Administrative Approval for issue of change order will be processed. While the processing of technical approval has been dealt with in subsequent paras hereunder, the processing of administrative approval has been dealt with under para C2.13. However, for packages having contract value less than ₹50 lakhs, both Technical and Administrative approval can be sought in Single Stage.

C2.12.2 In respect of Contracts awarded by Corporate Centre (Wherein implementing region is RLDC/NLDC), the technical approval for variation in respect of quantities provided in the Contract and / or requirement of any new items or change in specifications/make of any item/equipment because of engineering requirements shall be approved by Head of Indenting department, bringing out the estimated cost implication, as and when the variations/deviations are identified. The cost implications in such cases shall be worked out by the Indenting Deptt. The technical approval shall then be furnished to RLDC/NLDC who shall take further action for administrative approval (as discussed in para C2.13 of this section) for issuance of amendment. In all cases, the estimated cost of variation covering all items, contract item as well as new items, shall be brought out, clearly indicating the estimated rate of new items.

C2.12.2.1 In respect of Contracts awarded by Corporate Centre (Wherein implementing region is RLDC/NLDC), as and when variations are anticipated on account of Site conditions, the contractor shall be required to submit to the concerned department executing the package its request for approval of such variations along with all relevant details such as the anticipated quantity, the proposed rate in case of

new item and estimated financial implications, either for variation in quantity in respect of items available in the contract and/or for requirement of any new item without the basic scope of the contract undergoing a change. The same shall be examined by the concerned department and a proposal containing details of variations, estimated financial implication, reasons thereof, shall be initiated by the concerned department and sent for obtaining the approval of the Head of RLDC/NLDC as per DoP. Upon approval concerned department shall forward the same to RLDC/NLDC Contracts for further action towards administrative approval for issuance of change order. However, if any design or drawing is required to be developed to execute such variation of work, the same shall be finalized and approved by Corporate Indenting Deptt, and then issued to RLDC/NLDC by a level not less than DGM .

- C2.12.2.2 If the basic scope of the work, vis-à-vis that specified in the contract, changes, either due to site conditions or due to engineering requirements, Technical Approval, including development and approval of design/ revision of drawing, shall be processed and accorded by Corporate Indenting Deptt. for Corporate Awarded packages. For RLDC/NLDC packages, the proposal for Technical Approval in respect of all types of variation shall normally be initiated by the Indenting Department for obtaining approval of the Head of RLDC/NLDC. After Technical Approval, the proposal shall be sent to the RLDC/NLDC Contracts department for further needful. All proposals of technical approval shall inter-alia contain estimated financial implication of the variation proposed for approval in the proposal in question, along with the cumulative estimated financial implication, taking into account the variation so far processed for technical approval/ approved already. The estimated price for new items, if any, shall invariably be indicated. The level of the Competent Authority shall be decided as per DoP.
- C2.12.3 The estimated financial implications in all cases shall be worked out on the basis of unit rates available in the contract for contract items and estimated rate for new/substituted items.
- C2.12.3.1 The estimated rate/financial implications indicated for the purpose of technical approval shall, however, not form the basis of negotiation for deciding the rate

of new item. The rate of new item shall be decided as per methodology described under para C2.13.

- C2.12.4 Since processing the proposal of Technical Approval indicating financial implications may be time taking in some of the cases, clearance to proceed ahead with the work, on case to case basis, can be accorded, pending formal Technical, by Head of Indenting Deptt/Head of RLDC/NLDC to avoid delay in the progress of work for which proposal, without indicating any financial implication, will be initiated by Indenting Department. However, appropriate Technical Approval indicating financial implications of the same shall follow, as soon as possible, all such cases of technical clearance.
- C2.12.4.1 Keeping in view the fact that in the same contract, technical approval may be required to be accorded by Corporate Indenting Deptt as well as in RLDC/NLDC depending upon the type of variations, technical approval accorded/ processed by one responsibility center shall be forwarded/informed to the other so that the responsibility center processing the proposal for technical approval is aware of the cumulative value of variation so far approved/processed.
- C2.12.5 Whenever the proposal for Technical Approval is initiated at RLDC/NLDC/ Corporate Office, the total process should not take more than 15days.
- C2.12.6 The proposal for technical approval shall be initiated as and when variations are encountered so that the scope for proceeding ahead with the work pending Technical Approval could be avoided to the extent possible.
- C2.12.6.1 Once drawings are issued, Technical Clearance/ Approval will be deemed to have been accorded.
- C2.12.7 It shall be ensured by the concerned responsibility centre that the proposal for technical approval are processed and technical approval is obtained expeditiously, wherever variation is anticipated. To ensure that the payment to the Contractor for the variations is not unduly held up, the proposal as above should be initiated by the concerned responsibility centre well in time keeping in view the quantum of variation involved and the anticipated time for processing of the case within

GRID-INDIA till issuance of amendment to the Contract.

- C2.12.7.1 It shall be ensured by the concerned departments/all concerned that the final proposal in respect of Technical Approval of variations in a contract is normally processed within one month of completion of 'Works' and approval of the same is positively obtained within a month thereafter.
- C2.12.8 In order to properly identify whether proposal pertains to interim or final amendment, it shall be ensured by concerned department/indenting deptt. that whenever a proposal for Technical Approval is being moved, Interim or Final, as the case may be, is clearly mentioned in the beginning with the serial number thereof (separately for proposals initiated from Corporate Centre and RLDC/NLDC).
- C2.12.9 The proposal for Technical Approval shall not be routed through Finance and Contracts departments.

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C2.13 Administrative Approval for Issue of Change Order

Responsibility Centre:

- RLDC/NLDC Contracts for Corporate Packages

[wherein Implementing region is RLDC/NLDC] as well as for RLDC/NLDC Packages.

- Corporate Contracts for Corporate Packages

[wherein Implementing Department is located in CC]

C2.13.1 On receipt of Technical Approval, further action shall be taken by the Contracts for obtaining Administrative Approval for issue of Change Order/ Amendment.

Efforts shall be made to expeditiously process the proposal for administrative approval for issue of change order/amendment to the Contract on account of variation. In case the technical approval covers variation in contract items including requirement of new items, efforts shall be made to process the proposal for administrative approval in two parts, if practicable. The first part shall cover variation in quantity of contract items where finalization of new rate is not required. The same shall be processed for approval of competent authority by contracts through concerned finance. The second part shall cover new items as well as contracts items requiring finalization of new rate as per contract, for which contracts shall initiate a proposal for constitution of a committee to negotiate and finalize rates with the Contractor. The committee shall comprise of representatives, not below the level of Manager (If Manager is not posted in Contracts deptt then executive at any level can be nominated by Head of Contracts), from contracts, engineering/Indenting department and finance Nomination shall be approved by Head of Engineering/Indenting Deptt for corporate packages. In case of RLDC/NLDC packages, Head of RLDC/NLDC shall approve the committee comprising representatives at a level not less than Manager (If Manager is not posted in Contracts deptt then executive at any level can be nominated by Head of Contracts). The committee shall forward its recommendations indicating the rate finalized with the Contractor to Contracts who shall, based on the rate of new

item finalized by the committee, process the proposal for obtaining administrative approval for issue of change order from competent authority as per DoP. The proposal for administrative approval, containing committee's recommendation for rates, shall be routed through all concerned Head of departments that are represented in the committee.

The rate of new item(s) shall be finalized in the manner as provided in the contract.

In case the contract does not stipulate any specific methodology, the rate shall be finalized in the following manner.

- (a) If possible the rate shall be arrived at on the basis of similar item available in the contract.
- (b) In case similar item is not available in the LOA, the rate shall be mutually discussed and decided.

In order to ascertain the reasonability of rate, market rate analysis will be carried out, wherever possible based on data base/procedure established for such type of works. If market rate analysis cannot be carried out in the manner described above, reasonability of the same shall be kept in view based on the rates of that item available in other LOAs. For this purpose average of rates of that item available in other awards placed during last 02 years for the same RLDC/NLDC, after suitable extrapolation, wherever required, to bring it to current level and after effecting price adjustment, if any, required on account of mismatch of specifications may be used. In case such items are not available in the contracts awarded for the same RLDC/NLDC in last 02 years, contracts awarded for other RLDC will be taken into account.

- (c) In case the same is not possible, lowest budgetary quotation from various manufacturers/suppliers can also be used as basis. 15% shall be taken to cover Contractor's profit and overhead wherever required.

C2.13.2 In many cases, finalization of new rate will be based on combination of more than one of the guidelines described in para C2.13.1above.

- C2.13.3 In case the rate of a new item is finalized on the basis of that of similar item available in the contract; such rate shall be subject to further adjustment as per the Price Variation Formula, if any, applicable to the contract item based on which the new rate has been arrived at. However, the rates finalized on the basis of market rate shall not be subject to any further adjustment as per the Price Variation Formula.
- C2.13.4 All proposals for issuance of change order, on the basis of Technical Approval, to be processed as explained above, shall interalia contain the cost implications of the proposal in question and the cumulative cost implications taking into account all previous change orders, processed/issued. Further, the total cumulative cost implications will be broken up under the head of contract items and new items separately so as to provide clarity in regard to nature of variations. The total variations in contract items will be further broken up indicating variation within contract's limit and variation beyond contract's limit. All such proposals shall be routed through finance department before obtaining approval of the Competent Authority as per DoP.
- C2.13.4.1 There may be a situation during execution of a particular contract that approval of CMD has been obtained as per requirement of DoP for an interim amendment proposal and the cumulative variation as per final amendment proposal is found to be on lower side vis-à-vis that already approved earlier, though still exceeding the powers of Head of Engineering/Head of RLDC/NLDC. In such a situation there will not be a requirement of again seeking approval of CMD and the final amendment will be issued with the approval of Head of RLDC/NLDC.
- C2.13.5 Processing and obtaining approval of the proposal for administrative approval for change order/ amendment to the contract should normally be completed within two months of receipt of the same in Contracts department for all cases within powers of Head of RLDC/NLDC. However, processing and obtaining approval of cases exceeding powers of Head of RLDC/NLDC should normally be completed within 03 months.
- C2.13.5.1 It shall be ensured in all cases that the final amendment to the contract, if required, is issued within three months after physical completion of supplies/works.

- C2.13.6 All changes to the original LoA/ Contract for Corporate Packages will be notified by Contracts department, at a level not below Chief Manager by way of amendment / change order, to be serially numbered for each contract. The amendment will be got vetted by Finance, in line with the administrative approval, before issuance. It shall be ensured that the amendment/ change order is issued within a week from receipt of administrative approval.
- C2.13.7 Some more relevant issues are dealt with under paras C3.3, C3.19 & C3.20 subsequently.
- C2.13.8 In line with DoP, placement of LOA/PO is not required for an amount upto ₹50,000 for purchase of sundry items. During the course of execution of the order, if the value of the contract exceeds ₹50,000, a change note/amendment needs to be issued. The same shall be issued by the department who has placed the order.

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C2.14 Time Extension and Liquidated Damages (LD)

C2.14.1 Responsibility Centre

- RLDC/NLDC Department implementing/executing the project for Corporate Packages [wherein Implementing region is RLDC/NLDC] as well as RLDC/NLDC Packages.
- Implementing Department is located in CC for Corporate Pkgs

C2.14.2 The time remains the essence of all major contracts awarded by GRID-INDIA and all works / supply under a contract needs to be completed within the stipulated time schedule. Therefore, a provision has been kept in the contract that in case of delay in completion, for the reasons attributable to the contractor, he is required to pay to the owner, a sum, as LD, calculated at a specified rate but limited to the ceiling mentioned in the Contract. The ceiling limit in the contract is generally 5% or 10% of the contract price (exclusive of GST).

C2.14.3 Notwithstanding the fact that time is the essence of the contract, a number of cases of delay in completion of projects are encountered. Though the reasons for delay are diverse, the contracts finally get completed beyond the contract completion period. In order to keep the contract alive, it is also necessary that extension of time is granted to the contractor for the extended period of completion. While communicating the approval of extension of time, a decision on imposition/waiver of LD, on account of delay in completion of work is also required to be indicated. Since the reasons for delay are generally mixed up i.e., attributable to both GRID-INDIA & contractor, the issue of time extension with imposition/waiver of LD needs to be dealt with meticulously and delicately taking into account all the relevant aspects. The relevant aspects to be considered include the reasons for delay, the period of delay attributable to either parties and the loss or damages, if any, suffered by GRID-INDIA.

C2.14.3.1 Since the above exercise can normally be taken up only after physical completion of works, Provisional time extension will be granted with the approval of competent authority as per DoP so that the contract is alive and delayed supplies/works can

be accepted by GRID-INDIA. Such Provisional time extension will be without prejudice to all the obligations of the contractor under the contract and further without prejudice to GRID-INDIA's right to levy LD and other rights under the Contract. Above facts will be clearly indicated in the provisional time extension letter.

C2.14.3.2 In normal course, the proposal for Provisional/Interim time extension or Final extension of time along with settlement of LD shall be initiated upon receipt of request from the Contractor to that effect.

C2.14.3.3 In case of Interim / Provisional time extension, the recommendation shall be put up by the concerned indenting department/Department executing the package to the competent authority through contracts and finance. This exercise will be started well in advance before the expiry of scheduled completion period so that provisional extension letter is issued before expiry of the contract period.

C2.14.4 In order to safeguard the long term and larger interest of GRID-INDIA, the cases for imposition of LD need to be dealt with logically and rationally, maintaining consistency in approach. Accordingly, in the normal course, the cases of time extension/LD will be dealt with as per guidelines given hereunder.

C2.14.4.1 Contracts/LoA have a provision for recovering compensation as LD from the Contractor for delays attributable to him in performance of the Contract, in form of a predetermined sum for each unit of time delay subject to an overall limit. Therefore if there is a delay in execution of the contract and reasons for delay are attributable to the contractor LD is recoverable from the contractor as per the provisions of the Contract. The delay attributable to the Contractor must however be analyzed in a proper manner.

C2.14.4.2 In Contracts awarded by GRID-INDIA, delay in performance of the Contract may be on account of one or more of the following:

- (i) Reasons attributable to the owner viz., delay in providing the work front, approval of drawings/ sub- vendors, issue of owner supplied material and/ or fulfilment of GRID-INDIA's other obligations as provided in the Contract

etc, increase in contract price beyond the quantity variation limit can also be considered, if felt justified.

- (ii) Reasons attributable to “Force Majeure” conditions as defined in the Contract.
- (iii) Reasons attributable to the Contractor viz, delay in mobilization, submission of drawings, finalization of sub-vendors, supply of material/ equipment, fulfilment of the Contractor’s other obligations under the Contract, etc.

C2.14.4.3 The proposal for time extension and decision on LD shall, accordingly, contain a detailed analysis indicating reasons & period of delay on each account as outlined in para C.2.14.4.2 above, along with documentary evidence thereof to the extent feasible and relevant. Based on the analysis, the period of delay due to ‘Force Majeure’ and for reasons attributable to GRID-INDIA shall be identified. The idea of the exercise is to find out the net delay, which is attributable to the contractor. It may so happen that all the three types of delay mentioned above may be so much mixed up/intermingled, with one running concurrently with another, at intermittent stages, that it becomes extremely difficult to directly identify the delay attributable to the contractor. As such, a practicable approach for working out the net delay attributable to the contractor, as described below, shall be adopted:

- (i) Total delay that has occurred in a Contract=A
- (ii) Cumulative period of delay on account of “Force Majeure”=B
- (iii) Cumulative period of delay on account of GRID-INDIA=C
- (iv) Concurrent cumulative period in (ii) & (iii) =X
- (v) Cumulative period of delay on account of “Force Majeure” and GRID-INDIA = B+C-X
- (vi) Net period of delay attributable to the contractor, Z=A-(B+C-X)

C2.14.4.4 In case the period Z, arrived at as per para C2.14.4.3 above, is not positive, the time extension, till the actual completion of the works/ supplies, shall be allowed

without any LD.

- C2.14.4.5 In case the period Z, arrived at as per para C2.14.4.3 above, is positive, the time extension, till the actual completion of works/supplies shall be allowed with imposition of LD in terms of provisions of the Contract.
- C2.14.5 In the normal course, the settlement of LD along with final time extension shall be done after physical completion of supplies / works as per the Contract, and entire processing including approval and issuance of letter to the contractor will be completed within 2-3 months of physical completion.
- C2.14.6 However, in cases where the works/ supplies extend beyond the contractual completion, amount from the RA bills, pending settlement of LD, shall not be withheld/ retained in case of Packages if adequate retention payment (over and above security deposit) remains to be released as per Contract. In case, it is not so, it shall be examined whether BGs/other securities (excluding CPG/ Security Deposit) furnished by the Contractor are available with GRID-INDIA, which have partly or fully served their purpose, and can therefore be utilized by GRID-INDIA to recover LD, if finally levied. If available, it will be further checked whether the contractor is willing to furnish a suitable undertaking authorizing GRID-INDIA to retain those BGs/security (for such value which along with retention payments remaining with GRID-INDIA is considered to be sufficient to take care of maximum leviable LD) to be kept valid till 6 months beyond the anticipated completion of the works/ supplies under the Contract. If the Contractor gives the undertaking as above and validity of BG is suitably extended wherever required, amount from RA bills pending settlement of LD shall not be withheld/ retained. The above aspects shall be deliberated in the proposal for interim/ provisional time extension.
- C2.14.6.1 On examination of relevant aspects as deliberated above, it is required to withhold/ retain amount pending finalisation of LD from RA bills, the same shall be done with the approval of Head of RLDC/NLDC/Implementing Deptt in CC. The reasons for the same, along with recommendations, shall be brought out in the proposal for interim/ provisional time extension by execution site or finance, as the

case may be. For example, if considerable recovery is apprehended on account of negative Price Variation (PV), Finance shall bring out the relevant aspects. In case of apprehending considerable recovery on account of issues pertaining to RLDC/NLDC/Implementing Deptt in CC, the respective RLDC/NLDC/Implementing Deptt in CC shall bring out the relevant aspects.

C2.14.6.2 In case of RLDC/NLDC packages, where there is normally no retention amount over and above CPG/Security deposit, amount from RA bills, pending settlement of LD, shall be withheld/ retained, if the works/ supplies extend beyond the contractual completion. In case there are some high value packages having similar terms and conditions as that of Corporate Packages, the methodology as explained above may be followed with the approval of Head of RLDC/NLDC, to be taken while obtaining provisional time extension approval.

C2.14.7 Concerned execution site (RLDC/NLDC) shall obtain comments of the concerned departments on whose account delays have been identified/pointed out by the Contractor in his request for time extension. Concerned execution site(RLDC/NLDC), after preliminary examination of the Contractor's request, shall seek comments from the concerned depts., if details have not already been provided, within 10 days of receipt of the Contractor's request. In cases where comments of Corporate Depts. are sought, the concerned execution site shall also forward a copy of their communication to Corporate Indenting Deptts for further follow up. Concurrently, the execution site shall ask the Contractor to furnish additional details/ documents, if any, within a specified time limit.

C2.14.7.1 The concerned Depts. shall forward their comments to the execution site, as aforesaid, through an executive not below the level DGM within a period of 15 days from the receipt of communication from RLDC/NLDC. In case of departments of RLDC/NLDC, comments will be forwarded within 10 days through concerned HOD.

The execution department shall initiate the Final Time Extension (FTE) including proposal regarding levy of LD. The said proposal for the FTE and finalization of LD calculation shall be securitized and vetted by Contracts and Finance department

before approval of the Head of RLDC/NLDC/Head of Implementing Department in CC.

- C2.14.7.2 For packages valuing above ₹ 5 Crore recommendation for settlement of LD along with final time extension, taking into account the comments of concerned department, shall then be processed by a Committee comprising of members (not less than the level of Chief Manager) from Contracts, Implementing Department and finance for approval of Competent Authority as per DoP. Committee nomination proposal shall be initiated by the Implementing Department. The Implementing Department shall be the coordinator of the Committee. While processing the proposal, the Committee shall analyze the reasons of delay as per para C2.14.4.3 above and other relevant details as already discussed above and shall be routed through RLDC/NLDC contracts and Finance for cases to be approved at RLDC/NLDC.
- C2.14.8 Upon approval of the competent authority, the original approved note in respect of interim/ provisional as well as final time extension/LD, in case of Corporate awarded packages (Wherein implementing region is RLDC/NLDC), shall be forwarded to RLDC/NLDC Contracts who shall issue necessary communication to the Contractor with a copy to Implementing Department and RLDC/NLDC finance. In case of RLDC/NLDC packages, the communication shall be issued by concerned contracts dept. Such communication shall be issued by an executive not below the level of Chief Manager for corporate packages and Dy. Manager for RLDC/NLDC packages.
- C2.14.9 Once a time extension (Final or provisional) is granted, the completion period for purposes of extension of validity of BGs, securities shall be determined by the extended period of completion except if otherwise provided in the Contract.
- C2.14.10 In cases where, because of initial delay in providing work front or other local problems or any other valid reasons not attributable to the contractor, the commencement of work by the Contractor is delayed and consequently contractual completion period needs to be extended, there will be no objection to grant extension to the completion period in the initial stage itself.

C2.14.11 In order to properly carry out analysis of delays in execution of a contract/ project, it is imperative that date wise record of various activities right from award of contract to completion of works/ supplies is meticulously and systematically maintained by concerned Depts. in respect of areas under their responsibility. In line with above, it shall be ensured by the concerned coordinator, that the following details are maintained:

- (i) Detailed Engineering Records: These shall include receipt of drawings/ design calculations/ other technical details from the Contractor and its approval by GRID-INDIA, type tests, approval of sub-vendor items involving QR; etc. and intermediate activities if relevant. (Responsibility: Indenting Departments for Corporate Packages; Respective RLDC/NLDC departments executing the projects for RLDC/NLDC packages.)
- (ii) QA&I Records: These shall include approval of sub-vendor of non QR items, approval of quality plan of different manufacturer, inspection of material including issuance of MICC based on inspection call received from contractor; etc. (Responsibility: Indenting Departments for corporate packages and Respective RLDC/NLDC departments executing the project for RLDC/NLDC packages)
- (iii) Execution Records: These shall include details as per hindrance register as discussed under para C2.9.5 above. (Responsibility: RLDC/NLDC executing the project/ Indenting department for corporate awarded packages).
- (iv) Payment Details Records: These shall include, apart from details as per bill registers to be maintained by concerned Finance and the Department executing the project as discussed under para C2.11.9, the various dates pertaining to opening of LC including its utilization right from request by the contractor. (Responsibility: RLDC/NLDC Finance based on inputs from Corporate Finance wherever applicable and RLDC/NLDC department executing the project)

C2.14.12 Waival of Liquidated Damages (LD) for delayed supplies/ works/ services should be strictly be an exception rather than a norm. For an extension of the completion

date with waiver of LD, approval of the Competent Authority with consultation of associated Finance may be taken & justification recorded.

C2.14.13 Contract Price for working out LD may be considered as exclusive of GST. The applicable services GST may be applied on such worked out LD.

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C2.15 Completion, Testing, Commissioning, Taking Over & release of payment

C2.15.1 Responsibility Centre:

-RLDC/NLDC Department implementing/executing the project/associated with

“Commissioning Team” (wherever commissioning is involved)

C2.15.2 Immediately upon receipt of a written communication from the Contractor intimating that the works have been physically completed as per technical specifications or are nearing completion (within a period not exceeding 15 days), the Implementing department shall take further necessary action, depending upon the nature of ‘works’ under a particular Contract, towards taking over. The actions, required to be taken by execution site, have been broadly described in subsequent paras. For this purpose, the ‘Works’ have been categorized as follows:

- (a) ‘Works’ not involving Commissioning
- (b) ‘Works’ involving Commissioning

C2.15.3 For ‘Works’ not involving Commissioning

C2.15.3.1 Within 15(fifteen) days of intimation from the contractor regarding completion of ‘Works’, the execution site shall inspect the ‘Works’ to verify the completion status, in presence of the contractor’s representative.

If the ‘works’ are found to be completed and acceptable in all respects (except for minor defects and deficiencies, if any), Completion Certificate/ Taking Over Certificate (TOC) shall be issued by Head of the department executing the work (not below the rank of DGM), within 30 (days) of Contractor’s intimation. The completion certificate shall generally contain the following details:

- (a) Date of completion;
- (b) Defects to be rectified;

(c) Items not conforming to specification but can be accepted at a reduced rate.

C2.15.3.2 If, on inspection, 'works' are not found to be completed or rectification of major nature is required, the Head of the department executing the work (not below the rank of DGM) shall, within 21 days of Contractor's intimation, inform the incomplete works/ defects and deficiencies to the Contractor in writing advising him to take necessary action and to inform GRID-INDIA after completion/ rectification. However, if the contract specifies separate completion period for different parts of works for the purpose of taking over also, completion certificate/ TOC shall be issued in respect of portion of works that are completed and are acceptable.

C2.15.3.3 For issuance of completion certificate, it shall be a prerequisite that the contractor clears the 'works' premises, so that the owner could use the same. However, the materials reasonably required for pending rectifications may be allowed to be suitably kept so that rectification works could be carried out without adversely affecting the intended use of premises. Moreover, the contractor shall be required to complete the rectification works within a reasonable time which shall be mutually agreed prior to issuance of TOC.

C2.15.4 For 'Works' involving Commissioning

C2.15.4.1 Commissioning is the last phase of physical activity in execution of 'works' under a Contract. It involves checking of equipments, systems and sub-systems provided under the Contract for proper erection/ installation, quality and standards to ensure their suitability for the intended purpose.

C2.15.4.2 During execution of 'works', the concerned executives, looking after respective works, shall ensure that Location-wise/ Equipment-wise details of various activities are maintained meticulously. The records containing such details shall be reviewed by the Head of the executing department on monthly basis.

C2.15.4.3 In order to avoid delays in ascertaining the readiness of 'works' for commissioning, the practice of carrying out pre-commissioning checks/ tests on individual equipment (hereinafter referred to as part of 'works'), as and when the same

are ready, shall be followed. On receipt of communication from the Contractor informing that the 'works' / part of 'works' are physically complete/ nearing completion and installation is ready for carrying out pre-commissioning checks/ tests, the execution site shall take further actions, as described below, towards declaring the 'works' ready for commissioning.

C2.15.4.4 The 'works' / part of 'works', as above, shall be thoroughly inspected/checked by the execution site at different levels within 15 days of Contractor's intimation. Wherever pre-commissioning checks /tests are involved, the same shall be witnessed jointly with the Contractor's representative. On such verification, once the entire 'works' under a particular Contract are found to be complete and acceptable (except for minor defects and deficiencies, if any), the execution Site shall request the 'Commissioning Team' (as defined in para C2.15.4.6 below), to commence further verification as subsequently described.

If, on inspection/checking, the 'works' / part of 'works' are not found to be complete or rectification of major nature is required, the execution site (not below the level of DGM) shall, within 21 days of Contractor's intimation, inform the incomplete works/ defects and deficiencies to the Contractor in writing advising him to take necessary action and to inform GRID-INDIA after completion/ rectification. However, if the contract specifies separate completion period for different parts of works for the purpose of taking over also, further action as described above shall be taken in respect of portion of works that are complete and are acceptable.

C2.15.4.5 In order to ensure reliable operation of the system after Taking Over, a 'Commissioning Team' shall be constituted for discharging responsibilities generally identified in para C2.15.4.6 below during pre- commissioning and commissioning stage. In order to ensure timely constitution of the Team, Head of RLDC/NLDC shall approve at least one month before it is tentatively required and intimate all concerned.

The Head of RLDC/NLDC may decide not to constitute "Commissioning Team" depending on the requirement of the package and entrust executing department to carry out the responsibilities of the Commissioning Team.

C2.15.4.6 The responsibilities of the Commissioning Team shall be as under:

- (i) Inspection of finished works under a particular Contract, bring out deficiencies and suggest corrective measures well ahead before commencement of commissioning.
- (ii) Go through the storage history of each and every equipment and major materials, list out repair/renovation work, if any, carried out on them and document the observations for development of data base for future reference.
- (iii) Go through pre-commissioning test results on equipments and system installed in the project and clear the equipment for taking into service.
- (iv) Go through statutory clearances and standing instructions before putting the new equipment into service.
- (v) Witness final commissioning tests.
- (vi) Investigate failure of equipment while taking into service.
- (vii) Declare commencement of trial operation and evaluate guarantees test results and recommend acceptance as may be provided in the contract.
- (vii) List out deviations/exception/incomplete work, for acceptance/ rejection.

C2.15.4.7 For discharging above responsibilities, actions shall be taken as described below:

- (i) As and when the 'Works' (which shall also mean such parts of works under a particular contract for which separate completion period has been specified for the purpose of taking over) is considered to be complete and acceptable by Execution Site (as explained in para C2.15.4.5 above), the member in the Commissioning Team shall plan and inform the date(s) of inspection of the 'Works' to other members of the Team.
- (ii) The Team shall also go through the factory test reports. If such tests have been repeated during pre- commissioning, the Team shall list out deviations,

if any, in the results of pre-commissioning tests with respect to the factory tests.

C2.15.4.8 On successful completion of commissioning and upon request of the contractor for taking over the 'Works' and issuance of TOC, Head of RLDC/NLDC, shall issue TOC ascertaining the following:

- All the works under the contract have been satisfactorily completed by the Contractor as per the provisions of contract.
- The Contractor has cleared the site of all the surplus materials, removed all materials, T&P, labor huts/sheds any other kutchha dwelling unit/ arrangement, cleaned the dirt from part of building, sanitary arrangement, water supply connection and all electrical gadgets/equipments/ switches, wiring, any wood work or any such item, to the satisfaction of the Engineer-in-charge, except those required for carrying out rectification works.
- All the defects have been rectified to the complete satisfaction of the Engineer-in-charge.

C2.15.4.9 Notwithstanding that has been stated above, the issuance of TOC shall not be held up for delay in completion/rectification of works of minor nature that do not affect the performance/use of the building/installation/ equipment/sub-system/system as per Technical Specifications. In such a case the contractor shall however be required to give an undertaking that in case he fails to complete/rectify within a mutually agreed period, the owner shall be at liberty to carry out the work at his risk and cost, and deduct an amount as may considered appropriate by the owner.

C2.15.5 In some of the contracts in GRID-INDIA, particularly supply cum Installation ontract, the total price against each item is generally paid in three stages; a portion is paid in advance, a portion as progressive/running payment on completion of respective activities and the balance portion is paid on successful completion of entire scope of work under the contract and taking over of 'Works' by GRID-INDIA. Sometimes, it however happens that though all the activities under the

contract are physically completed, the commissioning, upon which only taking over by GRID-INDIA can take place, is held up. As a result of the same, the last stage payment remains held up. Some of such specific cases are discussed under para C3.9.

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C2.16 Revised Cost Estimate (RCE)

C2.16.1 Responsibility Centre:-

- Indenting Department for Corporate Packages
- Indenting Department in RLDC/NLDC for RLDC/NLDC Packages

C2.16.2 Once packages are awarded by Corporate Contracts, the revised cost estimate of the project shall be worked out based on the same, taking into consideration the anticipated price variation. Whenever there are variations with reference to original estimate, the reason for variations and the basis of revised estimate will also be indicated. While working out the revised cost estimate, the cost of other associated and related works be forwarded to Indenting Department in Corporate Centre by implementing region is RLDC/NLDC. The Indenting Department in Corporate shall examine the details furnished by RLDC/NLDC and work out the revised cost estimate.

C2.16.3 The RCE shall again be reviewed when the actual expenditure incurred is approximately 50% of the approved cost estimate of the project. For this purpose, Implementing Dept. in RLDC/NLDC shall keep track of the expenditure under the project on monthly basis, for which the necessary details shall be furnished to them by RLDC/NLDC finance as the case may be. As and when the actual expenditure is approximately 50% of the approved cost estimate, the revised cost estimate of the project shall be worked out taking into account the actual expenditure incurred under each contract and further expenditure anticipated to be incurred (based on contract price and the price variation admissible as per contract). While working out the revised cost estimate, the cost of Regional Packages and the actual/estimated expenditure and other related works shall also be taken into account. Further, if some of the packages are still to be awarded, the estimated cost of the same shall be considered. In case the estimated cost is not available, implementing department shall assess the same based on the details those may be available with them. The details as aforesaid shall be forwarded to Indenting Department in Corporate who shall take further necessary action in line with para C2.16.2 above.

- C2.16.4 The RCE shall be reviewed again 6 (six) months prior to the anticipated completion of the project in the manner described under para C2.16.3 above. The same shall be based on audited figures in respect expenditure already incurred/ to be incurred.
- C2.16.5 Based on the actual expenditure already incurred as well as expenditure to be incurred further for completion of the project, the RCE (final) shall be prepared by implementing department within 06 months from the date of completion of the project. The same shall be forwarded to Indenting Department in Corporate who shall process the same for approval of the competent authority.
- C2.16.6 Notwithstanding above, if, at any time during execution, the project completion is anticipated to be delayed beyond the schedule or revised cost is expected to exceed the approved cost, Implementing department shall prepare RCE and forward the same Indenting Department in Corporate in the manner as explained above.
- C2.16.7 In all cases, where revised cost estimate of the project is exceeding the approved cost estimate, Indenting Department in Corporate shall take necessary action towards management's approval expeditiously.
- C2.16.7.1 Even in cases, where revised cost estimate of the project is not exceeding the approved cost estimate but there is variation in scope vis-à-vis that in approved Cost Estimate, approval from appropriate authorities shall be required to be taken. For this purpose, details shall be provided to Corporate SP&M Deptt by concerned Implementing department.
- C2.16.8 If revised cost estimate exceeds the approved cost estimate of the project by more than 20% and/or the anticipated completion period is expected to overshoot the approved completion period of the project by more than 10%, Indenting department in CC shall take necessary actions towards apprising the Board.
- C2.16.9 In case of a multi-region project, the overall compiling of RCE, based on details of respective portions as received from concerned region, will be done by Indenting department in CC.

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C2.17 Dispute Resolution and Arbitration

C2.17.1 Responsibility Centre:

- Implementing/Executing department, assisted by concerned Depts., for Corporate as well as RLDC/NLDC packages, in case of dispute resolution other than arbitration.
- In case of arbitration concerned Law Dept. at Corporate Centre or RLDC/NLDC, depending upon whether the Representing Officer is from Corporate Centre or RLDC/NLDC.

C2.17.2 All efforts shall be made by GRID-INDIA for amicable settlement of disputes, if any, which may arise in the course of execution of a Contract. In this regard, it is necessary that any issue that a particular Contractor raises be dealt with promptly. While some of the Contracts provide for reference of such issues / disputes by the Contractor, the concerned department executing the package shall bring such disputes/ issues promptly to the notice of the concerned authority.

The concerned authority i.e., Engineer In-Charge / Officer In-Charge/ GRID-INDIA's Authorized Representative for the purpose of dealing with and settlement of disputes prior to arbitration (including any alternate dispute resolution mechanism identified in the Contract) shall be not below the level of DGM under whose jurisdiction the execution of the contract in question falls, for all corporate and RLDC/NLDC awarded packages. The aforesaid authority, once claims/ disputes whether of Contractor or GRID-INDIA are referred to him, shall get the same examined promptly by concerned Depts. (Not below the level of DGM for Corporate packages and RLDC/NLDC packages) for a final view. Based on views of concerned Deptts, decision shall be taken by the Engineer In-Charge / Officer In-Charge/ GRID-INDIA's Authorised Representative and informed to the contractor or the concerned responsibility center in GRID-INDIA. Such decision should be informed within a reasonable time of about 1-1 ½ months from the date the issue/ dispute is raised in writing by the Contractor.

C2.17.2.1 Normally, the Engineer In-Charge / Officer In-Charge/ GRID-INDIA's Authorised

Representative shall be identified in the LOA/ Contract itself. However, in case the same is not identified or in case of change in the identified Engineer In-Charge / Officer In-Charge/ GRID-INDIA's Authorised Representative, Head of RLDC/ NLDC shall nominate the Engineer In-Charge / Officer In-Charge/ GRID-INDIA's Authorised Representative and the same will be communicated to the Contractor within seven days his raising claim.

C2.17.3 In normal course, only after the decision as per C2.17.2 above is conveyed to the Contractor and the Contractor does not find the same acceptable, it is likely that the arbitration or alternate dispute resolution process (if identified in the Contract) would start.

C2.17.3.1 CVC guidelines stipulate settlement of disputes between Management and contractor through mediation before the panel of IEMs. In the normal course of time, the resolution of disputes shall be referred to the panel of IEMs appointed by the CVC in Grid-India. However, in case dispute remains unresolved even before the panel of IEMs, the concerned department may take necessary action as per the terms and conditions of contract.

C2.17.3.2 In all cases of Contracts awarded by Corporate Centre, prior to Arbitration (or alternate dispute resolution process if provided in the Contract) or during it, as a matter of policy, at least one attempt for amicable settlement of disputes with the Contractor shall be made by a standing Committee comprising Dir(SO/MO), Dir(F), Head of Corporate Contracts, Head of Corporate Law Deptt and Head of RLDC/ NLDC, with Head of RLDC/NLDC being the convener and Director(SO/MO) being the Chairman of the Committee. The recommendations of the Committee shall be put up to CMD for approval for the cases where the approving authority for award was CMD or below, and to Board of Directors for all other cases. Government of India in the Ministry of Power (MoP) have decided to constitute Conciliation Committees of Independent Experts (CCIE), for settlement of disputes arising in contracts of CPSUs / Statutory Bodies executing power projects vide OM dated 29.12.2021. The forum of CCIE is a conciliation forum, where mutual give and take constitutes the essence. CCIE is an alternate dispute resolution mechanism being put in the place by the Ministry. If the Contractor is not willing to take recourse to

this process or has any reluctance in this behalf, there shall be no compulsion to take such a recourse. The Standard Operating Procedure shall be as per the OM dated 29.12.2021 read along with further communications from MoP, if any.

- C2.17.3.3 For Contracts awarded by RLDC/NLDC, a Committee to be chaired by CGM/Sr. GM of RLDC/NLDC and comprising Heads of the Implementing Department, Regional Contracts, Regional Finance and Regional Law shall be constituted by Head of RLDC/NLDC for the above purpose, and the recommendations shall be put up to Head of RLDC/NLDC for approval for all cases where the Competent Authority to award the Contracts was Head of RLDC/NLDC or below. Other cases shall be dealt with in line with the Corporate Awarded Contracts.
- C2.17.3.4 Wherever alternate dispute review mechanism (e.g. Dispute Review Panel (DRP)/ Dispute Resolution Board (DRB)/Adjudicator etc.) exists in the contract, the representative of GRID-INDIA on the same shall be nominated with the approval of CMD. However, if as per Contract GRID-INDIA is also required to convey its acceptance of Contractor's representative, the same may be done with the approval of Head of RLDC/NLDC. The coordination in such cases shall be done by RLDC/NLDC (not below the level of DGM) that will be assisted by nodal officers from concerned departments, to be nominated as explained subsequently for arbitration cases. The decisions arrived at in the alternate dispute review forum shall be implemented after approval of CMD for Corporate Packages and Head of RLDC/NLDC for RLDC/NLDC packages. The proposal in this regard shall be initiated by Implementing/Executing department and shall be routed through concerned dept. to whom the issue pertains (e.g., Engg./ Contracts, etc.) and Finance at appropriate level before obtaining the approval of the competent authority.
- C2.17.4 In case GRID-INDIA, on its own, wants to invoke arbitration provisions, prior administrative approval of the competent authority shall be obtained. For corporate as well as RLDC/NLDC packages, the proposal in regard to the same shall be initiated by the concerned executive of the department executing the package and put up for the approval to the competent authority through Law Dept. For this purpose, draft Notice for invoking Arbitration shall be prepared by Law Deptt of the respective CC/RLDC/NLDC. In this respect, CMD shall be the competent

authority for corporate packages and the proposal shall be routed through Corporate Law . For RLDC/NLDC packages, Head of RLDC/NLDC shall be the competent authority and the proposal shall be routed through RLDC/NLDC Law officer. Head of RLDC/NLDC may however seek opinion/ advice from Corporate Law Dept. wherever felt necessary. Upon receipt of the administrative approval, the notice invoking Arbitration shall be issued to the Contractor by the concerned DGM of the department executing the package, with a copy to concerned Law Dept.

- C2.17.5 Upon receipt of arbitration notice from the contractor, the concerned Department executing the package in RLDC/NLDC/CC shall immediately send an advance copy of the said notice along with the arbitration clause applicable to the parties to the RLDC/NLDC Law Department for examination with the remarks that the comments of the site along with relevant documents and facts would follow within seven days. The concerned Implementing/Executing department while dealing with the arbitration notice for appointment of arbitrator shall, within seven days of the receipt of the said notice, put up a note indicating status of disputes if examined under clause C2.17.3.1/C2.17.3.2 above and recommendations for invocation of arbitration with reference to the disputes to the RLDC/NLDC Law Department. The note shall inter-alia contain relevant details such as: (a) Name of work and region; (b) Name and address of the contractor; (c) Contract Agreement/LoA details along with contract price including details of amendments, if any; (d) Brief Scope of Work; (e) Commencement and Completion date (Schedule as well as actual). Further, the said note should also critically examine different aspects such as when the dispute was first raised, whether disputes have been raised within the time period specified in the contract and statutory limitation period, whether any recoveries on account of LD, risk and cost amount to be made etc.

The NLDC/RLDC Law Department will legally examine the disputes and accordingly, if necessary, recommend the case for invocation of arbitration and appointment of arbitrator within seven days from the date of receipt of the note from the concerned department executing the package for approval of the appointment of arbitrator, to the Competent Authority or the authority as mentioned in the Contract. In case the appointing authority is CMD and in case of Corporate awarded packages where the authority is not mentioned, the advance copy of the arbitration

notice (immediately upon its receipt) followed by recommendations of the region including RLDC/NLDC Law Department shall be sent to Corporate Law for its recommendation for going into arbitration and appointment of arbitrator. In all other cases the recommendations of the RLDC/NLDC including Law Department shall be put upto Head of RLDC/NLDC for approval in case no authority has been mentioned in the Contract.

The approval for the appointment of the arbitrator under a contract shall be obtained within 21 days of the receipt of the arbitration notice and the appointment of the arbitrator shall be communicated to the arbitrator (with a copy to the contractor) for his acceptance within three days by the Corporate Law Department in case the appointing authority is CMD and by the RLDC/NLDC Law Department in case the appointing authority is Head of RLDC/NLDC. In order to maintain consistency, the draft of the letter to be issued in this regard will be standardized by Corporate Law and circulated to all RLDC/NLDC along with checklist.

- C2.17.6 Upon receipt of the intimation from the arbitrator (or arbitrators in case of more than one) for starting of arbitration proceedings by way of entering upon the reference, the concerned RLDC/NLDC/Corporate Law Department shall notify the concerned RLDC/NLDC or Corporate Centre about the date of entering upon the reference by the arbitrator. Further, the concerned execution department of RLDC/NLDC or Corporate Centre as the case may be shall be requested by the Law Department for nomination of Representing Officer (RO).
- C2.17.7 Further necessary action for nomination of the Representing Officer and the nodal officers, who shall assist in Arbitration by furnishing facts of the case shall be taken by RLDC/NLDC/Corporate Centre. An executive (not below the level of DGM for Corporate/RLDC/NLDC packages) shall be nominated as the Representing Officer and executives (not below the level of Manager for Corporate packages and RLDC/NLDC packages) from the Deptts to whom the issues pertain, viz. Engg., Contracts, Finance etc., shall be nominated as nodal officers to assist the Representing officer.
- C2.17.7.1 The proposal for nomination of the Representing Officer shall be processed by the concerned department executing the package. Normally an executive who is

conversant with the issues referred for arbitration shall be nominated as Representing Officer i.e; if issues mainly pertain to execution of works, an executive from the execution department shall be nominated; if issues mainly pertain to pre-award, an executive from the Corporate/RLDC/NLDC Contracts deptt from where award has been placed, shall be nominated; if issues mainly pertain to design/ engineering stage, an executive from the concerned Engineering deptt shall be nominated; if issues mainly pertain to taxes and duties, an executive from Finance deptt. shall be nominated. The nomination of Representing Officer (RO) shall be approved by Head of RLDC/NLDC, if RO is from RLDC/NLDC itself and the proposal for nomination shall be routed through RLDC/NLDC Law and the concerned CGM/ Sr. GM before obtaining approval of Head of RLDC/NLDC. In case the issues referred for arbitration necessitates a Representing Officer from Corporate Center, the proposal containing the recommendation of Head of RLDC/NLDC to that effect, indicating reasons thereof, shall be sent for approval of Director(SO/MO) through the ED of the concerned Dept at Corporate Centre.

- C2.17.7.2 The nodal officers from respective Corporate and Regional Depts shall be nominated by the concerned CGM/Sr. GM/GM, promptly within a week of request to that effect from the concerned RLDC/NLDC/Corporate Centre. Upon approval of the nomination of Representing Officer and the nodal officers, the CGM/Sr. GM/GM of the department executing the package shall intimate the name of the Representing Officer and the Nodal officers to the Head of the concerned Law Dept of the RLDC/ NLDC (with copy to Corp. Law Deptt.) who shall then be responsible for further coordination of the Arbitration case.
- C2.17.7.3 The concerned RLDC//NLDC law/corporate law shall initiate the note for appointment of the counsel/senior counsel, if required, depending upon the nature of the case and approval will be obtained as per the DoP on the subject. In case RO is from CC, Corporate Law dept. will obtain the approval and in case RO is from RLDC/NLDC the Regional Law Department shall obtain the approval.
- C2.17.7.4 If, for valid reasons, it is not possible/feasible for R.O./Nodal Officer to be associated, he can be substituted with the approval of the authority competent to approve the nomination.

- C2.17.8 After the arbitrator enters upon the reference and a claim is filed by the contractor, the detailed factual para wise comments on the claims, specifically admitting/denying or clarifying the para under reply, duly supported with documents, shall be prepared by the RO in consultation with nodal officers. The said para wise comments shall be sent to the concerned RLDC/NLDC/Corporate Law Department for finalisation of the reply to the claim in consultation with the legal counsel, if appointed (otherwise the Corporate/RLDC/NLDC Law and Arbitration dept. themselves shall finalise the reply). Concurrently, the RO in consultation with nodal officers, shall also prepare the counter claims alongwith supporting documents, if any, to be filed, and forward the same to Corporate/RLDC/NLDC Law and Arbitration dept. for filing the same.
- C2.17.9 In case the sole arbitrator is an employee of GRID-INDIA, the fee payable to him shall be as per the prescribed schedule of fee to the Arbitrators. However, in case the arbitrator is from outside GRID-INDIA, a note for approval of the terms of payment of the arbitrator, as decided by the arbitrators in the arbitration meetings, shall be processed by the concerned Corporate/RLDC/NLDC Law deptt. for approval of the CMD for Corporate Packages and HOD of RLDC/NLDC for Regional Packages. All payments to the arbitrator shall be processed and authorized by the concerned Law Dept.
- C2.17.10 All the arbitration meetings and conferences with the advocate/ legal counsel shall be attended by the concerned executive of RLDC/NLDC/Corporate Law department and the RO, jointly. RO shall be assisted in the meetings and conferences by other nodal officers of the concerned departments involved in the disputes raised, if required. All payments to the legal counsel/advocate shall be processed and authorized by the Law Dept.
- C2.17.11 The coordination between the arbitrator, advocates and RO shall be maintained by the concerned RLDC/NLDC/Corporate Law department.

In case the Representing Officer is from Corporate Centre, all written statement, replies, claims, counterclaims, issues, rejoinders and other pleading or proceeding etc. in the case be filed by GRID-INDIA shall be finalized, by Corporate Law Department, in consultation with Legal counsel and/or Law Department, based

on the para wise facts and comments and supporting documents furnished by the Representing officer, with the approval Head of Law Department through concerned Head of RLDC/NLDC/CC. In case the representing officer is from RLDC/NLDC, the finalisation of above documents shall be done by RLDC/NLDC Law Dept. with the approval of Head of RLDC/NLDC in consultation with Corporate Law Department, if required. For expediting the aforesaid process and for ensuring factual correctness of documents/replies, the RO shall adopt a practice of continuous consultation with all concerned. Further the document/reply finalized by Law Dept. as above, shall be vetted by the RO and concerned Nodal Officers in regard to facts for their respective portions, before it is put up for approval of competent authority as above.

After the documents are finalized as above, the Law Dept. shall, after getting the same signed by the RO, file the documents with Arbitrator and distribute the copies to all concerned. The complete set of pleadings and the parallel records of the case shall be maintained both by Law Department and RO.

- C2.17.12 All correspondence between the Legal Counsel and GRID-INDIA shall be through Law Dept. on behalf of GRID-INDIA. The Law Dept. shall intimate the Legal Counsel accordingly.
- C2.17.13 Once the award is given by the arbitrator(s), the same shall be forwarded by Law Dept., along with their advice/opinion to the concerned RO and RLDC/NLDC/Corporate Centre within 05 days for arbitration cases, under Arbitration Act. The recommendations for its review/acceptance and further course of action in the matter shall be processed by RLDC/NLDC/CC through concerned Law Department for approval of Competent Authority expeditiously so that the approval is obtained within twenty days of receipt of award and filing the award in the court is done within stipulated period. In respect of corporate awarded contracts, the approval at level of CMD shall be required and for contracts awarded by RLDC/NLDC, the approval of Head of RLDC/NLDC shall be taken, for the above.

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C2.18 Contract Closing

C2.18.1 Responsibility Center:

- RLDC/NLDC Executing/Implementing the contract, as Implementing Region for Corporate Packages.
- RLDC/NLDC Executing/Implementing Dept for RLDC/NLDC packages.
- Concerned deptts of Corporate Centre in respect of Contracts executed by them

C2.18.2 Contract closing is a milestone, which symbolizes that liabilities of either parties stand settled i.e. works/supplies/services have been completed in terms of the provisions of the contract and all the due payments have been released. No guarantee/claim is outstanding with/against either party. A contract is said to be completed in all respects only after successful completion of the Warranty Period. A contract shall therefore be considered to be closed only after the Warranty Period is successfully completed and CPG/SD of the contractor is returned/discharged.

C2.18.3 The contract closing is a very important milestone, since it is after the closing of various contracts under a project that the total financial outlay against a project is known with certainty. It is therefore imperative that the closing of contracts under a project is expeditiously completed.

C2.18.4 It is clear from foregoing that all efforts need to be made to ensure timely closing of various contracts under a project. As a matter of policy, while all the contracts under a project shall be closed after the expiry of defect liability period/warranty period of respective contracts, various activities pertaining to contract closing, except release of Contract Performance Guarantee/Security Deposit, shall generally be completed within 06(Six) months of the completion of the respective contracts.

C2.18.5 The closing of a particular contract shall be said to have taken place in time if

the contract performance guarantee is released immediately after successful completion of warranty period. The associated activities, including release of CPG, required to be completed for closing of the contract are outlined below:

- (i) Receipt of drawings, QA documents and O&M manuals
- (ii) Pre-commissioning checks
- (iii) Physical Completion of scope of work
- (iv) Commissioning & Taking over certificate
- (v) Material Reconciliation
- (vi) Performance Guarantee Test
- (vii) Processing of scope variation covering quantity variation, extra items/ claims & Issuance of final amendment
- (viii) Time extension & Settlement of LD
- (ix) Extra claims and settlement of disputes
- (x) Processing & release of final bill
- (xi) Successful completion of warranty
- (xii) Release of CPG

C2.18.6 To achieve the above objective, as soon as the Contractor's scope of work under a contract approaches completion (i.e., when about 80-90% of the scope is complete), the said contract shall be included in the list of Contracts for closing, which shall be intimated by department executing the package to Head of RLDC/NLDC with a copy to Contracts Deptt. The list shall contain salient particulars of the contract including the expected date of physical completion/ taking over and the warranty period. In respect of all such contracts, the progress of various activities mentioned above shall be reviewed on monthly basis by Head of RLDC/NLDC.

C2.18.7 The various activities, to be monitored for contract closing, as indicated in Para C2.18.5 above, are briefly described hereinafter.

C2.18.7.1 Submission of all manuals/ documents/ drgs

C2.18.7.1.1 Once the 'works/supplies/services' are completed, it is absolutely necessary that proper documentation of all manuals, drawings, test certificates, various approvals, amendment and other relevant papers is made so that difficulty in carrying out maintenance is not encountered. For equipments, the supplier/ contractor is supposed to submit a prescribed no. of sets of instruction manuals (for installation and O&M), approved Installation drawing, other technical literatures and test certificates to Indenting Department. Therefore, after the works/supplies/services are completed and taking over certificate is issued, the concerned responsibility center shall check regarding availability of such documents and in case any relevant document is found missing/not available, the same shall be collected from the contractor and all the records/ documentation should be completed. These documents/drawings etc. should be kept in hard binding/files in a systematic manner for their handling during the O&M period. At least, two copies of each such set should be kept with the concerned RLDC/NLDC and Indenting Department in Corporate Centre separately.

C2.18.8 Pre-commissioning checks/tests

These activities are explained in details under para C2.1.

C2.18.8.1 Physical completion of scope

Once the 'works/supplies/services' are notified to be completed by a contractor, department executing the package shall take immediate action towards thorough checking of the same as already described under para C2.15.

C2.18.9 Commissioning/Taking over

C2.18.9.1 After works/supplies/services are tested at rated parameters, Taking Over Certificate (TOC) shall be issued as explained under Para C2.15. The issuance

of TOC is an important milestone in contract closing as it signifies completion of works and commencement of defects liability/warranty period.

C2.18.10 Material Reconciliation of Owner supplied materials

- C2.18.10.1 The department executing the project shall periodically carry out material reconciliation with contractor checking each and every receipt. The statement shall accordingly be prepared and a watch on the consumption of Owner Supplied Material shall be kept by enclosing a material reconciliation statement (provisional) with every R. A. bill to avoid situation of encountering abnormal recovery at the end resulting into a serious crisis.
- C2.18.10.2 On completion of works/supplies/services, the material reconciliation shall be given the final shape jointly by the department executing the project and the contractor. The contractor shall be required to return the balance owner supplied materials in terms of provision of the contract. RLDC/NLDC stores shall accept the material after verifying its quantity, make, and physical appearance. While accepting material, it will be ensured that quantities of various materials are in the multiple of units acceptable as per contract. Anything different shall be taken over/retained by the contractor. However, for the purpose of working out the total consumption, no extra credit shall be allowed on this account. In order to ensure that only materials in good condition and acceptable units, keeping the provisions of the contract in view, are taken over from the contractor, one representative of department executing the project will check & verify the materials suitable for use in works. Further, a copy of drawings, BOM, instruction manuals and tech. specification should be provided to the stores. On the basis of actual receipt of materials from the contractor and verification from the representative of implementing Deptt., store will issue the Materials Return Note. One copy of the Material Return Note (MRN) for the returned materials shall be provided to the Engineer in charge for finalizing reconciliation and effecting necessary recoveries, if any.
- C2.18.10.3 While making final reconciliation statement, the total allowable consumption of owner-supplied material shall be worked out taking into account the quantities

actually erected/required as per specifications including allowable working wastage. Based on the material issued to the contractor and consumption as worked out above, balance materials to be returned will be arrived at. If the material returned by contractor is less than that arrived at as above, necessary recovery will be effected from the contractor's final bill or other bills / payment etc, unless otherwise provided in the contract. However, if the contractor wishes to replenish the excess consumed materials, the same shall be allowed from sources approved by GRID-INDIA. The materials in all such cases shall be as per the approved Quality Plan of GRID-INDIA and shall be dispatched only after Inspection and Clearance by GRID-INDIA. Joint reconciliation of material shall be completed within 03 months of completion of 'works/supplies/services'.

C2.18.10.4 The rate, at which recovery for shortage of OSM has to be effected, shall be arrived at in the manner provided recoveries are to be effected at procurement price, the following course of action shall be taken.

- a) The recovery rate shall be finalized as on the date of Taking Over of 'works/supplies/services' i.e. the date of issuance of TOC for the 'works/supplies/services /Contract' to which OSM was issued.
- b) The rate of such items , whose recovery rates are to be finalized, shall be based on the LoA under which the procurement of the same was made. If procurement of such items has been made under more than one LoA, highest of all rates will be considered for this purpose. Further adjustment to the LoA rate shall be made towards price variation (if positive) applicable as on date of Taking Over of 'Works' (to which OSM issued). There shall not be a limit to PV amount for this purpose even if provided in the original contract. The rate so obtained shall be the procurement price to which 15%, to take care of GRID-INDIA's overhead expenditure, shall be added to arrive at recovery rate.
- c) In case such items (excepting cement and steel) have not been procured for that project but have been used from buffer stock available in RLDC/

NLDC or diversion from other RLDC/NLDC, rates of the same shall be taken from LoA placed for the same RLDC/NLDC preferably under domestic funding around the date of Taking Over, within last 02 years. In case such rates are not available for the same RLDC/NLDC, the same available for other RLDC/NLDC may also be used. The LoA rate, so obtained, shall be subject to further adjustment on account of price variation applicable for the time elapsed between the LoA date and the date of TOC. If the LoA, from where the rate is taken is based on bids opened within two months before or after the date of TOC, the LoA rate shall, in that case, be taken as it is. The rate so obtained with or without effecting price adjustment, as the case may be, shall be raised by 15% to take care of GRID-INDIA's overhead expenditure as aforesaid. The rate thus obtained shall be the recovery rate.

- e) The rate in all cases shall be all-inclusive i.e. including basic rate, GST, freight etc.

C2.18.11 PG (Performance Guarantee) Test

C2.18.11.1 This is generally required to be performed only in case of packages like Air Conditioning & Ventilation, Fire Protection System, DG set etc. The contractor in line with the provisions of the contract will carry out this in presence of the representative of department executing the project. The procedure to be followed shall be as prescribed by Corporate Engineering.

C2.18.12 Proposal of Qty Variation, extra items & Issuance of Final Amendment

C2.18.12.1 As and when variations are anticipated during execution of works, action shall be taken by the concerned department executing the project towards processing and obtaining technical approval for the same, as already explained under para C2.12. Based on the technical approval, the concerned RLDC/NLDC contracts deptt. shall obtain administrative approval for issue of change order and issue amendment from time to time as explained under para C2.13.

On completion of works, department executing the project shall examine as

to whether some variations are yet to be approved and final amendment to the contract is to be issued. If all variations are found to have been covered by the amendments already issued, the execution site shall confirm to concerned contracts Deptt to that effect. In case it is observed that some further variations, over and above those covered in the last amendment, if any, remain to be processed/approved, action shall be taken by department executing the project and other responsibility center, as explained under paras C2.12 and C2.13, towards issuance of final amendment. In such a case the department executing the project shall clearly indicate in its proposal for technical approval of variations that the same pertains to final amendment to the contract, as already prescribed under para C2.12 also.

The department executing the project shall ensure processing of proposal for final amendment, if required, within 30 days of completion of works. All concerned responsibility centres shall ensure that final amendment is issued within 03 months of the completion of works.

- C2.18.12.2 The processing of final amendment to the contract shall not be withheld for non-completion of minor works, which do not affect issuance of TOC\Completion Certificate or performance of the system. However, the express understanding shall always be that all such works, howsoever minor those may be, shall be completed by the contractor within a time schedule mutually agreed at the time of issuing TOC/ Completion Certificate. If such works are not finally completed/ carried out by the contractor, GRID-INDIA may consider closing of the contract, if it is feasible/workable to complete the balance works through other sources, by effecting appropriate recovery towards carrying out such works in the final bill. In order to finalise recoverable amount, a cost estimate of balance works at prevailing market rate will be prepared which will also include GRID-INDIA's overhead charges of 15%. The amount payable to the contractor as per contract if he would have completed the balance works will also be worked out. The recovery amount shall be higher of estimate prepared at market rate and the amount payable to the contractor for balance works at LoA rates. For this, the proposal shall be moved by department executing the project and approval of Head of RLDC/NLDC shall be taken through Contracts and Finance.

- C2.18.12.3 There may be a situation that there is considerable delay in commencement/ completion of PG tests. Irrespective of the reason for which it is delayed/held up, the processing of final amendment proposal shall not be kept under hold. If at a subsequent date PG test is waived off or relaxed because of reasons attributable to the contractor, suitable recovery towards the same shall be finalized and the contractor will be required to deposit the recoverable amount if final bill has already been paid. In case the contractor fails to deposit the said amount, necessary adjustment will be made while releasing CPG.
- C2.18.13 Time Extension & Settlement of LD
- C2.18.13.1 The department executing the project shall initiate the proposal on this matter within 02 months of completion of works as explained in para C2.14. Its further approval, should be obtained in another month.
- C2.18.14 Extra Claims and Settlement of disputes
- C2.18.14.1 It may so happen that the contractor, in course of execution of work, puts forth extra claims with respect to any provision of the contract. In such case, attempts have to be made to mutually resolve such claims/ disputes within a reasonable time say 03 months of the completion of works. If such mutual settlement is not arrived at and any party to the dispute chooses to seek redressal under the relevant provisions of the contract i.e. invoking DRP/ Arbitration clause, expeditious action shall be taken in that regard in line with that explained in Para C2.17.
- C2.18.15 Processing & Release of Final Bill
- C2.18.15.1 After final amendment to the contract is issued, the contractor shall be required to submit its final bill, along with all the relevant details such as summary of all the previously paid bills including PV bills, quantities executed/ recorded, total value of the RA Bills, retention money, adjustment of mobilization advance, materials & other advances, recoveries, due and drawn statement etc. The final bill shall be properly checked as per the checklist given at Annexure-I and necessary action shall be taken to ensure that all the relevant details are taken

care of before payment is recommended for release. Along with final bill, the execution site shall enclose the necessary certificates.

- C2.18.15.2 The final bill shall be prepared and forwarded to finance so as to facilitate release of payment within a period as provided in the contract. After the final bill is forwarded to finance, the same shall be thoroughly checked there and thereafter the payment shall be released.
- C2.18.15.3 There may be situation, when all other formalities required for release of final bill are complete but DRP (Dispute Review Panel)/Arbitration proceedings are going on. In such a situation final bill and CPG cannot be released to the contractor till settlement of disputes. However, if final bill amount is sufficient to take care of the amount expected to be settled out of claims & counter claims, CPG will be released. In case the contractor still insists for release of payment otherwise due to him, without taking into account claims and counter claims, the same can be released against BG of equivalent amount with the undertaking that BG will be encashed whenever required by GRID-INDIA. Proposal in regard to release of CPG and release of balance payment against BG will be initiated by department executing the project and same will require approval of Head of RLDC/NLDC/CC Deptt. through Contracts, Finance.
- C2.18.15.4 Existence of DRP/Arbitration proceedings shall not be a ground for non-processing of proposals pertaining to final amendment, LD settlement, finalization of recovery rates etc.
- C2.18.16 Warranty completion
- C2.18.16.1 With satisfactory completion of warranty period/defects liability period, which is linked with the date of Taking Over, the liability of the contractor under a contract comes to an end as all other activities are supposed to be completed much before it. In case any defect is observed during this period, the same is required to be rectified/replaced by the contractor free of cost and the warranty period for that portion stands extended as may be specified.
- C2.18.17 Release of CPG

- C2.18.7.1 The release of CPG (Contract Performance Guarantee) is the last activity in the contract closing and takes place after successful completion of the warranty period. Since the release of CPG is the last activity before the contract is declared as closed, compliance in regard to completion of the required formalities is ascertained in form of issuance of various certificates called CCPs, which are discussed in Para C2.18.8 below.
- C2.18.7.2 Incase of contracts which involve supply, installation, testing and commissioning with a provision for providing AMC, such contracts shall be partly closed upon completion of the warranty period.

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C2.18.8 Contract Closing Proformas (CCPs)

C2.18.8.1 In order to ensure that entire scope under the contract is completed and obligations/liabilities of either parties are properly settled before a particular contract is declared as closed, confirmation from concerned authorities in respect of satisfactory completion of respective activities shall be taken in form of issuance of Contract Closing Proforma (CCPs). The Contract Closing Proforma (CCPs) are 13 (thirteen) in numbers and are devised in a manner so as to cover all aspects of a contract. These CCPs, which are enclosed as Annexure II, are outlined below, indicating the responsibility center for the respective Proforma:

Sl. No.	Description	Responsibility
CCP01	Final Amendment to Contract	Contracts
CCP02	Receipt of Drawings from Contractor	Engineering
CCP03	Receipt of QA Documents	Engineering
CCP04	Receipt of O&M Manuals	Engineering
CCP05	Confirmation of Scope of Work	Executing Department
CCP06	Settlement of LD	Contracts
CCP07	Performance Guarantee Test	Executing Department
CCP08	Material Reconciliation	Executing Department
CCP09	Payment Reconciliation	Finance
CCP10	Fulfilment of statutory requirements	Contractor
CCP11	No Demand Certificate	Contractor
CCP12	Warranty completion	Executing Department
CCP13	Release of CPG	Finance

C2.18.8.2 It is possible that some of the above mentioned CCPs are not relevant to a particular contract. For example, CCP-07 is not relevant for, Civil Packages etc. and the same therefore will not be applicable in such packages. Therefore, once a particular contract comes under the zone of Contract Closing, the implementing/executing

deptt. as Overall Coordinator shall propose and obtain approval of the competent authority (Head of RLDC/NLDC for all packages CGM of concerned department in Corporate Centre).

C2.18.8.3 CCPs 1-10, to the extent applicable as discussed above, shall be obtained before release of final payment by Finance. The overall responsibility for coordination shall be with responsibility center mentioned at Para C2.18.8.1, and they shall ensure these certificates are issued in time. The issuance of CCP10 and CCP11, both to be given by contractor, shall be coordinated by the department executing the package and Finance respectively. As a matter of procedure, the concerned responsibility center shall issue respective certificates within 10 days of completion of a particular activity.

C2.18.8.4 From contractor's side, a representative, duly authorized by the company to sign such documents, shall sign CCPs. From GRID-INDIA's side, it shall be signed by an authority not less than Manager and forwarded through the concerned Head of Department executing the project. However, CCP-12, shall always be forwarded through the Head of Department executing the project.

C2.18.9 Once all the contract closing activities are completed and the required certificates are obtained, the Engineer- In-Charge/Implementing department shall put up a note (With all relevant CCP(s) confirming the same and declare closing of a particular contract and approval for release of BG/CPG. The approval shall be sought from Head of RLDC/NLDC for all packages [Corporate as well as RLDC/NLDC Packages].

The copy of approved note then shall be forwarded by executing department to Finance department along with copy of original CCPs. After release of BG/CPG, Finance shall issue CCP13 and forward the same to Executing Department and Contracts Department. Contracts Department shall issue Contract closing order.

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C3.0 Important Post / Award Issues

The post-award activities, from award to closing of contracts, which are required to be undertaken by GRID-INDIA, have been identified in various paras herein before. The processes and general procedures associated with different activities have also been described therein, indicating the responsibility centers and the benchmark time schedules.

The description also includes policies to facilitate and guide the decision making so as to deal with various issues that may come up in course of carrying out the activities. Further, experience suggests that there are many other issues, which may not be encountered in the normal course but may crop up in specific cases, creating difficulty in expeditious decision making to proceed ahead. Such issues have been identified and the methodology to be followed to deal with the same are discussed in subsequent paras herein below

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C3.1 Correspondence

- C3.1.1 The correspondence procedure, as specified in the contract, shall generally be followed. In absence of the same, the correspondence procedure shall however be tied up with the contractor immediately after the award.
- C3.1.2 Each and every communication received from the contractor that requires a response, shall be replied promptly to avoid delay in implementation of the contract on this account. However, if the reply involves collating information and consultation within GRID-INDIA, which may take some time, an interim reply should be given within a week followed by a detailed reply positively within four weeks thereafter. Wherever, more than one issue is involved in a particular communication of the contractor, a consolidated reply shall be sent after seeking comments from concerned deptt.
- C3.1.3 Correspondence with the contractor should not include any commitment or liability beyond contractual provisions without appropriate approval.
- C3.1.4 For ease of reference and expeditious retrieval, each and every communication pertaining to a particular contract should, invariably, bear the reference of the LoA/ Contract and the name of the package concerned. This shall also be applicable for inter departmental communication.
- C3.1.5 All efforts should be made to promptly and expeditiously settle the commercial aspect of issues raised by the contractor and any communication, stating that the commercial aspects shall be settled later, shall be avoided. However in the interest of work, if such a communication becomes inevitable, the same shall be made only after the approval of the Head of RLDC/NLDC/Concerned deptt in Corporate Office.

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C3.2 Custody, Extension Of Validity, Encashment & Release Of Bank Guarantees

C3.2.1 This is further to that explained in this regard under para C2.2 and C2.3.

C3.2.2 During the life cycle of a Contract, right from Invitation of Bids to closing of the Contract, a number of Bank Guarantees viz. towards Bid Security, Release of Advance, Release of final payment, Contract Performance are required to be handled. Therefore, it is of utmost importance that proper procedure for custody, extension of validity and release of BGs is finalized.

While timely validity extension/encashment of BG is required to be done in the interest of GRID-INDIA, at the same time blocking of BGs, which have served their intended purpose, shall result in unnecessarily additional financial burden to the Contractor. Therefore, it shall be the policy of the GRID-INDIA to periodically review the status of all BGs so that timely action as required could be taken.

C3.2.3 As already mentioned in para C2.2 the concerned Finance Deptt, from where the payment under a Contract is to be released, shall be the custodian of all the Bank Guarantees pertaining to a Contract and shall maintain proper record in respect of the same.

C3.2.4 In order to have proper monitoring of status of all types of BGs, RLDC/NLDC/ Corporate Finance shall release a consolidated list of BGs in its custody, alongwith salient details thereof, once in every quarter i.e. on 1st January, 1st April, 1st July and 1st October to trigger off necessary action by all concerned towards extension/ encashment/ release of BGs. Such list shall be furnished to all departments executing the packages and concerned Contracts.

C3.2.5 Based on the above the concerned responsibility centers (departments executing the packages) will move proposal and send to concerned finance set up for necessary action towards extension/ encashment/ release of BGs, as the case may be. The proposal shall be timed in such a manner to ensure that relevant action by finance is taken at least one month before the validity is expiring.

C3.2.6 It shall, on the basis of above, be ensured by the finance that action for either its

validity extension or encashment, if required, is taken by them one month before the expiry of validity of the BG, in consultation with Head of RLDC/NLDC/ Head of Deptt executing the package in Corporate Centre, whenever required. In case validity is expiring but no advice has been received in finance, in all such cases finance shall take action on its own towards validity extension along with conditional claim and this fact shall be indicated in the Quarterly Status as per C3.2.4.

C 3.2.6.1 In the normal course when the intended purpose of the BG is not over, the general procedure for taking above actions shall be with the approval, in case of Corporate Packages, of concerned Head of departments executing the packages (if the period is to be extended/BG is to be encashed). For RLDC/NLDC packages, Head of RLDC/NLDC shall be approving authority for extending validity period and for encashment of BG.

C3.2.7 However, detailed procedure with specific reference to different type of BGs, after having served their intended purpose, is described hereinafter.

C3.2.7.1 Advance BG

- i) The validity of BG taken for release of advance shall be initially kept till 90 days after the scheduled date of issuance of Taking Over Certificate.
- ii) The value of Advance Bank Guarantee shall be proportionately reduced on half yearly basis, based on the request of the contractor, on adjustment of advance against supplies made.
- iii) The extension of validity of BG submitted against release of advance shall not be sought after adjustment of full advance.
- iv) Within 03 months of adjustment of advance, the BG shall be released back to the Contractor irrespective of initial validity.
- v) For Corporate Packages(Wherein executing department is RLDC/NLDC) or other packages wherever payment is being released from RLDC/NLDC Finance, the concerned executive of Finance shall immediately, on adjustment

of part/full advance and request of the contractor forwarded by the executing department, shall move a proposal and take approval of the Head of Finance in RLDC/NLDC for reduction/release of BGs as the case may be.

- vi) In cases where BGs received for release of initial advance is required to be retained for some specific reasons despite adjustment of full advance, the approval of Head of RLDC/NLDC (Wherein executing department is RLDC/NLDC) shall be taken explaining reasons thereof. The proposal in this regard shall be moved by RLDC/NLDC Finance, whosoever consider such a necessity. However, in all cases the concerned finance shall provide the details of all advance BGs, whose validity are got extended and which are retained even after adjustment of full advances, to Head of RLDC/NLDC briefly indicating reasons against each BG.

C3.2.7.2 Contract Performance Guarantee(CPG)

- (i) The Bank Guarantee/retention amount towards CPG/Security Deposit, available with GRID-INDIA shall be given back to the Contractor after successful completion of warranty period. All efforts shall therefore be made by the concerned responsibility centers to complete respective activities and formalities in time so as to enable release of CPG immediately after completion of warranty period.

On completion of warranty period/defects liability period, the concerned department executing the package, if all other contract closing activities are completed by then, shall send a approved note to the Finance Deptt., advising release of CPG. Such a note, to be sent through Head of department executing the package, shall, inter-alia, contain the status in regard of issuance of various Contract closing Certificates and shall be accompanied with CCP-12 duly signed. On release of CPG, necessary recording shall be made in the note and the same along with CCP-13 shall be sent back to the Contracts Deptt. who shall take further action towards declaring the Contract as closed.

If at any of the above stages, it is detected that despite lapse of warranty period/ defects liability period, the CPG/SD cannot be released and its validity needs to be

extended for valid reasons, a proposal shall be processed explaining the reasons/ circumstances necessitating such action and approval of Head of RLDC/NLDC/ Department executing the package in Corporate Center through Contracts and Finance shall be taken.

Such a proposal shall be initiated by the department executing the package.

- (ii) While all efforts shall be made to complete all contract closing activities before expiry of warranty period/ defect liability period, there may be a situation that though warranty period has expired, some of the contract closing activities remain to be completed for none of contractor's fault. In such a situation, it shall be examined whether because of any of the uncompleted activities there is a possibility of any recoverable amount from the Contractor at a later date. In case no such possibility exists or rather there is likelihood of some additional payment to be made to the Contractor on completion of such uncompleted activities, CPG/SD can be released to the contractor with the approval of Head of RLDC/NLDC/Deptt. executing the package in CC. The proposal in such cases shall be initiated by department executing the package explaining various reasons, and the approval by Competent Authority as mentioned above shall be taken through Contracts/Finance. However, this shall be resorted to in exceptional circumstances where inordinate delay (more than 03 months after expiry of warranty period) in completing some of the formalities has taken place at the end of GRID-INDIA for no fault of the Contractor.

C3.2.7.3 BG Against Final/Progressive Payment

- (i) There may be a situation that progressive payment or final payment against an item, or a group of items or Contract as a whole, is released against a Bank Guarantee as per provisions of contract or as a special case pending compliance of particular terms/conditions. Such BG shall become due for release once those terms and conditions are complied, for which advice shall be given by department executing the package to the concerned finance from where payment is being released.

- (ii) If exceptional circumstances compel withholding such BG, the same shall be done as per the procedure outlined in para C3.2.7.2 (ii) above in respect CPG.

- C3.2.8 RLDC/NLDC/Corporate Finance shall prepare a MIS report, containing details of all such BGs, where validity extension/encashment/release is required or which have been extended beyond the intended period for a specific reason, for review of Head of RLDC/NLDC/HOF in CC on quarterly basis. The MIS statement shall, apart from other relevant details pertaining to BG, shall contain brief reasons for validity extension/encashment/ release, the responsibility center to initiate the proposal for the same and the expected date of the proposal. Head of RLDC/NLDC/HOF in CC will review follow up actions on monthly basis.
- C3.2.9 It is noted that provisions in some of GRID-INDIA's contract in regard to various aspects of a bank guarantee, such as those pertaining to validity, reduction of value and release, are different from that described above. Keeping in view the fact that rights and obligations of GRID-INDIA and Contractor shall be governed by terms and conditions contained in the documents constituting the contract and not what has been explained in the Procurement Policy document. In case of agreement entered into / contract placed on Single Tender/Nomination basis, submission of CPG may be exempted or Indemnity Bond in-lieu of CPG may be accepted on approval of Competent Authority who is empowered to approve award of the said package as per DoP.
- C3.2.10 Any relaxation in the provisions of bidding documents in ongoing or new contracts shall be done with approval as per DoP keeping merits of the individual case in view. However, wherever BG is retained beyond the period intended in the contract, approval of Competent Authority shall invariably be taken.

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C3.3 Release of Payment Pending Contract Amendment:

- C3.3.1 While every effort shall be made towards expeditious issuance of Amendment, a situation may arise wherein a particular work/quantity may be carried out pending issuance of amendment to the contract. In absence of formal amendment to the contract, release of payment to the contractor gets held up creating impediment in the progress of the work.
- C3.3.2 In order to avoid such a situation, following procedure will be adopted while dealing with execution of works beyond that provided in the contract.
- C3.3.2.1 Any new item/quantities of contract item beyond that provided in the contract shall be taken up only after technical clearance /technical approval.
- C3.3.2.2 On receipt of technical clearance / technical approval, communication will be sent by RLDC/NLDC/Engg to the contractor and all other concerned (Finance, Contracts etc.) indicating the items alongwith quantities thereof to be taken up so that progress of work continues pending issuance of amendment.
- C3.3.2.3 On the basis of the above communication, Indenting department will carry out inspection and issue CIP and MICC.
- C3.3.2.4 On the basis of the above communication, Finance department will release payment on certification by the concerned department for quantities of contract item beyond that specified in the contract at 90% of the unit rates. However, the payment for new items will be released at 75% of the rate finalized by the committee.
- C3.3.3 While the measures explained above will be taken to facilitate progress of work, all actions will be taken to ensure issuance of amendment to the contract at the earliest possible (not exceeding 3 months from the date of receipt of technical approval)

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C3.4 Advancement of Supplies

- C3.4.1 During execution of a contract, there may arise an occasion when materials and equipment are required to be supplied ahead of schedule on account of GRID-INDIA's requirement or Contractor's request.
- C3.4.2 The requirement for advancement of supplies from GRID-INDIA's side may arise on account of the following:-
- i) Equipment/ material is required to be transferred/ diverted from the assigned Project to another to meet latter's urgent requirement.
 - ii) In view of initial delay in award of Contract for supply of material/equipment to be issued by the Owner to the Installation contractor, supply needs to be expedited to match with Installation schedule.
 - iii) Supply of material/equipment may be required to be expedited in order to ensure completion of the system, ahead of schedule in order to achieve revised target for overall project completion.
- C3.4.2.1 In case supply is required to be advanced due to any of the reasons mentioned above, RLDC/NLDC, after obtaining the approval of Head of RLDC/NLDC, shall advise the supplier/contractor for needful. In this regard the proposal will be initiated by the Department executing the package and will be routed through Head of the department before obtaining approval of Head of RLDC/NLDC. Payment towards price variation, in such cases, will be made to the Contractor on the basis of indices pertaining to the period when supply is actually made.
- C3.4.3 The request for advancement of supplies by Contractor may arise on account of the following: -
- (i) Apprehending disruption in production because of Force Majeure condition such as labour problem in the factory or riotous situation prevailing in some part of the country where one of Contractor's works is situated, advancement of supply is contemplated by the contractor so as to complete the total supplies within time schedule thereby cooperating with GRID-INDIA in

overall Project completion.

- (ii) Apprehending disruption in transportation on account of Force Majeure condition such as possibility of occurrence of floods in some part of the country affecting road transportation, call for transporter's strike, advancement of supply is contemplated by the contractor so as to complete total supplies within time schedule thereby cooperating with GRID-INDIA in overall Project completion.

- C3.4.3.1 If Contractor requests for advancement of supplies as per para C3.4.3(i) & (ii), the same shall be examined along with all relevant details stated/furnished by him. If GRID-INDIA is satisfied that the contention of the Contractor is in order and is in the interest of timely project completion, the same shall be accepted with the approval of Head of RLDC/NLDC and PV shall be paid in the similar manner as described under para C3.4.2.1. For this the proposal shall be initiated by the department executing the project and shall be routed through Head of the department before obtaining the approval.
- C3.4.3.2 Notwithstanding above, advancement of supplies upto a period of 30 days shall not require any approval. The same shall be governed by normal terms and conditions of the contract.
- C3.4.4 Provisions of contract in regard to Warranty of materials and equipments supplied in advance shall also remain unaltered.
- C3.4.5 While dealing with cases of advancement, it shall be kept in view that all contracts generally envisage completion of a particular activity or all the activities in a contract within a given time schedule. Therefore, the efforts of a contractor to complete an activity or all activities under a contract ahead of schedule should be taken as a positive step and should be normally encouraged.

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C3.5 Performance Certificate to the Contractors

- C3.5.1 On completion/foreclosure/termination of a contract, RLDC/NLDC will forward performance report of the contractor in respect of the contract in question to Corporate Contracts for packages awarded by Corporate Centre((Wherein executing department is RLDC/NLDC). In case of supply cum Installation contract, such performance report will be required to be sent subsequently after completion of defects liability period also.
- C3.5.1.1 In order to ensure above, as soon as a contract is completed i.e., 'Works' are taken over by GRID-INDIA or the contract is foreclosed or the contract is terminated, RLDC/NLDC Contracts shall obtain the performance report from the concerned department executing the project. The performance report so obtained from the department executing the project shall, after approval of Head of RLDC/NLDC, be forwarded to Head of Corporate Engineering with copies to Head of Corporate Contracts and Finance. It shall be ensured by the RLDC/NLDC that information provided in the performance report is correct, objective and to the extent possible based on facts, which can be reasonably substantiated.
- C3.5.1.2 The 2nd performance report after completion of defects liability, in case of supply cum Installation contract, will be forwarded in the similar manner.
- C3.5.1.3 Corporate Engineering will maintain a data bank of all the performance reports received for future reference and record.
- C3.5.2 In case a contractor requests for issuance of 'Performance Certificate' in respect of any contract executed by him or a request is received from a client agency like SEB etc. for Performance Certificate in respect of contracts executed by any contractor, the same shall be issued based on the above databank.
- C3.5.2.1 Performance Report in respect of other contracts awarded by Corporate Centre shall be issued by Indenting Department in Corporate Centre with the approval of HoD.
- C3.5.2.2 As a matter of policy, the performance report should normally be furnished by RLDC/NLDC within one month of the completion of the contract or completion of defects liability period/warranty period.

- C3.5.3 In respect of contracts awarded by RLDC/NLDC, the concerned Contracts shall obtain the performance report from the concerned department executing the project once the request for the same is received from the contractor or a client organization. The 'Performance Report', so received, shall be issued by RLDC/NLDC Implementing/Executing Deptt. through a forwarding letter, after obtaining approval of Head of RLDC/NLDC, for which proposal containing the draft reply shall be processed by the concerned executive in RLDC/NLDC Implementing/Executing Deptt. through the HOD. The letter and the performance report shall be issued by an executive not below the rank of Chief Manager.
- C3.5.4 Against the request of the contractor or other clients, 'Performance Certificate' will normally be issued where the contract in question has been completed and 'Works' have been taken over. However, also in cases where 'Works' have been physically completed but not taken over by GRID-INDIA because of delay in commissioning for reasons not attributable to the contractor, 'Performance Certificate' can be issued.
- C3.5.5 In case the contractor is a Joint Venture, the fact shall be clearly brought out in the performance report where the name of the contractor is written. Irrespective of as to which partner of JV requests for the performance certificate, the same shall always be issued to the lead partner in whose name the letter of award has been placed. However, a copy will be given to the partner requesting for performance report in case he is not the lead partner.
- C3.5.5.1 Wherever feasible, breakup of scope of work/quantities, alongwith price thereof, actually executed by each partner will be shown in the performance report
- C3.5.6 It shall be ensured by RLDC/NLDC that the performance report is forwarded to corporate center within 30 days of receipt of reference wherever the report has not been received earlier as per para C3.5.1.1 above. Corporate Centre shall ensure issuance of the same within 30 days of receipt of reference (Additional 15 days if the report is not available in data bank). For contracts awarded by RLDC/NLDC, the performance report shall be issued within 30 days of receipt of reference from agency.

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C3.6 Insurance

C3.6.1 In order to cover different risks in contracts awarded by GRID-INDIA, the following types of Insurance coverage are to be generally arranged by the contractor for the materials and works supplied by him as well as by owner, for incorporation in the 'Works':

- (i) Transit/ Marine Insurance during supply of materials for Supply/Supply portion of Supply Cum Installation/Turnkey Contracts
- (ii) Storage Cum Erection (SCE)/Installation All Risks coverage for Supply Cum Erection/ Turnkey Contracts
- (iii) Workmen Compensation Insurance as per ISO 45001 for works involving manpower.

C3.6.1.1 So far as Transit/Marine Policy is concerned, the concerned supplier takes the same and documentary evidence in support thereof is furnished by him along with dispatch documents. Such a policy covers different risks during transit of materials and is generally valid upto 60 (Sixty) days of receipt of materials at Owner's store or store of the Installation contractor as the case maybe.

C3.6.1.2 In case of Installation/Supply Cum Installation/Turnkey contracts, Installation Contractor is required to insure all equipments and materials being supplied by Owner as well as those supplied by the contractor from the point of receipt at site to commissioning including handling, storage, Installation, testing, etc. The premium towards such insurance coverage for materials and equipments supplied by Owner is generally reimbursable to the contractor against documentary evidence on actual basis, in addition to the Contract Price. The cost towards insurance coverage in respect of materials and works supplied by the Installation/turnkey contractor is included in its contract price.

C3.6.2 Owner Supplied Materials

C3.6.2.1 In order to enable the contractor to take Insurance Coverage of materials supplied by Owner, for erection/ installation by him, the value of such materials and

equipments is required to be furnished to him well in time. The value for this purpose is to be carefully arrived at, so as to generally represent the replacement cost, as under:

- (A) Imported Equipments/Materials It shall include CIF cost, Customs duty, port clearance charges, inland transportation charges, Installation charges, price variation etc.

In order to cover all above charges except price variation, 165% of CIF cost shall be taken. Price Variation@10% per annum of CIF cost shall be taken subject to a maximum of 30% or the limit provided in the concerned contract, whichever is lower.

- (B) Domestic Equipment/Materials

It shall include FOR destination charges, charges towards GST, other levies including octroi/entry, price variation etc.

In order to cover all above charges except price variation, 130% of FOR destination cost shall be taken. Price Variation @ 10% per annum of the FOR destination cost shall be taken subject to a maximum of 30% or the limit provided in the concerned contract, whichever is lower.

C3.6.2.2 RLDC/NLDC Contracts shall work out the value of OSM in the above manner and inform the same to the Contractor, after vetting by RLDC/NLDC Finance, under intimation to the Department executing the project.

C3.6.2.3 The insurance coverage shall be effective from the date of handing over of first consignment to the Installation Contractor. The period of insurance shall be decided on the basis of expected date of commissioning and taking over to avoid subsequent extension of the policy in normal cases. Therefore, the same shall generally be arrived at by adding 20% extra time over the scheduled period to avoid subsequent extension of policy in normal cases. Wherever it can be foreseen in the beginning for some definite reasons that extension in completion schedule will be required, such additional period (between scheduled and anticipated) will be added to the period calculated above. The above exercise will be done by department executing

the project based on the inputs from site and the period will be informed to RLDC/ NLDC Contracts by Head of department executing the project.

- C3.6.2.4 The Installation Contractor shall accordingly be informed, the expected dates of handing over of various owner supplied equipment/materials alongwith their insurable value so as to enable him to obtain competitive bids from insurance companies with a view to obtain the most reasonable rate of premium.
- C3.6.2.5 The Installation Contractor shall submit its proposal, along with bids from insurance companies, to RLDC/NLDC Implementing/Executing deptt for approval. The proposal shall be examined and approval of the concerned Head of department executing the project shall be taken after obtaining financial concurrence. Upon approval of the competent authority as above, shall contractor shall be accordingly informed.
- C3.6.4 In order to avail volume discount, a composite policy covering both (contractor as well as owner supplied) will be taken with date of policy commencing from the receipt of first consignment of material supplied by either the contractor or the Owner.
- C3.6.4.1 However, there may be a situation when there is considerable delay in award of the contracts for supply of materials to be provided by the Owner and in the meanwhile the first consignment of the material to be supplied by the contractor is expected. In such a situation or for any other valid reason, separate policies can be taken, for which the approval of Head of RLDC/NLDC executing the project shall be taken.
- C3.6.5 Wherever a composite policy has been taken, the premium proportional to the value of OSM shall be reimbursed by GRID-INDIA.
- C3.6.6 A copy of all communications with the contractor conveying acceptance/approval of GRID-INDIA at different stages will be endorsed to department executing the project and finance so that all relevant details, required for verification of bills and other necessary actions in this regard, are available with them.
- C3.6.7 After insurance policies have been taken after due approval, the same alongwith the bill in case the reimbursement is to be made by GRID-INDIA, will have to

be submitted by the Contractor to the department executing the project who shall after due verification make necessary entries in measurement book, authorize the payment and forward the bill along with relevant documents to concerned finance. The contractor shall furnish copy of insurance policy, also in cases where cost of the coverage is to be borne by the contractor/included in the contract price, to enable the Owner to verify relevant details in order to safeguard its interest.

- C3.6.8 The above guidelines will also be generally applicable for determining value of transit insurance and other insurance policies to be taken by the Contractors.
- C3.6.9 All insurance policies pertaining to Storage Cum Installation All Risks coverage shall be taken in the joint name of GRID-INDIA and the contractor unless otherwise specifically provided. All such insurance policy shall indicate GRID-INDIA as beneficiary. It will be the responsibility of the Contractor to lodge, pursue and settle all claims (for all the Plant and Owner supplied material) with the insurance company in case of any damage, loss, theft, pilferage, fire etc. and GRID-INDIA shall be kept informed about it. The Contractor shall replace the lost/damaged Plant and Owner supplied item promptly irrespective of the settlement of the claims by the underwriters.
- C3.6.9.1 On settlement of claims, the same shall be passed on to the contractor if the contractor has made replacement.
- C3.6.10 There may be a situation that the execution of contract is delayed necessitating extension of insurance policy for a further period. In such a case, pro-rata reimbursement of premium for OSM portion will be made by GRID-INDIA as done initially. However, if it is established during finalization of LD case that net delay is attributable to the contractor, then pro-rata insurance premium for the period of delay attributable to the contractor will be treated as loss to GRID-INDIA for working out LD amount as per methodology described under para C2.14.

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C3.7 GRID-INDIA'S Overhead Charges

- C3.7.1 During execution of the contract it may so happen that GRID-INDIA has to supply some materials/ equipments/ Services, which, as per contract, were required to be supplied by the contractor himself. Such a situation may arise because of inability of the contractor to expeditiously procure those items and the same being readily available with GRID-INDIA or for any other contingencies. In all such cases the recovery rate of such material/equipment will be decided in the manner explained as explained in para C2.18.12.2. Head of RLDC/NLDC will be competent to approve such issue of materials by GRID-INDIA. The proposal in this regard will be initiated by department executing the project and routed through RLDC/NLDC Contracts and Finance before obtaining approval. The overhead charges of 15% as specified in para C2.18.12.2 shall be used in other similarly placed situations.

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C3.8 Black-Listing of Firms/ Banning Of Business

C3.8.1 Notwithstanding any other provision of this document, GRID-INDIA may decide to black-list firms or ban business with them, for specified time or indefinitely, based on facts and circumstances of the particular case generally on the following grounds:

- (i) Corrupt or Fraudulent practices resorted to by Contractor including misrepresentation of facts.
- (ii) Willful indulgence by the Contractor in supplying sub-standard material irrespective of whether pre-despatch inspection conducted by GRID-INDIA or not.
- (iii) Repeated use of delaying tactic in fulfilling contractual obligations.
- (iv) Established litigant nature of the contractor to derive undue benefit.
- (v) Continued poor performance in several contracts.
- (vi) Failure to honour its bids after emerging as successful bidder in two or more cases, within a period of 01 year in the past. The period of 01 year shall be reckoned after the month of occurrence of first such event.

C3.8.2 The proposal for suspension of business relations with a contractor / supplier shall emanate from

- a) The concerned department of RLDC/NLDC. [in respect of grounds listed at C3.8.1 (i) to (vi) above] in case of Contracts / Packages being dealt with by the RLDC/NLDC as well as in respect of issues that are related to the RLDC/NLDC during post-award stage in respect of corporate awarded contracts (Wherein executing department is RLDC/NLDC), and
- b) The concerned department of Corporate Centre, [in respect of grounds listed at C3.8.1 (i) to (vi) above] in case of Contracts / Packages being dealt with by the Corporate Centre in respect of issues that are related to these departments.

- C3.8.3 Such a proposal shall be processed for the approval of Competent Authority in association with Law and Finance in two stages, first stage for issuing Show cause notice and the second stage for final action on the matter. In all the cases, including cases under the award approving powers of Board of Directors, CMD shall be the Competent Authority to approve the proposal for First stage and Second Stage. Further, the Board of Directors shall be kept apprised of all such cases.
- C3.8.3.1 The proposal shall be initiated by an executive of the concerned Department mentioned at C3.8.2 at a level not below Chief Manager, giving full details and justifications thereof and inter-alia bringing out the severity and implication involved. The proposal shall be routed through the concerned Head of Department for the approval of Competent Authority in association with Law and Finance.
- C3.8.3.2 In the first stage, the approval for issuing show cause notice (to be replied within one month by the contractor) shall be sought by the RLDC/NLDC C&M department (for RLDC/NLDC Packages / Site issues during post-award stage in respect of Corporate Packages) and Corporate Contracts (for Corporate Packages in respect of issues related to Corporate departments). On receipt of such approval, RLDC/NLDC C&M department and Corporate Contracts shall issue the 'Show Cause' notice to be replied by the contractor within 30 days. The period for reply may be extended with the approval of Head of the concerned RLDC/NLDC/Head of deptt in CC.
- C3.8.3.3 For the RLDC/NLDC Packages, the reply received from the contractor shall be forwarded by RLDC/NLDC C&M department to the concerned Department, mentioned at C3.8.2, who has originated the proposal. The concerned Department shall analyse the reply and forward its opinion to the RLDC/NLDC C&M department, through the head of Department not below the level of Chief Manager.

The opinion of the concerned department along with the reply received from the contractor shall be put up before a Standing Committee of Heads of C&M, Engg, SO, MO, Finance, etc. not below the level of Chief Manager. The Standing Committee may adopt such process and procedures for conducting its analysis

and finalizing its recommendations, ensuring transparency and reasonability, including giving an opportunity to the contractor for presenting its case, as desired appropriate and shall finalize its report along with its recommendations inter-alia including the proposed period of banning / business suspension keeping in view the doctrine of proportionality in relation to severity of the issue. Based on above, the proposal for second stage indicating therein clearly the action to be taken against the concerned agency shall be processed by RLDC/NLDC C&M department for approval of the Competent Authority through Law and Finance for final action on the matter.

- C3.8.3.4 For the Corporate Packages, the reply received from the contractor shall be forwarded by Corporate Contracts to the concerned deptt / RLDC/NLDC who had originated the proposal. The concerned deptt / RLDC/NLDC shall analyse the reply and send its opinion to Corporate Contracts department, through the concerned ED. The opinion of the concerned deptt / RLDC/NLDC along with the reply received from the contractor shall be put up before a standing committee of EDs comprising of ED (CS), ED (Engg) and ED of the concerned department at Corporate Centre or the concerned RLDC/NLDC. The ED Committee may adopt such process and procedures for conducting its analysis and finalizing its recommendations, ensuring transparency and reasonability, including giving an opportunity to the contractor for presenting its case, as desired appropriate and shall finalise its report along with its recommendations inter-alia including the proposed period of banning / business suspension keeping in view the doctrine of proportionality in relation to severity of the issue. Based on the above, further processing will be carried out by Corporate Contracts for approval of the Competent Authority through Law and Finance for final action on the matter.
- C3.8.3.5 In case no reply from the Contractor is received within 2 months of the date of issue of show cause notice (which shall be served by E-mail / Courier/Speed Post/Regd. A/D), suo-moto action may be initiated for second stage approval.
- C3.8.4 On receipt of the approval, the final decision shall be duly communicated to the contractor by the RLDC/NLDC C&M department/Corporate and appropriate circular shall be issued within the organization.

- C3.8.5 Decision / direction from Ministry of Power / Department of Public Enterprises with regard to black-listing of a firm / banning of business with a firm shall automatically become applicable in GRID-INDIA. However, decision / direction from Public Sector Undertakings (PSUs) in the Power Sector or other PSUs or other Ministries in regard to black-listing of a firm / banning of business with a firm shall be dealt with on a case to case basis, based on GRID-INDIA's own feedback system on performance of contractors or based on assessment of the said firm.

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C3.9 Completion, Commissioning and Taking Over:

There may be a situation that physical construction of system has been completed by the Contractor and the system is ready for commissioning but cannot be commissioned for reasons not attributable to the Contractor. Under the above situation, the system despite being ready for commissioning in line with the provisions of the Contract, may remain without being commissioned or may be commissioned only partially. The methodology to be adopted in such situations, wherein either the system cannot be commissioned at all or can be commissioned partially, in regard to various contractual aspects like taking over of the system, release of final payment etc., is discussed hereunder.

C3.9.1 In Cases Wherein Despite Physical Completion, the System Cannot Be Commissioned:

C3.9.1.1 If 'Commissioning' of the system at specified parameters cannot be done immediately after physical completion/readiness for commissioning, for reasons not attributable to the Contractor, but it is possible within four months thereafter, the final payment shall be released after commissioning of the system at specified parameters. The Contractor shall be required to extend the validity of the Contract Performance Guarantee accordingly.

C3.9.1.2 If 'Commissioning' of the system is not possible within four months of the date of physical completion/ readiness of the system for commissioning, the balance payment, that would have become due to the contractor as per contract, in the normal course after commissioning of the system, shall be released to him against BG of equivalent amount initially valid for a period of 12 months or until three months after expected date of commissioning (if the same can be anticipated), whichever is earlier. In this regard, based on request to be submitted by the Contractor, approval of Head of RLDC/NLDC/Deptt. in CC shall be obtained by the department executing the project for which the note, bringing out the relevant details, shall be put up by Chief Manager of the department executing the project through concerned Contracts/Finance.

If the commissioning does not take place within the validity period of the BG, the

validity shall be extended from time to time upto a period not exceeding three years from the date of readiness of the system for commissioning. The Contractor shall be also required to extend the validity of the Contract Performance Guarantee so that it remains valid up to a period of one year beyond the validity period of the BG against which last payment has been released to the Contractor

- C3.9.1.3 Taking Over Certificate shall be issued by GRID-INDIA, as explained under Para C2.15, only after the system is commissioned at specified parameters. The TOC shall be issued within a period not exceeding 15 days from the date of commissioning. The defect liability period/warranty period shall be reckoned from the date of taking over.
- C3.9.1.4 In exceptional circumstances where it is assessed that the system cannot be commissioned at specified parameters within a period of about three years from the date of physical completion/readiness of the system for commissioning, because of reasons not attributable to the Contractor, the system shall be taken over by GRID-INDIA without commissioning as a special case, with the approval of CMD based on recommendations of Head of RLDC/NLDC routed through Head of Engineering, Finance in Corporate Centre, D(SO/MO) and D(F). For this the proposal will be put up by department executing the project in the same way as prescribed in para C3.9.1.2.
- C3.9.1.5 The defect liability period/warranty period shall be reckoned from the date of taking over and the Contractor shall be required to extend the Contract Performance Guarantee accordingly.
- C3.9.1.6 The BG against which last payment is released to the Contractor shall be returned to the Contractor by RLDC/NLDC Finance based on the advice of department executing the project (not below the level of Chief Manager) on commissioning/taking over of the system.
- C3.9.1.7 Till such time the system is not commissioned at specified parameters or taken over by GRID-INDIA, its custody and watch and ward shall remain with contractor who shall accordingly be required to maintain a skeleton establishment at site in consultation with site, which shall be reinforced at the time of commissioning. In the

normal course, GRID-INDIA shall take over the system only after 'Commissioning' takes place in line with the provisions of the contract.

C3.9.1.8 In the above situation, the following charges shall, however, be reimbursed to the Contractor, based on his request, against documentary evidence except where otherwise provided in the Contract:-

- a) Bank charges towards furnishing of BG by the contractor for release of final payment pending commissioning/ taking over against documentary evidence.
- b) Bank charges towards extending the validity of CPG for additional period on account of delay in commissioning/ taking over, as explained above, against documentary evidence.
- c) Charges towards insurance cover for both Contractor/Supplier as well as Owner supplied material/ equipment for the period that would lapse between 04 months after the readiness for Commissioning and the actual date of Commissioning/ taking over against documentary evidence.
- d) Actual expenditure, if any, incurred by the contractor towards maintaining office, manpower, vehicles for the period that would lapse between 04 months after the readiness for Commissioning and the actual date of Commissioning/ taking over against documentary evidence to the satisfaction of GRID-INDIA.

For reimbursement of above charges, based on the request of contractor along with all the relevant documents those may be necessary to establish incurrence of expenditure, the proposal shall be initiated by the department executing the project and routed through RLDC/NLDC contracts and finance before obtaining approval of Head of RLDC/NLDC.

C3.9.2 In cases where System Commissioning is possible partially/reduced parameters:

C3.9.2.1 In case it is assessed that commissioning at specified parameters is possible within one year, commissioning of the system at reduced parameters/ partial

commissioning shall not be considered. Further, action towards release of the balance payment that would have, in the normal course, become due to the contractor as per contract after commissioning of the system, shall be taken as per para C3.9.1.

However, if partial commissioning is considered necessary, the same shall be done with the approval of Director (SO/MO). The proposal in this regard shall be initiated by the Chief Manager/ DGM of the department executing the project, processed through Head of RLDC/NLDC, Head of Corporate Engineering (In case of Corporate Packages wherein implementing region is RLDC/NLDC) and Director(SO/MO).

C3.9.2.2 In case it is assessed that commissioning at specified parameters is not likely to take place within a period of one year, the system may be partially commissioned.

The proposal for commissioning the system partially in the above situation shall be initiated by Chief Manager/ DGM of the department executing the project, processed through Head of NLDC/RLDC, Head of Engineering Department and Director(SO/MO) for approval of CMD.

C3.9.2.3 Once the approval for commissioning the system at reduced parameters / partial commissioning is obtained, department executing the project shall take necessary action for commissioning the system at reduced parameters / partial commissioning in association with the commissioning team as elaborated under Para C2.15.

The validity of the BG against which last payment has been released to the Contractor as per the procedure laid down in para C3.9.1.2 shall be required to be extended, in stages, upto a maximum period of 02 years after commissioning of the system at reduced parameters or till 03 months after commissioning fully/ rated parameters, whichever is earlier. The Contractor shall be also required to extend the validity of the Contract Performance Guarantee so that it remains valid up to a period of one year beyond the validity period of the BG against which last payment has been released to the Contractor.

- C3.9.2.4 On commissioning of the system at fully/specified parameters or upon the expiry of the period of two years after commissioning of the system at reduced parameters, whichever is earlier, the Taking Over Certificate shall be issued by GRID-INDIA, as explained under Para C2.15 within 15 days.
- C3.9.2.5 The defect liability period/warranty period shall be reckoned from the date of taking over and the Contractor shall be required to extend the Contract Performance Guarantee accordingly.
- C 3.9.2.6 The BG against which last payment is released shall be returned to the Contractor by RLDC/NLDC Finance based on the advice of department executing the project (not below the level of Chief Manager) on commissioning fully/at rated parameters/taking over.
- C3.9.2.7 Till such time the system is not commissioned fully/at rated parameters/taken over by GRID-INDIA, its custody and watch and ward shall remain with contractor who shall accordingly be required to maintain a skeleton establishment at site in consultation with site, which shall be reinforced at the time of commissioning. In the normal course, GRID-INDIA shall take over the system only after 'Commissioning' takes place in line with the provisions of the contract.
- C3.9.2.8 In the above situation, the following charges shall, however, be reimbursed to the Contractor, based on his request, against documentary evidence except otherwise provided in the Contract:-
- a) Bank charges towards furnishing of BG by the contractor for release of final payment pending commissioning fully/at rated parameter/ taking over.
 - b) Bank charges towards extending the validity of CPG for additional period on account of delay in commissioning/ taking over as explained above.
 - c) Charges towards insurance cover for both Contractor/Supplier as well as Owner supplied material/ equipment for the period that would lapse between 04 months after the readiness for Commissioning and the actual date of Commissioning at rated parameters/ Taking over.

- d) Actual expenditure, if any, incurred by the contractor towards maintaining office, manpower, vehicles for the period that would lapse between 04 months after the readiness for Commissioning and the actual date of Commissioning/ taking over against documentary evidence to the satisfaction of GRID-INDIA.

For reimbursement of above charges, based on the request of contractor along with all the relevant documents those may be necessary to establish incurrence of expenditure, the proposal shall be initiated by the department executing the project and routed through RLDC/NLDC contracts and finance before obtaining approval of Head of RLDC/NLDC.

C3.9.3 In both types of cases as discussed under para C3.9.2.1 and C3.9.2.2 above the following shall also be applicable:

- a) As per Contract, commissioning of the system in question may be linked to a particular scheme/system. In absence of the required linkage, if commissioned at specified parameters through other means, the same will be accepted as commissioned for contractual purposes.
- b) Any other issues linked with delay in commissioning shall be dealt with on case-to-case basis depending upon the merit of the case as may be considered appropriate by Head of RLDC/NLDC.

C3.9.4 Notwithstanding the fact that commissioning of the system is not possible, despite completion of physical construction for reasons not attributable to the Contractor, necessary action for completing various activities connected with closing of the Contract, as discussed under para C2.18.7, shall be continued.

C3.9.5 In case the release of advance bank guarantee is linked with TOC/ completion of the Contract, the same shall be released within a period of one month after readiness for commissioning, provided the advance is adjusted.

C3.9.5.1 The portion of work already completed shall be thoroughly checked by the department executing the project with the help of all the available means. If the completed portion of work is found to be ready in all respects and the construction

of balance portion cannot be and is not taken up within next six months because of reasons as discussed above, the balance payment, which in the normal course, become due to the contractor as per contract after commissioning of the system, can be released to the contractor, shall be paid on pro-rata basis, if requested by him, against BG of equivalent amount initially valid for a period of 12 months or until three months after expected date of commissioning (if the same can be anticipated), whichever is earlier. In this regard, based on request to be submitted by the Contractor, approval of Head of RLDC/NLDC shall be obtained by the indenting department for which the note, bringing out the relevant details, shall be put up by the Chief Manager/ DGM of the concerned department executing the project through RLDC/NLDC Contracts and Finance.

- C3.9.5.1.1 If the completion and there after commissioning does not take place within the validity period of the BG, the validity shall be extended from time to time upto a period not exceeding three years from the date from which the concerned work was heldup on aforesaid account. The Contractor shall also be required to extend the validity of the Contract Performance Guarantee so that it remains valid upto a period of one year beyond the validity period of the BG against which last payment has been released to the Contractor
- C3.9.5.1.2 Taking Over Certificate shall be issued by GRID-INDIA, as explained under Para C2.15, only after the system is completed and commissioned at specified parameters. The TOC shall be issued within a period not exceeding 15 days from the date of commissioning. The defect liability period/warranty period shall be reckoned from the date of taking over.
- C3.9.5.1.3 However, in exceptional circumstances, where it is assessed that the balance works cannot be taken up/ completed because of continuance of constraints, that had led to stoppage of work, and therefore system cannot be commissioned at specified parameters within a period of about three years from the date of stoppage works, because of reasons not attributable to the Contractor, the system, as a special case, can be taken over by GRID-INDIA and the contract can be foreclosed, with the approval of Competent Authority as per DoP.

- C3.9.5.1.4 Further course of action to be taken in regard to completion of balance works, defect liability period/warranty, which is to be reckoned from the date of taking over after commissioning at rated parameters, shall be covered in the aforesaid proposal, which will be initiated by the department executing the project and routed through RLDC/NLDC Contracts and Finance before putting up to Head of RLDC/NLDC.
- C3.9.5.1.5 BG, against which last payment was released to the Contractor, will be returned to the Contractor by RLDC/NLDC Finance based on the advice of department executing the project (not below the level of Chief Manager)
- C3.9.5.2 Till such time the system is not commissioned at specified parameters or taken over by GRID-INDIA, its custody and watch and ward shall remain with contractor who shall accordingly be required to maintain a skeleton establishment at site in consultation with site, which shall be reinforced at the time when construction resumes. In the normal course, GRID-INDIA shall take over the system only after 'Commissioning' takes place in line with the provisions of the contract.
- C3.9.5.3 In the above situation, the following charges shall, however, be reimbursed to the Contractor on his request against documentary evidence, except where otherwise provided in the Contract:-
- a) Bank charges towards furnishing of BG by the contractor for release of final payment pending commissioning/ taking over.
 - b) Bank charges towards extending the validity of CPG for additional period on account of delay in completion and thereby commissioning/ taking over as explained above.
 - c) Charges towards insurance cover for both Contractor/Supplier as well as Owner supplied material/ equipment for the period that would lapse between 03 months after the completion/readiness, except for a small portion of works, and the actual date of Commissioning/taking over.
 - d) Any other charges considered reasonable and justified based on facts and circumstances and provisions of the contract.

For reimbursement of above charges, based on the request of contractor along with all the relevant documents those may be necessary to establish incurrence of expenditure, the proposal shall be initiated by the department executing the project and routed through RLDC/NLDC contracts and finance before being approved by Head of RLDC/NLDC.

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C3.10 Communication with GOI/MOP/External Agencies

- C3.10.1 All communication with Ministry of Power, GOI and external agencies for the Project shall be through Corporate SP&M Dept. Accordingly, based on the details furnished by the department executing the project, RLDC/NLDC shall prepare the draft letter and send the same for issuance to Corporate SP&M Deptt. through Head of RLDC/NLDC.

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C3.11 Reference to Clarification

- C3.11.1 The concerned responsibility centres shall avoid unnecessary references to other departments/offices specially in routine matters and matters for which the powers are delegated to them as per DoP or as per guidelines given in this document. It is expected that all concerned shall thoroughly study the Contract Documents and take decisions in areas of their responsibility, deal with the contractors effectively as per provisions of the Contract and safeguard the interest of GRID-INDIA. Inadequate understanding of the contract and contract management system/DoP/policies and procedures etc. shall not be accepted as ground for referring cases to other depts./offices.
- C3.11.2 However, if a genuine contradiction/shortcoming in the terms and conditions contained in various documents constituting the contract is detected and is referred for clarification, the same shall be promptly attended to by the concerned responsibility centers involved in awarding of the contract, notwithstanding that responsibility for post award activities lies with RLDC/NLDC/Deptt. in CC. While reference in this regard shall be made by department executing the contract to concerned department of Corporate Centre through Head of RLDC/NLDC, the required clarification would be sent by the concerned department of Corporate Centre (not below the level of DGM) after obtaining approval of Head of the concerned department.

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C3.12 Documents/Files Concerning Post-Award Contract Execution

- C3.12.1 The concerned responsibility centres shall maintain contract wise files pertaining to activities falling under their responsibility. It is desirable to have separate files for general correspondence and for documents connected with various approvals and important decisions. All files should be systematically numbered, properly paginated and bound. The concerned department should maintain a file list. Guidelines regarding numbering of files shall be finalised by respective Head of Departments.
- C3.12.2 Safe custody of documents like Contract Agreement, LoA, Measurement Books, Test Certificate, Approval of Variations, time extension/LD and other documents in respect of important decision shall be ensured by respective responsibility Centre. This shall be ensured by respective Heads of Departments.
- C3.12.3 Retention period of documents and destruction thereof has been dealt with under para C3.22 of this document.

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C3.13 Cancellation of Contract

C3.13.1 Cancellation of any Contract shall normally be resorted to only after all efforts to explore and act upon reasonable options, keeping the interest of the Project/GRID-INDIA in view, for salvaging the situation, are exhausted. However, if the contractor is found to have indulged in Corrupt and Fraudulent practice, cancellation of contract can be resorted to without exploring such options though in such a case too the interest of project completion shall definitely be kept in view. While taking the decision, though the interest of Project/GRID-INDIA has to be uppermost, it is imperative to consider and keep in mind the associated legal, commercial and other relevant aspects so that the possibility of complications at a subsequent stage is obviated. In this context it is essential that all concerned Depts./ Responsibility Centres maintain the documents and the details/ data pertaining to the Contract, in line with the policy and procedures outlined in this document. Further, the concerned Head of department executing the project shall make sure that the 'Notice of Default' and/ or such other notice(s) required to be issued as per the Contract, prior to cancellation, have been properly issued and communicated to the Contractor.

Action for cancellation of a Contract, in full or in part, shall normally be initiated under compelling circumstances such as the following:

- (i) The contractor fails to submit CPG within the specified period or extension thereof, despite repeated reminder.
- (ii) The Contractor fails to commence the work with due diligence or fails to perform the work in accordance with the specified time schedule or as per specified quality parameters/specification, for reasons generally attributable to him alone, despite repeated reminders and warnings issued by GRID-INDIA, or deserts the site without GRID-INDIA's prior permission and does not respond in a positive manner to GRID-INDIA's repeated communications.
- (iii) The contractor is found to be engaged in corrupt and fraudulent practices.

C3.13.2 Delay in submission of CPG

C3.13.2.1 The submission of CPG is the first and most important signal from the contractor towards his earnestness for performing the contract. Therefore, the submission of CPG by the contractor needs to be religiously monitored. Keeping in view the importance of this activity, it is also provided in the bidding documents that failure in submission of CPG within specified period may result in annulment of award, forfeiture of the bid security or call for new bids. However, suitable extension, to the extent considered appropriate and reasonable, taking into account overall completion of the project as well as looking into various aspects especially whether the contractor has taken reasonable action towards commencement of the works earnestly, can be given with the approval of Head of Contracts. However, in all such situations, it is to be ensured that the bid guarantee remains valid till such time CPG is received from the contractor and authenticity is verified. If the extension of the validity of the bid guarantee is not received from the contractor at least 7(seven) days before its expiry, conditional claim for encashment of bid guarantee shall be lodged by the Finance deptt., who is the custodian of BG's. For encashment of bid guarantee, wherever necessary, proposal shall be initiated by concerned contracts and approval of competent authority as per above, depending upon the type of package, shall be taken through the concerned finance deptt.

C3.13.2.1.1 In case Contract Performance Guarantee is not received from the contractor within the specified time (including extensions) as discussed in para C3.13.2.1 above, annulment of award and forfeiture of bid security may be considered in terms of provisions of the bidding documents, depending upon associated aspects including progress of site activities. In case of annulment of award, fresh bids will be invited for finalizing the contract. The status of site activities of the Contractor shall be sought by the concerned contracts deptt. (who has awarded the contract) from the department executing the project. The department executing the project shall furnish the status through Head of RLDC/NLDC for corporate packages. In case the package has been awarded by RLDC/NLDC, the contracts deptt at RLDC/NLDC shall collect the said status from Head of department executing the project. After receipt of the same, proposal shall be processed by the concerned contracts deptt. either for extension of period of submission of CPG or for cancellation of the contract, as the case may be, depending upon the facts and circumstances.

C3.13.2.1.2 In order to avoid repetition of procedure towards issuance of Notice of Default to the contractor before processing for cancellation so that expeditious decision could be taken, it shall be clearly brought out in the letter advising submission of CPG within specified period including extensions, if any, that any failure on Contractor's part to comply within the time schedule shall lead to cancellation of the contract in terms of provisions of the document (quoting the clause/para no).

C3.13.2.2 Poor Performance of Contractor

C3.13.2.2.1 After award of the contract, contractor is required to mobilize and commence the work within a specified period in the right earnest so as to complete the entire scope of work in time. Therefore, immediately after the award is placed, the mobilization/commencement of work by the contractor and the progress of work vis-à-vis the schedule is to be closely monitored by execution site so that corrective action could be timely taken and salvaging, to the extent possible, could be done.

3.13.2.2.2 In order to effectively achieve the above objective, the performance of a Contractor, shall be judged against the specified time schedule developed for the purpose of initiating action for cancellation of the Contract adopting the methodology as discussed hereunder.

- (i) During Project Review Meeting immediately following the award of a Contract, Head of RLDC/NLDC shall, for corporate packages (Wherein implementing authority is in RLDC/NLDC), finalize the 'Targets to measure Defaults under Contract', in consultation with representatives of RLDC/NLDC, Indenting Department and Department executing the project. For packages awarded by RLDC/NLDC, Head of department executing the project shall finalise the same. These targets, which would be set both for the Contractor and GRID-INDIA, shall specify the quantum of different project activities to be generally completed by the end of a quarter (nearly 3 months period) after award of the Contract. These targets, which shall be lower than the contractual schedule or L2 network and be expressed as a percentage of the targets under contractual schedule/L2 network, shall be finalized keeping in view the targets/ actual achievements under other connected/ associated contracts and the targeted/

anticipated completion of the Project and shall be for the specific purpose to facilitate the decision on whether or not to initiate action for termination of the Contract.

- (ii) The targets shall be objective and measurable (in percentage or absolute terms) such as submission and approval of drawings, completion of type tests, manufacture/production, inspection/dispatch clearances, receipts at site, physical progress of construction and Installation activities at site including testing/ commissioning, etc.
- (iii) The targets so finalized shall be circulated internally within GRID-INDIA, to Indenting department and department executing the project for monitoring progress of the Contractor and GRID-INDIA in respect of their respective scope against the set targets. The respective coordinators (at the level of at least DGM in case of Corporate Packages) shall take necessary action in this regard.
- (iv) The progress against set targets in case of Corporate Packages shall be reviewed by the Head of RLDC/NLDC, at the end of the quarter (preferably during the PRM) with the representatives of the concerned depts.. viz. Engg., and department executing the project. During review, if it is found that the set targets have been generally met, the 'Targets to measure Defaults under Contract' for the next quarter shall be finalized for further action as per para (iii) above, this para and subsequent paras. Some of the packages awarded by RLDC/NLDC may also be included in such review depending upon its criticality.
- (v) If on review as per para(iv) above, it is found that the set targets for the quarter under review have not been met, the areas of slippages and reasons thereof shall be identified and analyzed (keeping in view all related aspects including the targets/ actual achievements under other connected/ associated contracts and the targeted/ anticipated completion of the Project) and plan for further action shall be finalized based on a realistic assessment of the overall progress of the project. Such plan may include one or more of the following points

depending on the assessment of the situation:

- Review meeting with the Contractor at the level of Head of the concerned dept.(viz. Indenting Dept. at CC/RLDC/NLDC) to be coordinated by the concerned DGM/ Chief Manager of Indenting Dept. at CC/RLDC/NLDC or jointly, to be coordinated by the RLDC/NLDC.
- Review meeting with the Contractor at the level of CMD/Director(SO/ MO) to be coordinated by Indenting department in consultation with concerned EDs.

Issuance of the Notice of Default to the Contractor. If required, such notice shall be issued by Head of the RLDC/NLDC for corporate packages (Wherein executing department is RLDC/NLDC), for which the 'Draft' shall be put up by the DGM of the department executing the project taking into account the details/documents to be made available by the concerned DGM of Indenting Dept. at CC etc. for their respective portions. If required Law Dept. may also be consulted for the purpose. For RLDC/ NLDC packages, authorities identified as Engr-In-Charge shall issue it.

- Actions to be taken by the concerned Depts. within GRID-INDIA and the time frame for the same wherever the slippage is attributable to GRID-INDIA/ Force Majeure conditions. The action plan for corporate depts. shall be monitored by Indenting Department in CC, and that for RLDC/ NLDC, by department executing the project. Further, in such a case the time period of delays attributable to GRID-INDIA/ Force Majeure shall be acknowledged and fresh 'Targets to measure Defaults under Contract' for the next quarter shall be set.
- Grant of provisional time extension (if the scheduled completion period is nearing completion), period of such extension and revised targets for achieving completion within the provisional extension.

A record note of deliberations as above shall be prepared by RLDC/NLDC and circulated by head of RLDC/NLDC to concerned EDs/Head of Departments

(for information), concerned coordinators (DGM/ Chief Manager) of Indenting Dept. at CC/RLDC/NLDC, etc.(for necessary action). The feedback in regard to the action taken shall be given to Head of RLDC/NLDC by concerned Depts. within the specified time. The compiled information shall then be furnished to all concerned ahead of the next review unless otherwise decided. For RLDC/ NLDC packages, the circulation shall be restricted to concerned departments in RLDC/NLDC.

(vii) Once a 'Notice of Default' is issued, at the end of the period specified therein, comments on the contractor's response along with connected details/ documents, wherever required, shall be sought from the concerned Depts. The comments as above shall be forwarded (within a week) by an executive not below the level of DGM of the concerned Dept. after obtaining approval of CGM/Sr. GM of the Dept.. Once the comments are received, CGM/Sr. GM shall, hold consultation with Head of RLDC/NLDC, concerned EDs in Corporate centre to decide on further course of action which may include the following:

- To proceed ahead with cancellation of the contract.
- To send a suitable reply to the Contractor.
- Not to pursue the cancellation of the Contract and to tie-up up revised targets with the Contractor.

In case of packages awarded by RLDC/NLDC, the concerned DGM of the department executing the project shall hold discussion with head of RLDC/ NLDC Contract, Implementing Deptt, Indenting Deptt. etc. to arrive at any one of the above options.

(viii) In case opinion firms up to proceed ahead with cancellation of Contract, further action shall be taken as under:

- A comprehensive note, bringing out the relevant details leading to the proposal for cancellation of the Contract shall be put by the department executing the project, enclosing there with the draft Notification for

Contract Cancellation for approval of the competent authority as per DoP. The proposal shall be inter-alia be routed through the Law Dept. who shall vet the same as well as the Notification for Contract.

- Upon approval of the proposal as above, Head of Contracts Dept., not below the level of Manager, shall issue the Notification of Cancellation of Contract.

C3.13.2.3 Cancellation of Contract for Fraudulent/Corrupt Practices

C3.13.2.3.1 If the contractor is found to be engaged in corrupt and fraudulent practice as already defined in Bidding Documents, GRID-INDIA may consider various options such as cancellation of the contract or banning of business or both. However, in case of ongoing contracts, in the interest of timely completion of the projects, cancellation of contract on this account shall normally not be considered unless the fraudulent practice/corrupt practice by the contractor is of such a serious nature, which forthwith prohibits any further association with the contractor. In case of instance being of very minor nature, having come to notice for the first time and the performance of the contractor is otherwise found to be good, a warning letter may simply be issued.

Wherever future business is proposed to be suspended/banned on this account, the same will be done as per procedure described under para C3.8.

C3.13.2.3.2 In cases where, because of the gravity of the offence committed by the contractor, the contract is required to be cancelled midway, the same will be done with the approval of Head of RLDC/NLDC for RLDC/NLDC packages and CMD for Corporate Packages (Wherein executing department is RLDC/NLDC). In all such cases approval shall be sought in two stages; in the first stage approval will be sought for issuing a so cause notice and in the 2nd stage, approval will be taken for cancellation of contract or otherwise, as may be considered appropriate, in the manner described hereunder for different situations.

(A) Corporate Package:

(a) Triggered off by a user department at Corporate Centre

- (i) In such a case, the proposal duly cleared by the concerned ED in Corporate Centre will be forwarded to Head of Corporate Contracts for further examining and processing by them for obtaining approval of CMD, through Corporate Finance and Law, towards issuance of show cause notice. Based on the said approval, a show cause notice, the draft of which will also be got approved alongwith above proposal, shall be served on the contractor by the Corporate contracts.
 - (ii) On receipt of the reply or after a lapse of 30 days whichever is earlier, the case, after obtaining the comments of the department recommending cancellation wherever required, shall be further processed by the Corporate Contracts for obtaining approval towards cancellation of the contract or otherwise, as deemed fit. Such a proposal will be routed through Corporate Finance and Law before obtaining approval of CMD.
- (b) Triggered off by a department of the Implementing RLDC/NLDC such as Department executing the project / RLDC/NLDC Finance etc
- (i) In such a case, the proposal will be initiated by the concerned responsibility center and forwarded to RLDC/NLDC Contracts who will further examine the same and obtain approval of Head of RLDC/NLDC, RLDC/NLDC Finance/Indenting Department towards issuance of show cause notice. Based on the said approval, a show cause notice, the draft of which will also be got approved along with above proposal, shall be served on the contractor by the RLDC/NLDC contracts.
 - (ii) On receipt of the reply or after a lapse of 30 days whichever is earlier, the case, after obtaining the comments of the department recommending cancellation, shall be further processed by the RLDC/NLDC Contracts for obtaining approval towards cancellation of the contract or otherwise, as deemed fit. Such a proposal will be routed through RLDC/NLDC Finance and Head of RLDC/NLDC before forwarding to Head of Corporate Contracts for obtaining approval of CMD through Corporate Law and Corporate Finance.

(B) RLDC/NLDC Packages (Triggered off by any responsibility Center)

- (i) In such a case, the proposal will be initiated by the concerned responsibility center and forwarded to RLDC/NLDC Contracts who will further examine the same and obtain approval of the concerned RLDC/NLDC Implementing/Executing Deptt., Finance/Indenting Department towards issuance of show cause notice. Based on the said approval, a show cause notice, the draft of which will also be got approved along with above proposal, shall be served on the contractor by the concerned contracts authorized to handle post award for the same.
- (ii) On receipt of the reply or after a lapse of 30 days whichever is earlier, the concerned responsibility center will process the case and forward the same to Regional Contracts for further processing and obtaining approval of Head of RLDC/NLDC towards cancellation of the contract or otherwise, as deemed fit. Such a proposal will be routed through RLDC/NLDC Finance.

C3.13.2.3.3 If cancellation of the contract is approved as above, the Notification of Contract Cancellation shall be issued by the concerned contracts deptt at level as specified under para C3.13.2.2.2 (viii) above for such purpose.

C3.13.3 In case the Contractor chooses to respond to the Notification for Contract Cancellation, the same shall be replied by the RLDC/NLDC Contracts Dept. (not below the level of Chief Manager), after obtaining comments, if required, from concerned Depts. including the Law Dept. The reply shall be finalized in consultation with the Head of RLDC/NLDC Contracts Dept. In case of other packages, reply shall be sent by an authority as applicable for issuance of Notification for Contract Cancellation as mentioned at para C3.13.2.2.2 (viii) above.

C3.13.4 All Notices of Default/Show Cause Notice and the Notification for Contract Cancellation shall be issued to the Contractor at the address given in the Contract and sent by Regd Post/reputed courier services. The same shall also be sent on e-mail to the Contractor. Further, a copy of such notices and notification shall also be sent to site office / Local/ Regional office of the Contractor, if existing.

- C3.13.5 In case the Contractor is a Joint Venture, the notices/notifications as above shall be addressed and sent to all the members of Joint venture except if otherwise advised by the Law Dept.
- C3.13.6 In case a Contract is awarded to the assignee of the Contractor, the notices/notifications as above shall be addressed and sent to the contractor who is overall responsible for the performance of the Contract, as well as the assignee.
- C3.13.7 Once the termination of a Contract comes under active consideration, the Head of Department executing the project in RLDC/NLDC shall immediately advise the Law Dept. to apply with the appropriate courts for caveat against grant of stay on encashment of Contract Performance Guarantee/ Other BGs of the Contractor. It shall be the responsibility of the Head of the concerned Law Dept. to immediately obtain the caveat. Simultaneously, Finance Dept. shall be advised to take immediate action for encashment of the Contract Performance Guarantee/ Other BGs of the Contractor for which the necessary communication shall be sent by Head of Department executing the project to the Head of Finance who shall take necessary action for the same on urgent basis.
- C3.13.8 On approval of the cancellation, the concerned financial institution, in case the package is covered under multi-lateral funding, shall be apprised of the details of the case leading to contract termination and GRID-INDIA's decision to go-ahead with risk and cost procurement. A draft communication in this regard shall be finalized by Head of Department executing the project and forwarded through Head of RLDC/NLDC to Corporate SP&M Deptt. for issuance.
- C3.13.9 While the cancellation is under active consideration (at the stage discussed under para C3.13.2.2.2(viii) above), the Head of Indenting Department shall initiate advance action for execution/ procurement of balance works/ supplies at the risk and cost of the Contractor. As a first step in this direction, the execution site shall work out the estimated cost of balance works as per the rates given in the contract under cancellation, details of total payments (including the amount reimbursed towards taxes and duties and paid towards price variation) made to the Contractor, details of additional amount payable to the Contractor but not paid (considering 100% of the

amount towards the work actually executed/ supplies actually made as payable), amount towards leviabale LD and the securities/ monies of the contractor available with GRID-INDIA. It shall be put for approval through RLDC/NLDC Finance to Head of RLDC/NLDC for Corporate Packages(Wherein implementing region is RLDC/NLDC) and for packages awarded by RLDC/NLDC.

- C3.13.10 In case of RLDC/NLDC packages, the RLDC/NLDC shall take up further action for award of contracts and execution of balance works. In case of corporate packages, if the amount of balance works is less than ₹ 5 Crores, the RLDC/NLDC shall take further action for risk and cost procurement. If the amount is more than ₹ 5 Crores, further course of action for award of contracts of balance works shall be taken by Corporate Centre for which the complete details shall be forwarded to Head of Corporate Engg by Head of RLDC/NLDC.

However, in case of packages funded by multi-lateral financial institutions, even if the amount of balance works is less than 5 Crores, further course of action, to be taken towards award of the contract i.e. whether to be taken under domestic or multilateral funding and accordingly by the RLDC/NLDC or by Corporate Centre, shall be taken with the approval of CMD for which RLDC/NLDC will move the proposal in consultation with Corp Contracts and Corp Finance.

- C3.13.11 Procurement at risk and cost shall be undertaken generally in line with the same specifications and terms and conditions as were applicable to the cancelled contract. However, the time period for completion of the contract, to be awarded at risk and cost, will be judiciously decided by GRID-INDIA keeping completion of overall project and quantum of works in view.
- C3.13.12 The process for award of Contracts shall be in line with the policies and procedures for pre- award activities.

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C3.14 Negative Price Variation

- C3.14.1 Price Variation payment in a contract, wherever applicable, is released to the contractor on submission of bill along with documentary evidence in support of movement of relevant indices. In case there is a downward movement of indices, a situation sometimes encountered particularly in supply contracts, the contractor is also supposed to submit bill/computation so that recoverable amount, if any, on this account is regularly adjusted from other payments due to the contractor.
- C3.14.2 In case of downward movement of indices, a situation is often encountered that contractor does not come forward with PV bills/calculation, apprehending considerable recovery on this account.
- C3.14.3 In order to have a check on such occurrences, concerned finance shall keep a close watch on the movement of indices governing contract price adjustment and make constant follow up with the contractor for prompt submission of bills/calculation (Irrespective of whether positive or negative PV), where recovery is anticipated. In case the contractor fails to submit details despite reminder, to be issued at an interval of 15 days after the initial demand, adhoc amount, as provisionally worked out, shall be retained from other payments due to the contractor, for which clearance of Head of RLDC/NLDC/Head of Department executing the package in Corporate Centre shall be obtained.
- C3.14.4 In order to effectively take care of various issues resulting out of negative PV, the last 10% payment against supply of a consignment will be claimed alongwith PV payment for the same. If the last 10% payment bill is not accompanied by the corresponding PV bill, the same will not be processed till the said PV bill is received.

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C3.15 Payment of Advance

- C3.15.1 In most of the contracts awarded by Corporate Centre, the payment terms envisage payment of advance(s), which is payable on submission of a bank guarantee besides fulfilling other terms and conditions.
- C3.15.2 If the contractor decides not to take advance and confirms so in writing, the percentage payment, which is payable to him on receipt and verification of material, shall be increased by the percentage payable to him as advance. For this, a proposal shall be initiated by the department executing the project and approved by Head of RLDC/NLDC through the finance from where progressive payment is to be released. It shall, however, not be treated as a modification of payment terms.
- C3.15.3 D u r i n g life cycle of a contract, it may sometimes happen that the contractor request for advance over and above that provided in the contract. While such a request of the contractor will normally not be entertained, one additional advance as special advance (not exceeding 10% of the value of balance works) can be processed and accepted in exceptional circumstances with the approval of Head of RLDC/NLDC in the interest of project completion. Such special advance will interalia be subject to following terms and conditions:
- (a) BG of amount as per extant guidelines in vogue on Advance BG to be furnished by the contractor.
 - (b) Interest as per extant guidelines in vogue on Rate of Interest for release of Advances.
 - (c) Pro rata recovery along with interest from running payment.

The proposal in regard to the above will be initiated by Department executing the package and put up for approval of Head of RLDC/NLDC through concerned Contracts and Finance. The special advance can be directly released to the sub-contractor/ supplier on the request of the contractor with the approval of Head of RLDC/NLDC if considered necessary to maintain proper progress of work.

C3.16 Change of name of Contractor/Bidder

- C3.16.1 It has been observed that sometimes contractor/bidder, during pre award or post award stage, requests GRID-INDIA to effect the change of its name in the concerned contract/bid arising out of situations discussed hereunder.
- C3.16.1.1 The contractor/bidder has changed its name without any other change in the constitution of the company or otherwise. Such a change of name, which does not affect the legal entity of the contractor/bidder and rights and obligations of the contractor under GRID-INDIA's contracts, shall be accepted subject to furnishing of documents prescribed under the law where contractor/bidder is registered.
- C3.16.1.2 The change of name may also arise out of the merger or acquisition of the firm, which is GRID-INDIA's bidder/contractor, with/by another firm. As a result of which, the bidder's/contractor's name may change to that of transferee firm or altogether a new name as decided consequent upon such merger. In such cases also, change of name may be accepted by GRID-INDIA provided the new firm is the lawful successor of GRID-INDIA's bidder/contractor firm and subject to the furnishing of requisite documents by the contractor/bidder and/or transferee company, as may be required under the law and after execution of deed of adherence under the common seal by the new company/firm.
- C3.16.1.3 It also sometimes happens that Contractor/bidder Company, which comprises of several divisions, sells the concerned division, on the basis of which the firm was considered, qualified for GRID-INDIA's contract. In absence of the said division, if the contractor/bidder company expresses its inability to continue with the tender/contract in its name and at the same time the new company, which has acquired the said division, approaches GRID-INDIA for being considered as contractor/bidder in the instant case furnishing sufficient justification thereof along with relevant documents, the same shall be examined and decided on the basis of the merits of individual case. If sufficient justification does not exist, recourse to any action provided in the contract/bidding documents may be resorted to. However, if such a request for change of name is found to be justified taking into account facts and circumstances of the case based on the various documents furnished

including those protecting GRID-INDIA's interest, the same can be accepted. In such a case the deed of adherence, duly executed under the common seal by the company acquiring the said division, shall inter-alia be furnished.

C3.16.1.4 Apart from situations discussed above, there could be other instances of amalgamations or mergers of contractor/bidder companies or dissolution or winding up of companies or any other change of companies registered in India or outside India necessitating change of name of bidder's/contractor's firm. All such situations cannot be frozen and covered here for a generalized solution and shall be required to be dealt with on case-to-case basis. Moreover, laws in different countries would govern these differently. Therefore, such unique cases are to be dealt with individually supported by request letter and in house and independent legal opinion furnished by the contractor/bidder indicating the purpose of the change, the prescribed legal provision pursuant to which such a change is made and the compliance made thereof enclosing therewith the duly executed documents by the contractor/bidder and impact of such change on GRID-INDIA contracts. The case shall further dealt with in the same manner as outlined under para C3.16.1.3.

C3.16.2 In all cases of change of name, request letter from contractor/bidder indicating the reason and justification for change of name, the existing legal provisions, and its impact on GRID-INDIA's contract, along with certified copies of the requisite documents duly executed in support of the said change of name, shall be obtained by Contracts Deptt. The request letter along with relevant documents shall be examined and processed by Contracts department through law and finance for approval of the competent authority towards change of name. The authority competent to approve the award of the contract shall be the competent authority to approve such proposal, except in cases where awarding authority is Board in which case the approval of CMD shall be taken.

C3.16.3 The cases involving foreign companies as the contractor / bidder shall be governed by laws in different countries. Therefore in such cases, the bidder shall be required to also furnish legal opinion from in- house as well as from an Independent legal practitioner indicating the purpose of the change, prescribed law and method

under the relevant laws of the concerned country pertaining to change of name under a particular situation. Further, such legal opinion, while specifying the type of change of name, should clearly confirm that the same is in accordance with law and is based on the requisite documents. Moreover, copies/translated copies of the requisite documents, which will be enclosed with the legal opinion, will be duly stamped/notarized by notary public in the concerned country and certified by Indian embassy in that country. The said opinion, while ratifying obligations under GRID-INDIA contracts that have been undertaken by the transferee company under transfer deed, should confirm that the documents enclosed are sufficient for the said transfer of business.

- C3.16.4 There may be a situation when the contractor/bidder is unable to submit some of the required documents for valid reasons. Relaxation from submission of such documents may be allowed with the approval of awarding authority/CMD, whichever is lower, in consultation with Law deptt., provided such a document is not fundamental to the issue as per the legal position.
- C3.16.5 All cases of change of name in respect of Corporate Packages shall be dealt with at Corporate Centre. After obtaining the approval at corporate office in the manner described in para C3.16.2, Corporate Contracts shall forward the approval to region for issue of amendment. Change of name in case of Regional packages shall however be dealt with in the same manner at Regional Office.

-----End-----

C3.17 Quantity Variation Provisions

- C3.17.1 While processing administrative approval for issue of change order, there may be interalia a necessity of finalization of rate of a contract item(s) for the quantities varying beyond a specified limit in line with provisions of the contract.
- C3.17.2 In case of packages having Quantity Variation(QV) limit with respect to overall contract price, it is evident that as long as the executed contract price is within the specified limit, the rate of contract items and other terms and conditions of the contract remain unchanged irrespective of the extent of variation in quantities of individual items.
- C3.17.3.1 During execution of the contract, GRID-INDIA reserves the right to increase or decrease the quantity of individual contract items upto any extent subject to the following:
- (i) As long as the overall variation remains within the QV limit as stated in the bidding documents, the rate of individual contract items and other terms and conditions of the contract shall remain unaltered.
 - (ii) In case the overall contract price increases by more than the QV limit as stated in the bidding documents, all such items, where executed/ anticipated quantity has exceeded/is expected to exceed that specified in the contract by more than the QV limit as stated in the bidding documents, will be identified. In respect of all such items while the quantity originally specified in the contract plus QV limit extra shall be paid at unit rates available in the contract, the payment for the balance quantity shall be released at a rate to be decided after negotiation.
- C3.17.3.2 The exercise of negotiation of rate in case of increase in the contract price shall generally be taken up at the end when the contract execution is nearing completion and the final variation in the overall contract price is known. However, in cases where the final variation in overall contract price is known/ assessable in advance, the said exercise can be carried out earlier also.
- C3.17.3.3 The finalization of revised rate in case of increase in overall contract price beyond

quantity variation limit shall be carried out through a committee in line with the procedure as already described under Para C2.13.1 (b) & (c) of this document for finalization of rate of new items.

C3.17.3.4 Till such time the revised rate is finalized after negotiation, provisional payment at contract rate shall be made after taking an undertaking from the contractor to the effect that in case of reduction of rate, the resultant amount shall be recovered from any payment due to the contractor against this contract or any other contract, else the contractor shall forthwith deposit the amount on demand from owner.

C3.17.3.5 There may be a situation that the prevalent market price of some of items/ commodities figuring in a contract at any point of time during execution stage is considerably different (either higher or lower) with reference to that prevailing during period of preparation and submission of bids. Notwithstanding such wide fluctuations, the contract will be treated as sacrosanct for operating quantity variation provisions. Accordingly, such wide fluctuation will not become a basis for opening the process of price negotiation as long as quantity variation limit is not exceeded. However, in all such cases of wide fluctuation, care will be taken to ensure that any additional scope, which is not essential for completing the scope of work originally contracted, is not executed.

-----End-----

C3.18 Reference Contract Price for Different Purposes

- C3.18.1 In case of any amendment to a Contract, the Contract Price, as amended, shall be the reference price determining the value of CPG, LD amount, advance payable to the contractor, etc. However, for determining the percentage variation in the contract price on account of quantity / scope changes, the reference price shall be the Contract Price as originally awarded.
- C3.18.2 The interest applicable on the advance for the increased portion the contract price over and above the advance paid on the original contract price, shall be determined as follows:
- (i) In case the increase is on account of variation in quantity of existing items for which the rates / basis of the rates are / is same as in the original Contract, the interest rate as specified in the original contract shall be applicable.
 - (ii) In case of substitute / additional / extra items, either the advance shall not be paid or the interest rate as per C3.15.3 shall be applicable.
- C3.18.3 In case of down-word revision in Contract Price, entire amount paid as advance for the decreased portion is recovered from progressive payment suitable enhancing the rate of recovery in subsequent bills.

-----End-----

C3.19 Packages involving more than one RLDCs/NLDC

- C3.19.1 If a tender has been invited covering works and supplies under the scope of more than RLDC, it shall be ensured by the concerned Contracts and Indenting Deptt that separate awards are placed for each region so that responsibility of all post award activities upto closing of a contract lies with the respective RLDC eventually leading to smooth contract administration. While inviting tenders suitable provisions in this regard shall be made in the bidding documents to avoid any complication at the time of splitting the award.
- C3.19.2 For any compulsive reason, if the placement of separate award is not possible, a single award covering more than one RLDC(s) shall be placed but the relevant aspects, which are essential for smooth administration of the contract, shall be suitably tied up in the LoA in line with guidelines indicated hereunder.
- C3.19.2.1 Scope of work covering items of BoQ alongwith quantity and price separately for each RLDC shall be subsequently furnished by Corporate Contracts based on details in this regard to be furnished by Indenting department.
- C3.19.2.2 While CPG for the entire contract shall be centrally kept in the RLDC having largest share (based on the value at the time of placement of award, also referred to as Co-ordinating RLDC), subsequent activities pertaining to contract administration, such as processing of bills and release of payment, shall be carried out by the concerned RLDCs for respective portions.
- C3.19.2.3 For interim/final variation in quantities, the proposal shall be initiated by concerned RLDC and technical approval of the same shall be obtained within the concerned RLDC for respective portions. For the purpose of Technical Approval, the BoQ furnished as per para C3.19.2.1 will be the reference BoQ and the contract price arrived at on the basis of the same will be reference contract price. The technical approval so obtained shall be forwarded to the Contracts Deptt of the RLDC having largest share (To be designated as coordinating region for this purpose) for subsequent action towards processing the case for issuance of amendment to the contract. The said RLDC Contracts Deptt shall take further action with all expediency towards issuance of amendment of the contract. Irrespective of

Technical Approval pertains to which RLDC, Administrative Approval for issue of change order shall be processed and accorded by the Coordinating RLDC. However, before processing the case for final amendment, the said Contracts Deptt shall take confirmation from all the RLDCs involved. For administrative approval for issue of change order, the total contract price as awarded and BoQ forming part of overall contract will be reference.

C3.19.2.4 The proposal pertaining to time extension, provisional or final including settlement of LD, shall be processed as per the following procedure:

- (i) The RLDC having the largest share shall be the coordinator and accordingly its Contracts deptt shall act as the coordinator.
- (ii) Each RLDC, for works/supplies within their scope, shall initiate separate proposals for provisional time extension, if required, and obtain the approval of respective Head of RLDC. The same shall be used for regulating subsequent payments. A copy of such approval obtained by other RLDCs shall be sent to the coordinating RLDC Contracts Deptt so that provisional time extension letter, without prejudice to the right to levy LD, could be issued for the contract in totality. It shall be the responsibility of the said contracts deptt. to pursue with the concerned RLDC towards timely receipt of such approved proposal. On receipt of approved proposals from other regions, the said contracts deptt will process the provisional time extension case in totality and issue provisional time extension letter after obtaining approval of its Head of RLDC.
- (iii) Each RLDC, on completion of works/supplies within its scope, shall initiate separate proposals for final time extension including settlement of LD in line with the procedure as explained in the document. Such proposals initiated from the department executing the project, taking into account the input of all the relevant deptts, shall be forwarded through its Head to the Contracts deptt of the Coordinating RLDC. The proposal of individual RLDC shall clearly identify the delay finally attributable to the contractor and quantum of demonstrable loss in case suffered/no demonstrable loss confirmation. The

quantum of LD proposed to be levied shall be decided when the consolidated proposal for complete contract is moved.

- (iv) The Contracts Deptt of the Coordinating RLDC shall do necessary follow up with other respective RLDC for timely receipt of proposals so that they could process the compiled proposal for the contract as a whole and obtain the approval of their Head of RLDC routing through the associated finance.
- (v) On approval of final time extension/settlement of LD, the letter shall be issued to the contractor by the said contracts deptt. to the contractor, copies of which shall be given to all the involved RLDCs. In the copies being given to different RLDCs the quantum of LD pertaining to respective portion of works shall be clearly indicated so that net payable amount in each RLDC could be independently worked out and released to the contractor.

C3.19.2.5 All other contract closing activities shall be carried out by respective RLDCs. All contract closing proformas (CCPs1-12) shall be forwarded to the Coordinating RLDC by each RLDC through the Head of RLDC for which necessary coordination shall be done by Contracts Deptt of respective RLDC.

C3.19.2.6 Upon receipt of CCPs from all the concerned RLDCs, Contracts Deptt of the Coordinating RLDC shall advise the release of CPG and after release of the same & issuance of CCP-13 by F&A, take further action towards declaring the contract as closed.

-----End-----

C3.20 Turnkey Contract and Lumpsum Price

- C3.20.1 In case of Turnkey Contracts, quantities of some of the items are indicated as lumpsum or lot and/or quantities of some of the items are estimated by the Bidder and accordingly incorporated in the contract. The Contract Price of such items, irrespective of quantities actually executed, shall remain unchanged unless a change is effected in the Scope of Work by GRID-INDIA. The quantities and unit prices (i) subsequently arrived at while approving the BoQ/Billing break-up of lumpsum quantities/lot and/or (ii) estimated by the bidder shall be for on account payment purpose only. Therefore, in case additional quantities, over and above the quantities in BoQ/billing break-up and /or estimated by the bidder, are required for successful completion of the scope of work as per Technical specification, the Contractor shall execute additional quantities of these items for which no additional payment shall be made over and above the lumpsum price mentioned in the contract. Similarly, in case quantities of these items supplied at site are in excess of that required for successful completion of scope of work, such additional quantities shall be the property of the contractor and he shall be allowed to take back the same from the site for which no deduction from the lumpsum contract price shall be made. Further, in case actual requirement of quantities for successful completion of scope of work is less than the quantities identified in the approved BoQ/billing break-up and/or estimated by the bidder, the lumpsum contract price shall remain unchanged and no deduction shall be made from the lumpsum price due to such reduction of quantities.
- C3.20.2 However, in case of contracts having deemed export benefits, it shall be the responsibility of the contractor to pay in respect of such surplus material all statutory taxes, duties and levies, which would otherwise have been lawfully payable in case of 'non-deemed export contracts to concerned authorities. The contractor shall submit an indemnity bond to keep GRID-INDIA harmless from any liability before release of such material to the Contractor by GRID-INDIA.

-----End-----

C3.21 Audit Coordination

- C3.21.1 Finance department will be nodal department for handling all the issues pertaining to Internal Audit, Statutory Audit and Govt Audit, and will accordingly carry out all coordination in this regard within the organization as well as with the auditing agencies.
- C3.21.2 Internal audit group of corporate finance will be the coordinator for corporate center as well as for entire Corporation on overall basis. At RLDC/NLDC level, an executive/a group in Regional F&A department will be identified for coordinating within the RLDC/NLDC and with corporate center.
- C3.21.3 Whenever any of the type of audit mentioned in para C3.21.1 is required to be carried out at in any establishment/ wings/ department of GRID-INDIA, concerned group of finance department, immediately on receipt of such communication from concerned agency, will make coordination and ensure that audit is timely completed. Throughout the audit period, the finance representative will be available with auditors.
- C3.21.4 The queries raised by any of the auditors mentioned above will be received by finance department who will take all further actions for arranging reply from concerned department including forwarding the same to the concerned auditing agency after taking clearance of the competent authority within the corporation. The concerned group in finance department will maintain all relevant details in this regard including area wise/contract wise outstanding queries, and will issue NOC whenever required.

-----End-----

C3.22 Retention Period of Contract Documents

- C3.22.1 As per the Companies Act, every company is required to keep proper books of account with respect to, inter-alia, (a) all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure takes place, and (b) all sales and purchases of goods by the company. Further, the books of accounts of every company relating to a period of not less than ten years immediately preceding the current year [together with the vouchers relevant to any entry in such books of account] is required to be preserved in good order. The said books of account and other books and papers of every company will be open to inspection, inter-alia, by such officer of the Government as may be authorized by the Central Government on its behalf.
- C3.22.2 In line with the above requirement, all documents related to and connected with award of any Contract and post award execution of the Contract will, as a matter of policy, be preserved in good order and retained by GRID-INDIA for a period of ten financial years following the financial year in which the Contract is closed. In case formal closure of the Contract is not applicable for any particular contract, the period of retention of the said documents will be ten financial years following the year of completion of the Contract in all respects including return of Security Deposit/Contract Performance Guarantee to the contractor, if applicable.
- C3.22.2.1 The above period for retention and destruction will also be applicable for all the documents connected with award and execution of contracts including those related with payments for all works and procurements. However, all documents regarding policy decisions, as built drawings including O&M manuals and the circulars issued from time to time in regard to above, will be retained permanently.
- C3.22.3 Upon expiry of the retention period as mentioned above, the said documents would be destroyed by the concerned Depts. by tearing off/shredding the same. However, before destroying the documents, Corp. Contracts Deptt for Corporate awarded Contracts and the concerned Contracts Deptt in the RLDC/NLDC, who has awarded the contract, will take following actions.
- C3.22.3.1 Before destroying the documents, as aforesaid, Corp Contracts dept (for corporate

awarded Contracts) and concerned Contracts Dept. in the RLDC/NLDC (for Contracts awarded by RLDC/NLDC) will obtain confirmation from the Vigilance Dept CC or Region and the Internal Audit Group (at CC) or Finance Deptt (at RLDC/NLDC), respectively, whether the Contract in question is under scrutiny/ examination/ inspection of Vigilance, Auditor any other Govt./statutory authority. If the Vigilance and Internal Audit/Finance Dept. confirm that the Contract in question is not under scrutiny/ examination/ inspection, as above, the concerned depts. will take action for destroying the documents upon receipt of the communication to that effect from Corp Contracts dept (for corporate awarded Contracts) and concerned Contracts Dept. in the Region (for Contracts awarded by RLDC/NLDC). Otherwise, documents will be continued to be retained by respective Depts. till satisfactory completion of scrutiny/ examination/ inspection, as aforesaid.

C 3.22.3.2 To facilitate the above, the procedure as described below will be followed:

- (i) Immediately upon closure of a Contract awarded by Corporate Centre, the RLDC/NLDC Contracts Deptt. of the Implementing Region will issue a communication intimating closure of the contract to all concerned departments in RLDC/NLDC (Indenting department/Executing department, Finance, Vigilance), and Corporate Contract Services. In case of packages awarded by RLDC/NLDC, the concerned contracts department will issue such communication to concerned departments in the RLDC/NLDC only.
- (ii) The Corporate Contracts Deptt for Corporate awarded contracts and the concerned Contracts Dept. in the RLDC/NLDC for contracts awarded in RLDC/NLDC, will maintain a 'Register of Closed Contracts' indicating therein the date of closing of the contract besides other relevant details. The entry in the register will be made by an executive, not below the level of Chief Manager at Corp Contracts and Dy. Manager at other offices, with their dated signatures. This 'Register of Closed Contracts' will be used to decide the destruction of documents upon expiry of period specified in para C3.22.2 above.
- (iii) Once the period specified under para C3.22.2 above, is over, an executive not below the level of DGM of Corp. Contracts and Manager in concerned RLDC/

NLDC contracts Deptt. will seek the information from concerned Vigilance and Internal Audit Depts. as explained in para C3.22.3.1 above. Based on the same, as and when the documents become eligible for destruction, the head of Corporate Contracts Dept./ Head of RLDC/NLDC Contracts Dept., will, after obtaining the approval of Head of Contracts, issue an order authorizing destruction of the documents pertaining to the particular contract. A copy of the order, in case of corporate package, will be sent to Head of all concerned depts. at Corporate Centre i.e., Contracts, Engg, Finance etc. and Vigilance depts., and to Head of RLDC/NLDC, RLDC/NLDC Finance, Contracts and Indenting Department. In case of packages awarded by RLDC/NLDC, copies of such order will be sent to concerned departments in RLDC/NLDC only.

C3.22.3.3 Once the order is issued, the concerned executives in respective Departments will destroy the documents and once the documents are destroyed, an information confirming the same will be sent by an executive not below the level of DGM for Corp awarded contracts and Manager for Contracts awarded in the RLDC/NLDC, to the department who had issued the order. The details of the same will be posted in the 'Register of Closed Contracts'.

C3.22.3.4 The 'Register of Closed Contracts' and other communication/order related to destruction of documents will be retained permanently by the concerned Contracts Dept.

-----End-----

C3.23 Miscellaneous

- C3.23.1 The rights and obligations of GRID-INDIA and Bidders/Contractors shall be governed by the bidding documents/ contracts of respective packages and not by what has been written in different paras of Procurement Policy document. Accordingly, no party, including Bidder/Contractor, shall derive any right from this Procurement Policy document or have any claim on GRID-INDIA on the basis of the same. It should, therefore, be clear to all concerned that once tenders have been invited, all further actions upto award of contract will be carried out as per provisions contained in the bidding documents including subsequent modifications, if any, thereto. Accordingly, it should also be clear that all post award actions would be as per provisions of the contract.

-----End-----

ANNEXURE-IV

GRID CONTROLLER OF INDIA LIMITED

Check List of Final Bill

(TO BE FILLED WITH FINAL BILL BY E.I.C)

Contractor.....

LOA No. and Date.....

S. No.	Checkpoints	Tick
01	Whether copies of LOA/ agreement available with site.	Yes/NA
02	Final time extension including settlement of LD letter issued/ Note approved by Competent Authority (C/A)	Yes/NA
03	Final deviation statement approved by Competent Authority (C/A)	Yes/NA
04	Final Price Variation bill has been submitted to Finance Deptt	Yes/NA
05	Materials have been reconciled and all surplus material returned and accounted.	Yes/NA
06	New item/substituted items/recovery rate have been got approved by Competent Authority(C/A)	Yes/NA
07	Details of amendment issued by contracts deptt. including the reference of the same (Amendment No. and date)	Yes/NA
08	Bill signed and accepted by contractor.	Yes/NA
09	All certificates regarding final bill have been entered in Measurement Book/ Records	Yes/NA
10	All cutting and overwriting have been checked and signed by Engineer-In-Charge	Yes/NA
11	All retentions amount made upto pre final bill have been reviewed by EIC.	Yes/NA
12	All advances (Mobilization, Equipment, Materials etc) have been fully adjusted.	Yes/NA
13	All certificates required for closing of the contractor have been received and enclosed. (CCP 1 to CCP 10) – excluding CCP 09	Yes/NA
14	Corrections made in the MB of previous RA bills taken care of in preparing abstract in the final bill.	Yes/NA
15	Recovery on account of material supplied by owner outside the scope of LOA is made	Yes/NA
16	NO DEMAND CERTIFICATE” given by the contractor (except the final bill amount)	Yes/NA
17	Any other recovery/ specific points if any	Yes/NA

Signature

Signature

Signature (EIC)

Signature (Supervisor)

Contract Closing Proformas

CERTIFICATE NO.CCP-01

CERTIFICATE OF FINAL AMENDMENT TO THE CONTRACT (TO BE ISSUED BY THE CONCERNED CONTRACTS DEPTT.)

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date of Project:

This is to certify that amendments have been issued to the aforesaid contract as per the details below mentioned:

Amendment No. Date

1.

2.

This is to certify further that Amendment No.....dtd..... is the last amendment issued.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-02

**CERTIFICATE FOR RECEIPT OF DRAWINGS
(TO BE ISSUED BY ENGINEERING DEPTT.)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that we have received all the drawings which were to be submitted by the contractor in requisite number along with the reproducible as detailed in Annexure enclosed herewith, as per provisions stipulated in the above mentioned LOA/Contract.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATENO.CCP-03

**CERTIFICATE FOR RECEIPT OF QA DOCUMENTS
(TO BE ISSUED BY ENGINEERING DEPTT)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that the QA documents as per the list enclosed, in respect of the above mentioned LOA/Contract, has been received in line with the provisions of the contract.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-04

**CERTIFICATE FOR RECEIPT OF O&M MANUALS
(TO BE ISSUED BY ENGINEERING DEPTT.)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that we have received from the contractor all the necessary O&M manuals in requisite number including the list of spare parts along with the names of vendors in respect of the above LOA/contract. The consolidated list of such manuals received is enclosed along with the distribution as marked on the list.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO: CCP-05

**CERTIFICATE FOR SCOPE COMPLETION
(TO BE ISSUED BY INDENTING DEPARTMENT)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date: Project:

a) This is to certify that the scope of the above contract has been completed in line with the contract read in conjunction with the following documents:

1. Final amendment No..... (As per CCP-01)
2. Approved drawings.
3. Approved Bill of Materials.
4. MIC Contracts.
5. Measurement Book.
6. As built Drawings
7. Any other documents (specify) N.B.: Tick whichever is applicable.

b) It is further certified that the following have been supplied, as per the details given the contract documents and the same have been taken over by GRID-INDIA.

1. Mandatory Spares
2. Recommended spares.
3. Special Tools & tackles.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-06

**CERTIFICATE FOR LIQUIDATED DAMAGES FOR DELAY
(TO BE ISSUED BY CONCERNED CONTRACTS DEPTT.)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that the issue regarding liquidated damages for delay as per the provisions of clause of the above contract/LoA has been resolved with the approval of the Competent Authority (Copy of letter/ approval enclosed).

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-07

**PROFORMA FOR SHORTFALL IN EQUIPMENT PERFORMANCE CERTIFICATE
(TO BE ISSUED BY THE INDENTING DEPARTMENT FOR SITE PERFORMANCE TEST)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date: Project:

This is to certify that the following short fall in equipment performance as compared to the guaranteed parameters have been assessed and agreed to with the contractor in respect of the above mentioned LOA/Contract.

Sl.No.	Guarantee Parameter	Guaranteed Value	Assessed Value	Shortfall if any
(1)	(2)	(3)	(4)	(5)

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-08

**“CERTIFICATE FOR “MATERIAL RECONCILIATION”
(TO BE ISSUED BY INDENTING DEPARTMENT)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that the materials issued to be contractor in respect of the above mentioned LOA/Contract have been reconciled with the stipulations under contract documents and no other recovery of material is pending with the contractor.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-09

**CERTIFICATE OF “PAYMENT RECONCILIATION”
(TO BE ISSUED BY REGIONAL ACCOUNTS DEPTT.)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that all the payments released to the contractor in respect of the above-mentioned LOA/Contract have been reconciled with the provisions of the contract documents and statement of Accounts and or other certificates of contractor. It is observed that there are no recoveries pending under any of the items noticed and listed over leaf.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

ENCLOSURE TO CCP-09

The list of recoveries and claims should include all recoveries and claims on any account whatsoever, including the following:

1. Liquidated damaged for delay.
2. Liquidated damaged for shortfall in performance as observed during shop-testing (by Inspection deptt.)
3. Liquidated damages for delay for shortfall in performance as observed during performance guarantee tests conducted at site and other site test.
4. All recoveries/claims on account of variations/ deviations to scope of contract permitted or otherwise taken place during execution of the contract as listed in certificate No.CCP-05 for contract closing (certificate by site for contract closing).
5. Recoveries on account of reconciliation of payments made under the contract.
6. All the claims against the contract regarding clearance of materials from site and vacation of the premises allotted for site office, stores.
7. All claims in respect of Training / Transportation / Accommodation/ Services provided by site in respect of above mentioned LOA/Contract.
8. Recoveries on account of settlement of insurance claims.
9. Recoveries on account of reconciliation of materials issued to the Contractor.
10. All recoveries on account of demurrage, transportation, insurance premiums etc., and other recoveries as informed by group handling the account of port clearance, transportation etc.
11. All recoveries on account of wastage and scrap.
12. All recoveries/claims (if any) of account of maintenance of value.
13. All recoveries/claims (if any) on account of price variation.
14. All recoveries/claims (if any) on account of statutory dues paid on behalf of the Contractor by GRID-INDIA.
15. Royalty charges.
16. All recoveries/claims (if any) on account of hiring out of GRID-INDIA's plant and equipment.
17. All recoveries/claims (if any) on account of water and electricity charges (if applicable).
18. Customs Reconciliation has been done by the Contractor / All documents required for custom reconciliation and to be submitted by the Contractor have been submitted by the Contractor.
19. Any other recoveries/claims against specific instructions.

CERTIFICATE NO.CCP-10

**CERTIFICATE REGARDING LABOUR PAYMENTS AND STATUTORY
REQUIREMENTS
(TO BE ISSUED BY THE CONTRACTOR)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that we have made all labour payments including minimum wages, PF, ESI and other statutory liabilities at the applicable rates in respect of the above mentioned LOA / Contract and no other payments in this regard is pending from us. Further we confirm that all statutory requirements have been complied with by us and in case any default is reported against us, we shall be solely responsible for the same. It is also certified that no refund has been received/is envisaged to be received on account of taxes and duties paid by GRID-INDIA in respect of this contract. In case any refund is received in future, the same will be passed on to GRID-INDIA.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO. CCP-11**“NO DEMAND CERTIFICATE” BY CONTRACTOR
(TO BE ISSUED BY CONTRACTOR)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that we have received all payments due to us in respect of the above referred LoA/Contract and we have no claims whatsoever pending with GRID-INDIA for this contract. We further confirm that we shall have no claim against this contract in future also.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO. CCP-12

**CERTIFICATE FOR COMPLETION OF WARRANTY PERIOD
(TO BE FURNISHED BY INDENTING DEPARTMENT)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that the warranty period for the above mentioned LOA/Contract has been completed in line with the provisions of the contract.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

CERTIFICATE NO.CCP-13**CERTIFICATE FOR RETURN OF B.G.s
(TO BE GIVEN BY ACCOUNTS DEPTT.)**

Name of Package:

Letter of Award/Contract No.:

Name of Contract:

Date:

Project:

This is to certify that all the Bank Guarantee/Indemnity bonds Insurance policies/ collaborators' or associates' guarantee received for the above mentioned LOA/Contract have been returned in original to the Contractor.

Date:

Place:

(Signature).....

(Name).....

(Designation).....

(Not below Manager)

Through:

(Name)

(Designation).....

(Not below Chief Manager)

Proforma for Performance Report

(IN RESPECT OF SUPPLY CONTRACT/SUPPLY-CUM-SUPERVISION CONTRACT)
PERFORMANCE REPORT IN RESPECT OF

(Name of Contract)

EXECUTED BY-----

(Name of Contractor)

- 1 CONTRACT NO. & DATE
- 2 TOTAL VALUE OF THE CONTRACT
- 3 MATERIAL/EQUIPMENT SUPPLIED
- 4 SITE WHERE THE MATERIAL UNDER REFERENCE WAS UTILISED
- 5 SCHEDULED DATE OF COMMENCEMENT OF SUPPLIES
- 6 ACTUAL DATE OF COMMENCEMENT OF SUPPLIES
- 7 SCHEDULED DATE OF COMPLETION OF SUPPLIES
- 8 ACTUAL DATE OF COMPLETION OF SUPPLIES
- 9 PERFORMANCE OF THE CONTRACT SATISFACTORY*/NOT SATISFACTORY*
- 10 PERFORMANCE OF MATERIAL/EQUIPMENT SATISFACTORY*/NOT SATISFACTORY*

- Strike out whichever is not applicable.

PROFORMA FOR PERFORMANCE REPORT IN RESPECT OF INSTALLATION/ SUPPLY-CUM-INSTALLATION/TURNKEY CONTRACTS

PERFORMANCE REPORT IN RESPECT OF

 (Name of Contract)

EXECUTED BY -----

(Name of Contractor)

- 1 CONTRACT NO. & DATE
- 2 TOTAL VALUE OF THE CONTRACT
- 3 NAME (S) OF PACKAGE
- 4 SCHEDULED DATE OF COMMENCEMENT OF WORK
 - (i) Establishment of site office
 - (ii) Supplies
 - (iii) Site activities (Civil and Installation work)
- 5 ACTUAL DATE OF COMMENCEMENT OF WORK
 - (i) Establishment of site office
 - (ii) Supplies
 - (iii) Site activities (Civil and Installation work)
- 6 SCHEDULED DATE OF COMPLETION OF WORK (i)Supplies
 - (ii) Testing & Commissioning
- 7 ACTUAL DATE OF COMPLETION OF WORK
 - (i) Supplies
 - (ii) Testing & Commissioning (Physical Completion of Works if Commissioning held up for reasons not attributable to the contractor)
- 8 PERFORMANCE OF THE CONTRACT SATISFACTORY*/NOT SATISFACTORY*
- 9 PERFORMANCE AFTER COMMISSIONING SATISFACTORY*/NOT SATISFACTORY*

- Strike out whichever is not applicable.

PROFORMA FOR PERFORMANCE REPORT IN RESPECT OF CIVIL CONTRACT

PERFORMANCE REPORT IN RESPECT OF

(Name of Contract)

EXECUTED BY — — — — —

(Name of Contractor)

- 1 CONTRACT NO. & DATE
- 2 TOTAL VALUE OF THE CONTRACT
- 3 NAME OF WORK(S)
- 4 SCHEDULED DATE OF COMMENCEMENT OF WORK
- 5 ACTUAL DATE OF COMMENCEMENT OF WORK
- 6 SCHEDULED DATE OF COMPLETION OF WORK
- 7 ACTUAL DATE OF COMPLETION OF WORK
- 8 PERFORMANCE SATISFACTORY*/NOTSATISFACTORY*

- Strike out whichever is not applicable.



ग्रिड-इंडिया
GRID-INDIA

ग्रिड कंट्रोलर ऑफ इंडिया लिमिटेड

(भारत सरकार का उद्यम) **CIN: U40105DL2009GOI188682**

GRID CONTROLLER OF INDIA LIMITED

(A Government of India Enterprise) **CIN: U40105DL2009GOI188682**

formerly Power System Operation Corporation Limited (POSOCO)

पंजीकृत कार्यालय : बी-9(प्रथम तल), कुतुब इंस्टीट्यूशनल एरिया, कटवारिया सराय, नई दिल्ली 110016

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केंद्रीय कार्यालय: 61आई.एफ.सी.आई. टावर 8 वां और 9 वां तल, नेहरू प्लेस, नई दिल्ली 110019

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